



ANNUAL **REPORT**

2017

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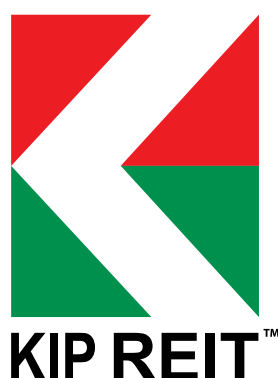
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Disclaimer: This annual report, prepared by the Manager for KIP REAL ESTATE INVESTMENT TRUST may contain certain forward-looking statements and is prepared based on the Manager's current view of future events that may involve certain assumptions, risks and uncertainties. Unitholders and investors are advised that past performance does not necessarily signify its future performance.

PORTFOLIO HIGHLIGHTS

	KiP Mart Tampoi	KiP Mart Kota Tinggi	KiP Mart Masai	KiP Mart Lavender Senawang	KiP Mart Melaka	KiP Mall Bangi	Total
Tenure	99 years, expiring on 24 September 2092	Freehold	99 years, expiring on 28 December 2108	Freehold	99 years, expiring on 17 November 2112	99 years, expiring on 14 July 2093	
Gross Floor Area (Sq ft)	234,321	113,958	247,990	175,095	276,987	348,203	1,396,554
Net Lettable Area (Sq ft)	163,411	72,031	143,064	114,473	182,327	260,429	935,735
Number of Tenancies	266	152	262	74	65	156	975
Occupancy As At 30 June 2017	97.77%	94.36%	95.67%	80.32%	67.32%	82.32%	84.82%
FP 2017 Total Revenue (RM'000)	6,743	2,596	6,998	1,367	2,351	6,295	26,350
FP 2017 Net Property Income (RM'000)	5,055	1,634	5,435	335	738	4,328	17,525
Appraised Value (RM'000)	150,000	55,000	157,000	38,000	50,000	130,000	580,000

FINANCIAL HIGHLIGHTS



Investment Properties

RM580.0 million

Unit Price Statistic for Financial Period 2017

High RM1.04

Low RM0.90

Opening on 6 February 2017 RM1.00

Closing on 30 June 2017 RM0.92

Changes in price 8%

Net Asset Value

RM504.4 million

NAV Per Unit Before Distribution

RM1.008

NAV Per Unit After Distribution *

RM0.998

Gross Revenue

RM26.4 million

Net Property Income

RM17.5 million

Realised Net Profit

RM14.7 million

Earning Per Unit

2.901 sen

Total Distribution Per Unit

2.918 sen

Annualised Distribution Yield

7.61% **

* Before final income distribution of 1.918 sen per unit declared on 25 July 2017.

** Annualised based on the closing price of RM0.92 per unit on 30 June 2017.

Dear Stakeholders,

On behalf of the Board of Directors of KIP REIT Management Sdn. Bhd. (the Manager for KIP REIT), we are delighted to extend our deepest and heartfelt appreciation to all Unitholders, tenants, business partners and authorities, namely Securities Commission Malaysia and Bursa Malaysia Securities Berhad for their committed support during the initial public offering ("IPO") of KIP REIT.

We are honoured to present KIP Real Estate Investment Trust's ("KIP REIT" or "the Fund") 1st Annual Report and audited financial statements for the financial period ended 30 June 2017.

LETTER TO UNITHOLDERS



LETTER TO UNITHOLDERS (Cont'd)

A GOOD START IN 2017

KIP REIT was listed on the Main Market of Bursa Malaysia on 6 February 2017 with 6 property assets worth RM580 million marking the beginning of our journey into a retail based REIT during an adverse economic condition. Nevertheless, the Manager believes that KIP REIT is appealing to serious long-term investors as it is less volatile and offers regular and consistent income with long term stable earnings generated from its portfolio of investment properties.

The institutional offering of 220.65 million units offered to Malaysian institutional and selected investors were fully placed out. The retail offering of 13.50 million units made available for subscription by the Malaysian Public garnered healthy demand and was oversubscribed by 5.07 times.

The overwhelming response received by the retail offering portion indicated the market's confidence in KIP REIT as a preferred investment. On the day of listing, the unit price of KIP REIT achieved a high of RM1.04 per unit against the IPO price of RM1.00 per unit.

KIP REIT's IPO was successful due to the growth potential of the assets and the diverse portfolio strategies set, coupled together with the bold move by the Manager and the Sponsors who proceeded to act against all odds by listing KIP REIT despite the uncertainties in the stock market and the challenging retail property outlook and current difficult economic conditions.

FINANCIAL PERFORMANCE

During the short span of five months between 6 February 2017 to 30 June 2017, KIP REIT was able to produce commendable financial results as forecasted in the IPO prospectus with a total gross revenue of RM26.4 million and net property income of RM17.5 million. The profit after tax stands at RM14.7 million which is 55.6% of revenue.

We are pleased to announce that the interim income distribution of 1.000 sen per unit for the quarter period from 6 February to 31 March 2017 has been fully paid to eligible Unitholders on

30 May 2017. A further final income distribution of 1.918 sen per unit for the quarter from 1 April to 30 June 2017 has been declared on 25 July 2017 and was paid on 29 August 2017.

This brings the total distribution per unit to 2.918 sen for the five month period from 6 February 2017 to 30 June 2017. When annualised the five month distribution will give an income yield of 7.0% based on the IPO price of RM1.00 per unit. The total payout of RM14.74 million represents approximately 100% of KIP REIT's distributable net income for the period ended 30 June 2017.

To show our commitment to continuously reward our Unitholders, the Manager has changed the income distribution policy from half yearly to a quarterly basis on 27 April 2017.

The overall financial position of KIP REIT is very healthy at a debt-to-asset ratio of 14.2%. This gives KIP REIT the opportunity to acquire more assets which are yield accretive when the opportunity arises without the need of additional funds from Unitholders.

FUTURE OUTLOOK

The existing portfolio of KIP REIT spreads across townships in different states around Malaysia primarily located in strategic and diversified locations in Johor, Negeri Sembilan, Melaka and Selangor thus providing investors with geographical diversification within Malaysia. All KIP REIT investment properties are easily accessible and highly visible from the main thoroughfare roads of their respective towns.

The investment properties are also primarily located close to major residential catchments comprising of neighbourhoods with residents within the lower to middle-income brackets which augurs well with the investment properties' target catchment market.

Most of the investment properties are also located close to commercial and industrial development areas which generates economic activities and employment in their respective towns as well as providing a larger catchment for most of the KIP REIT's properties. Despite the challenging economic environment and volatile property market, the Manager sees opportunities

which may present exciting growth prospects for KIP REIT during this adverse market condition. Future growth opportunities can be achieved through space, tenancy and cost optimisation of the existing investment properties of KIP REIT by Management as well as through the potential acquisition of additional properties i.e. the acquisition of other private KIP properties and the acquisition of properties developed by third parties should they meet the investment criteria and investment objective of KIP REIT. In the short term, the Manager will continue to increase occupancy rates by securing new leases for the remaining vacant spaces while focusing on tenant retention with positive rental revision through the implementation of the planned Asset Enhancement Initiative. We hope to continuously announce improvements and exciting developments for all stakeholders in the coming years.

ACKNOWLEDGEMENTS

Finally, I would like to thank all of my fellow Directors for their invaluable advice and tireless guidance, and express my utmost appreciation to the Management team and staff for their undivided commitment, loyalty and dedication to their work. Your contribution and support shall ensure that KIP REIT remains appealing to investors with long-term investment objectives and who seeks regular income distribution and long-term capital appreciation.

I would also like to express my deepest appreciation to everyone who journeyed along with us including tenants, business partners and authorities for their continuous support and steadfast commitment up to this point and into the future.

Moving forward, we are confident that FY2018 would be another great year for KIP REIT. We shall endeavour to achieve greater performance in the coming years with the goal of providing regular and stable distributions to all Unitholders.

**Dato' Dr Syed Hussain Bin Syed Husman
Chairman**

CORPORATE EVENTS





MANAGEMENT DISCUSSION AND ANALYSIS

CORPORATE VISION AND STRATEGY

Overview of KIP REIT

KIP REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016 ("Deed") between KIP REIT Management Sdn Bhd ("the Manager") and Pacific Trustees Berhad ("Trustee"), listed on the Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017 and regulated by the Securities Commission Act 1993, the Securities Commission's Guidelines on Real Estate Investment Trusts ("REIT Guidelines"), the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing real estate used primarily for retail purposes as well as real estate-related assets. The nature of KIP REIT's investments shall be long-term, with a period of at least five years, with a focus towards community-centric retail centres.

a) Investment Objectives

KIP REIT's key objective is to provide Unitholders with regular and stable income distributions, sustainable long term unit price and capital growth, while maintaining an appropriate capital structure.

b) Investment Policies

- (i) The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing Real Estate used predominantly for retail purposes. KIP REIT may also invest in other investments as permissible by the REIT Guidelines or as otherwise permitted by the Securities Commission Malaysia ("SC"), including in Real Estate-Related Assets.
- (ii) The Manager may, in consultation with the Trustee and subject to the Relevant Laws and Requirements, from time to time change the investment policy of KIP REIT.
- (iii) The Trustee shall ensure that it is fully informed at all times by the Manager of the investment policy and of any changes made by the Manager to the investment policy of KIP REIT. Unless otherwise provided by the Relevant Laws and Requirements, any modification to this Trust Deed involving any material change to the investment policy set out for KIP REIT, must be approved by the Unitholders by way of a resolution of not less than two-thirds of all Unitholders present and voting at a Unitholders' meeting duly convened and held in accordance with the Deed.

c) Investment Strategies

The Manager intends to increase the income and consequently, the value of the Investment Properties by implementing the following strategies, including:

- (i) **Active asset management and enhancement strategy** – The Manager will seek to optimise the rental rates, occupancy rates and lettable area of the Properties in order to improve the returns from KIP REIT's investment properties;
- (ii) **Acquisition growth strategy** – The Manager will source for and acquire properties that fit within KIP REIT's investment strategy to enhance returns to Unitholders and to capitalise on opportunities for future income and Net Asset Value ("NAV") growth. To support this acquisition strategy, the Manager expects to benefit from the Right of First Refusal ("ROFR") provided by the Sponsors over the Sponsors' existing and future retail properties in Malaysia;
- (iii) **Capital and risk management strategy** – The Manager will endeavour to employ an appropriate mix of debt and equity in financing acquisitions and will seek to manage financing and refinancing risks with the intention of maximising returns to Unitholders.

d) Investment of KIP REIT

KIP REIT has a total investment property asset value of RM580.0 million as at 30 June 2017. Its investment properties' gross floor area ("GFA") total to 1.4 million sq ft with 0.9 million sq ft of total net lettable area ("NLA") in five community-centric retail centres known as KiP Marts and a neighbourhood retail centre known as KiP Mall.

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

Investment Properties	Location	Valuation as at 30 June 17 (RM'000)	% of total asset portfolio value
a) KiP Mart Tampoi	Taman Tampoi Indah, Johor Bahru	150,000	26%
b) KiP Mart Kota Tinggi	Along Jalan Maju, Kota Tinggi	55,000	9%
c) KiP Mart Masai	Taman Bukit Dahlia, Pasir Gudang	157,000	27%
d) KiP Mart Lavender Senawang	Lavender Heights Township, Seremban	38,000	7%
e) KiP Mart Melaka	Batu Berendam, Melaka	50,000	9%
f) KiP Mall Bangi	Jalan Medan Bangi, Bandar Baru Bangi	130,000	22%
		580,000	100%

FINANCIAL REVIEW

The Fund commenced its business operations on 6 February 2017 and was listed on the Main Market of Bursa Malaysia on the same day. This was the first five months financial results of KIP REIT for the period from 6 February to 30 June 2017.

Key Financial Highlights

	FP 2017 Actual (5 months) RM'000	FP 2017 Forecast* (5 months) RM'000	Change RM'000	%
Gross Revenue	26,350	27,275	(925)	(3.4%)
Net Property Income	17,525	17,287	238	1.4%
Borrowing cost	1,825	1,859	34	1.8%
Profit after taxation	14,660	13,358	1,303	9.8%

Profit after taxation is made up as follows:

- Realised	14,660	13,358
- Unrealised	-	-
	14,660	13,358

Distribution per unit ("DPU")(sen)

- Interim	1.000	NA
- Final	1.918	2.725
	2.918	2.725

Annualised Distribution Yield (%) (Based on IPO price of RM1.00 per unit)

	7.001	6.540
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* The financial forecast reported refers to the period from 6 February to June 2017. However, as per KIP REIT IPO prospectus dated 30 December 2016, the profit forecast for the financial period is from 1 November 2016 to 30 June 2017.

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

Key Financial Highlights (cont'd)

a) Gross Revenue

KIP REIT recorded a gross revenue of RM26.4 million for Financial Period ("FP") 2017, a decrease of RM0.9 million or 3.4% as compared to the FP 2017 forecast, mainly due to:-

- (i) The lower gross revenue for KiP Mart Tampoi as compared to the FP 2017 forecast as a result of relocation of the existing tenancies in the mezzanine floor to occupy other vacant spaces in view of Mr DIY moving in as the mezzanine tenant in May 2017;
- (ii) The gross revenue for KiP Mart Lavendar Senawang was lower than the FP 2017 forecast mainly due to short term tenancies and anchor tenant being unable to draw sufficiently large crowds. We have put in place plans to address the shortfall;
- (iii) In KiP Mart Melaka, the fall in gross revenue was mainly due to short term tenancies;
- (iv) The lower gross revenue in KiP Mall Bangi was due to the withdrawal of Superbowl and short term promotion tenancies; and
- (v) Higher gross revenue for KiP Mart Masai was due to the new tenant in the old wing concourse area with improved rental rate and with more than 95% of the tenancies were renewed in March 2017 with positive rental revisions.

b) Net Property Income

The drop in the gross revenue was mitigated by cost savings as a result of prudent upkeep and maintenance of the investment properties during the financial period. Thus, the net property income had increased slightly by about RM0.2 million or 1.4% as compare to the FP 2017 forecast.

c) Borrowing Cost

The interest expenses of RM1.8 million for FP 2017 was for the term loan of RM86.8 million to finance part of acquisitions of the investment properties. The term loan bears an interest rate of 1.25% per annum above cost of funds.

d) Profit After Taxation

The overall profit after taxation for the FP 2017 was RM14.7 million, which is an increase of RM1.3 million or 9.8% as compared to the FP 2017 Forecast of RM13.4 million. This was mainly due to positive rental reversions on renewal tenancies in KiP Mart Masai and overall cost saving of property expenses in all the investment properties.

e) Income Distribution

KIP REIT had declared and paid an interim income distribution of 1.000 sen per unit on 30 May 2017 and further declared a final income distribution of 1.918 sen per unit which was paid on 29 August 2017 in respect of Financial Period 2017. Thus, the total income distribution was 2.918 sen per unit for the period from 6 February to 30 June 2017, which translated to a distribution yield of 7.6% based on the closing unit price of RM0.92 as at 30 June 2017.

The total income distribution of 2.918 sen per unit or a total paid out of RM14.7 million represents approximately 100% of the realised distributable net profit for the Financial Period 2017. Pursuant to Section 61A of the Malaysian Income Tax Act, 1967 ("Act"), income of KIP REIT will be exempted from tax provided that at least 90% of its total taxable income (as defined in the Act) is distributed to the investors in the basis period of KIP REIT for that year of assessment within two (2) months after the close of the financial year.

The financial statements for the current financial period do not reflect the final income distribution of 1.198 sen per unit as it was approved and declared on 25 July 2017 and has not been included as a liability for the FP 2017.

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

Key Financial Position

	As at 30 June 2017 RM'000
Investment Properties	580,000
Total Assets Value	612,913
Trade Receivables	2,533
Borrowings	86,786
Net Assets Value ("NAV")	504,398
Gearing (%)	14.2%
Unit Price (RM)	0.92
Market Capitalisation	464,876
Units in Circulation (Units)('000)	505,300
NAV Per Unit (RM)	
- Before income distribution	1.008
- After income distribution *	0.979

* After the final income distribution of 1.918 sen per unit declared on 25 July 2017

a) Investment Properties

As at 30 June 2017, KIP REIT's investment properties, represented approximately 94.6% of the total asset value. Investment properties are stated at fair value based on valuations performed by independent professional valuer, CH William Talhar & Wong ("CBRE|WTW"). Based on the valuation reports dated 18 July 2017 issued by CBRE|WTW, the fair value of the investment properties as at 30 June 2017 was RM580 million.

b) Total Asset Value

KIP REIT's total asset value as at 30 June 2017 stood at RM612.9 million comprised of plant and equipment, investment properties, receivables, deposit with licensed banks and cash and bank balances.

c) Trade Receivables

As at 30 June 2017, trade receivables of RM2.5 million were past due but not impaired.

d) Total Borrowings

The total borrowing of KIP REIT as at 30 June 2017 stood at RM86.8 million. The borrowing is a fixed rate term loan with a 5 years tenure bearing an interest rate of 1.25% per annum above cost of funds.

e) NAV Per Unit

KIP REIT's NAV per unit before interim and final income distribution was stated at RM1.008 and RM0.9790 after interim and final income distribution.

f) Unit Price and Market Capitalisation

During the Financial Period 2017, the unit price at the date of listing on 6 February 2017 was RM1.00 and closed on the same day at RM0.995. Based on the unit price of RM0.995 and 505,300,000 units in circulation, market capitalisation as at end of the listing day was recorded at RM502.8 million with an unrealised non-distributable reserve of RM2.53 million.

As at 30 June 2017, the closing price of KIP REIT was RM0.92 per unit. Based on the unit price of RM0.92 and 505,300,000 units in circulation, the market capitalisation stood at RM464.9 million.

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

g) Capital Management

The Manager is committed to manage KIP REIT's capital and to continue as a going concern while maximising the return to Unitholders through the optimisation of debt and equity.

Capital Management	As at 30 June 2017 RM'000
Term Loan	86,786
Total Borrowings	86,786
Total Asset Value	612,913
Gearing (%)	14.2%

Total borrowings of RM86.8 million as at 30 June 2017 represents a gearing of 14.2% over total asset value of RM612.9 million. Based on the gearing of 14.2%, KIP REIT has a debt headroom of approximately RM220 million to fund its capex plans and future acquisitions to be in line with the Malaysian REIT Industry average of 30%-35% gearing and well below the gearing threshold of 50% as permitted under the SC's REIT Guidelines.

h) Cash Flow/ Liquidity

The rolling forecast of liquidity requirements are monitored to ensure there is sufficient cash to meet operational needs while maintaining sufficient headroom on the committed borrowing facilities.

Adequate cash, cash equivalents and bank facilities are maintained and monitored to finance the operations, to distribute income to Unitholders, and to mitigate the effects of fluctuations in cash flows. In addition, the Manager also monitors and observes the REIT Guidelines concerning limits on total borrowings for KIP REIT.

Cash and cash equivalents as at 30 June 2017 of RM12.5 million is expected to assist in the liquidity and cash flow risk management.

i) Leasing Management

The overall KiP Marts and KiP Mall average occupancy rate from date of listing to 30 June 2017 are as follows:-

KiP Mart/ Mall	5 Month Average Occupancy Rate ended 30.6.2017 (%)
Kip Mart Tampoi	94.0%
Kip Mart Kota Tinggi	93.9%
Kip Mart Masai	89.8%
Kip Mart Lavender Senawang	77.7%
Kip Mart Melaka	75.4%
Kip Mall Bangi	78.3%

The average occupancy rate for the 3 mature KiP Marts located in Johor ranges from approximately 90% to 94% and there is still room for growth via tenant retention, loyalty programmes and Asset Enhancement Initiatives in place to attract more tenants.

For KiP Mart Melaka, KiP Mart Lavender Senawang and KiP Mall Bangi, the average occupancy ranges from 75% to 78%. The lower occupancy was mainly from short term tenancies in KiP Mart Lavender Senawang and KiP Mart Melaka, and the withdrawal of the bowling alley in KiP Mall Bangi had resulted in temporary lower occupancy. Plans have been put in place to address the temporary short fall. With the Assets Enhancement Initiatives and various marketing efforts and events initiated, we expect further improvement for the tenancies in the respective investment properties.

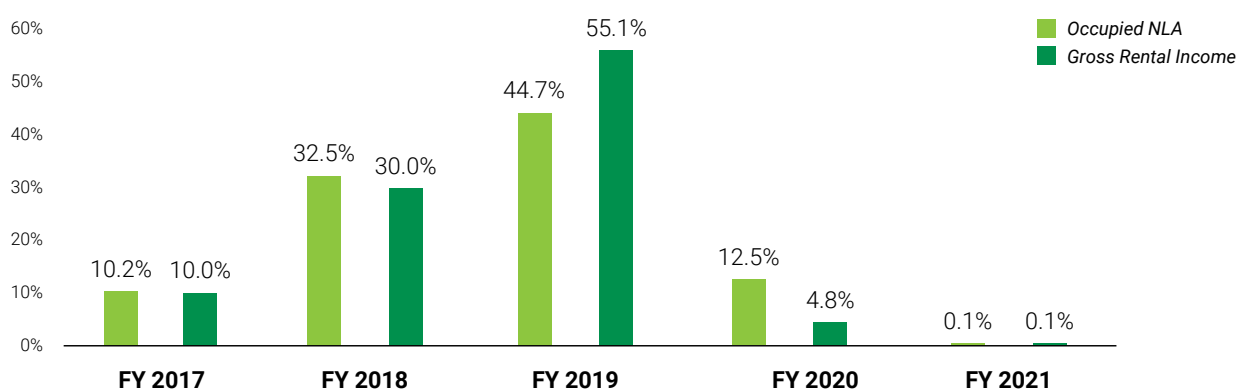
MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

j) Tenancy Expiry Profile

As of 30 June 2017, the total leased area was 793,673 square feet, which represented 84.8% of the total Net Lettable Area ("NLA") of 935,735 square feet. The tenancy expiry profile of the investment properties are as follows:

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	129	10.2%	10.0%
FY 2018	328	32.5%	30.0%
FY 2019	498	44.7%	55.1%
FY 2020	19	12.5%	4.8%
FY 2021	1	0.1%	0.1%
	975	100.0%	100.0%

Tenancy Expiry Profile

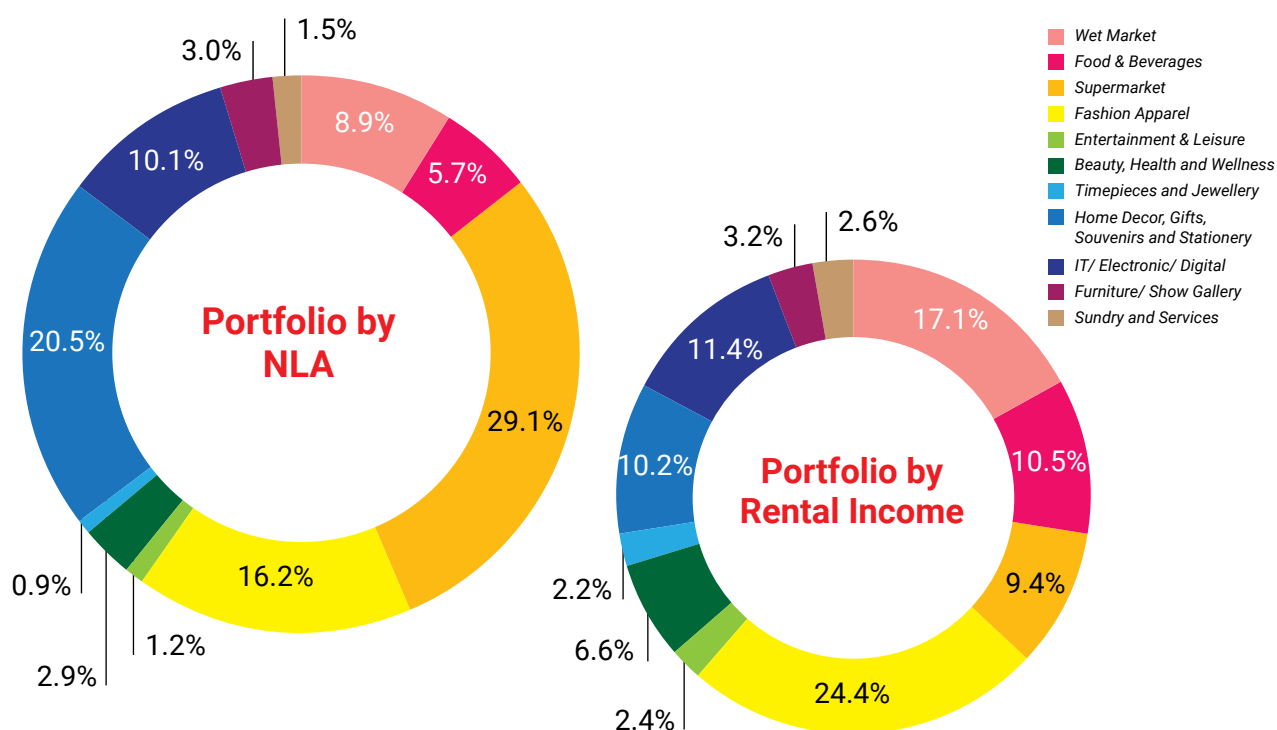


k) Tenancy Mix Analysis

The tenants of the Investment Properties come from a variety of trades ranging from amongst others, fresh market, supermarket, fashion apparel, IT and electrical products and food and beverage. As at 30 June 2017, the Investment Properties had a total of 975 tenancies where no single tenant contributed more than 5.0% of Gross Rental Income. The detailed breakdown of the trade mix analysis by NLA and by Gross Rental Income as at 30 June 2017 in respect of the Investment Properties are as follows:

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	8.9%	17.1%
Food & Beverages	5.7%	10.5%
Supermarket	29.1%	9.4%
Fashion Apparel	16.2%	24.4%
Entertainment & Leisure	1.2%	2.4%
Beauty, Health and Wellness	2.9%	6.6%
Timepieces and Jewellery	0.9%	2.2%
Home Decor, Gifts, Souvenirs and Stationery	20.5%	10.2%
IT/ Electronic/ Digital	10.1%	11.4%
Furniture/ Show Gallery	3.0%	3.2%
Sundry and Services	1.5%	2.6%
Total	100.0%	100.0%

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)



I) Top Ten Tenants

The top ten (10) largest tenants of the Investment Properties contributed an aggregate of approximately 13.8% to Gross Rental Income and occupied an aggregate of 44.5% of Occupied NLA as at 30 June 2017.

Name	Trade Sector	% of Occupied NLA	% of Gross Rental Income
Giant Hypermarket	Supermarket	10.5%	3.9%
Mr. DIY	Home Decor, Gifts, Souvenirs and Stationery	7.8%	2.1%
Pemborong & Pembekal Barangan Runcit	Supermarket	5.9%	2.4%
Pasaraya Hwa Thai			
Pasaraya Family Store	IT/ Electrical/ Digital	5.7%	0.8%
Pasaraya Syed	Supermarket	4.3%	1.2%
Toy World	Home Decor, Gifts, Souvenirs and Stationery	2.6%	0.3%
Lionmas	IT/ Electrical/ Digital	2.5%	1.1%
Pasaraya Songmart (Kota Tinggi) Sdn Bhd	Supermarket	2.3%	0.8%
Pusat Kain Silk House	Home Decor, Gifts, Souvenirs and Stationery	1.5%	0.3%
Linkme LM	IT/ Electrical/ Digital	1.4%	0.9%
SubTotal		44.5%	13.8%
Others		55.5%	86.2%
Total		100.0%	100.0%

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

m) Asset Enhancement Initiatives

KiP Mart Tampoi

During the Financial Period 2017, the property underwent building repainting works and the tenants had re-installed new signage works to complement the Mart's new facade. The property also installed new roofing with sponsorship from the previous vendor and was completed in the first quarter of 2017.

The anchor tenant of the property had also installed new glass panel, automated sliding door, installation of additional ceiling and lighting to upgrade their image.

KiP Mart Kota Tinggi

During the Financial Period 2017, the property underwent building repainting works and the tenants had re-installed new signage works to complement the Mart's new facade.

The anchor tenant of the property had installed a new glass panel, automated sliding door, installation of additional ceiling and lighting to upgrade their image.

KiP Mall Bangi

During the Financial Period 2017, the property installed new advertisement panels for tenants to complement the Mall's new facade.

RISK MANAGEMENT

The Manager recognises that it has the responsibility to manage risks effectively in order to protect KIP REIT against potential losses, damage or failure to achieve the goals and objectives of KIP REIT due to uncertain events or circumstances.

Risk management is an integral part of the Manager's corporate governance and has been embedded in the management processes as part of the Manager's overall framework to deliver continuous improvement for KIP REIT. The Manager has established an ongoing process for identifying, evaluating and managing significant risk faced by KIP REIT throughout the financial period under review.

a) Interest Rate Risk

As at 30 June 2017, KIP REIT's exposure to interest rate risk from its borrowings is a fixed rate term loan with a 5 years tenure and the fixed rate bears an interest rate of 1.25% per annum above cost of funds. The debt to asset gearing ratio as at 30 June 2017 is 14.2%.

KIP REIT's income and cash flows are substantially independent of changes in market interest rates as the borrowing is made up of a fixed rate term loan which locks in the interest rate against any fluctuation resulting in minimal exposure to fair value interest rate risk. KIP REIT has no significant exposure to cash flow interest rate risk.

b) Capital and Liquidity Risk

Capital and liquidity risk is associated with the ability of KIP REIT to access cash or capital at any given time to prevent insufficient liquidity to meet its business needs and financial obligations, including payment of income distributions and interest.

Capital and liquidity risk arises from the event of default in loan covenants which lead to foreclosure by the lenders, deteriorating credit market resulting in non-availability of loans, poor liquidity and cash flow management, and underperformance of Unit price that will cause high dilution in the event of new unit issuance.

KIP REIT's capital and liquidity management objectives are to safeguard its ability to continue as a going concern and maintain an efficient capital structure in order to maximize returns to the Unitholders. The capital and liquidity management strategies include:

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

b) Capital and Liquidity Risk (Cont'd)

- i) Effective cash flow and treasury management
- ii) Ongoing financial monitoring
- iii) Relationship management with bankers, investors and sponsors
- iv) Reduction of gearing via strategic divestment of low yielding assets

The Manager regularly reviews its capital and liquidity management strategies to ensure KIP REIT's capital and liquidity management objectives are met.

c) Credit Risk

Credit risk is the risk of reduction in net income due to high provision for doubtful debt or bad debts write off and high legal cost incurred to pursue recovery of outstanding receivables from the tenants.

Poor credit collection also gives rise to cash flows problems. The Manager has identified several possible causes of credit risk, which include high concentration of tenant mix, loose or complex tenancy arrangement and economic slowdown or rising costs which may affect the ability of tenants to pay their rent.

To mitigate KIP REIT's credit risk exposure, the Manager maintains a policy of collecting security deposits from all tenants which act as collateral. The Manager also performs thorough customer due diligence to assess the tenants' ability to meet the rental payments prior to commencing the tenancy.

The Manager has implemented effective credit control measures such as close follow-up on rental arrears with tenants and the charging of late payment interest to encourage timely rental payment. The Manager also maintains good tenant relations to increase timely rental collections.

d) Acquisition and Investment Risks

Acquisition and investment risks refers to imperil of assets/ investments not being yield accretive, thereby affecting the overall performance of the Fund. Prior to recommending to the Board, the Manager evaluates the proposed investment from all financial, legal and technical aspects.

The Manager will remain very selective and manages such risk by evaluating potential acquisitions against an approved list of investment criteria. The Manager will evaluate all proposed acquisitions prior to recommending to the Board. Due diligence will be conducted prior to acquisition.

e) Valuation Risk

Valuation risk refers to risk that the valuation of property may not be sustainable, hence affecting KIP REIT's asset value, profitability and gearing. The main valuation inputs are rental rates, occupancy rates and operational cost. All these factors will be monitored by the Manager to ensure that they are not compromised and are mitigated with suitable strategic marketing activities, building strong relationship with tenants and providing a wider range of tenant mix.

Various asset management strategies are adopted by the Manager to ensure that all the assets under management maintain its high occupancy level and rental rates. Strategies such as providing value added services, improving tenancy mix, organising promotional activities within the investment properties are continuously being implemented to further attract customers and potential tenants.

f) Tenant Concentration Risk

Generally, KIP REIT has a broad mix of tenants across its investment properties. Nevertheless, as reported in the Tenancy Mix Analysis section, it is evident that there is a tenant concentration risk of over relying on tenants that contribute significant revenue to KIP REIT which may pose a risk when there is reduction in rental rates during adverse economic conditions.

MANAGEMENT DISCUSSION AND ANALYSIS (Cont'd)

f) Tenant Concentration Risk (Cont'd)

For FP 2017, our top ten tenants generated 13.8% of gross rental income of which 3.9% was contributed by Giant Hypermarket and 2.4% by Pasaraya Hwa Thai. The remaining eight tenants have a relatively lower percentage ranging from 0.3% to 2.1%.

g) Market Risk

The Manager has great challenges ahead in both retaining and securing new tenants. The Manager has re-strategised and enhanced its focus to address adverse risks arising from the market over supply and stiff competition. Amongst others, the key strategies rolled out were to retain existing tenants by upgrading service level and meeting tenants needs.

h) Operations Risk

The Manager maintains the properties which makes up the asset portfolio. Apart from building structures, these buildings require constant attention on air-conditioning and cooling system, escalators, elevators, CCTV system and fire-fighting system. Inherently as these equipment and machineries comprise of mechanical and electrical components, there are inherent risks associated with them. Mechanical and electrical components may be faulty during its use due to wear and tear. This would have an impact in both of its functionality and safety.

The Manager mitigates this risk by appointing appropriate and competent service providers to ensure that proper planned maintenance is undertaken accordingly. Approved annual budgets for maintenance and when required, replacements or asset enhancement are provided to address operational requirements. There have been asset enhancements carried out for some of the buildings where deemed required.

i) Regulatory and Compliance Risk

The Manager is licensed under Capital Markets & Services Act 2007 ("CMSA"), hence, it is subject to strict adherence of the requirements of the Act as well as Securities Commission's REIT Guidelines.

PROSPECTS

Barring any unforeseen circumstances, we expect KIP REIT to deliver an improved performance for the financial year ending 30 June 2018, supported by the higher occupancy of the investment properties and positive rental reversions.

PORTFOLIO PERFORMANCE



KiP MART TAMPOI

KiP Mart Tampoi is a single-storey retail centre with a mezzanine floor which commenced operations since 23 December 2004. The layout area for KiP Mart Tampoi is divided into several areas for, amongst others, a fresh market, dry retail lots, a supermarket, an amusement centre, car promotion areas, a food court, a fast food restaurant, a car wash area and various promotion areas with an NLA of 163,411 sq ft as at 30 June 2017. KiP Mart Tampoi is located on 452,191 sq ft of land within a residential area known as Taman Tampoi Indah, Johor Bahru. KiP Mart Tampoi has 266 tenancies as at 30 June 2017.

Address	Lot PTD 152711, Jalan Titiwangsa 1, Taman Tampoi Indah, 81200 Johor Bahru, Johor Darul Takzim
Description of Property	Single-storey retail centre with a mezzanine floor which commenced operations since 23 December 2004
Date of Acquisition	6 February 2017
Acquisition Price	RM150 million
Age of Building	13 years
Title Information	HSD 452673, PTD 152711, Mukim of Pulai, District of Johor Bahru, Johor Darul Takzim
Tenure	99 years, expiring on 24 September 2092
Gross Floor Area	234,321 Sq ft
Number of car park bays	579
Number of Motorcycle bays	210
Net Lettable Area	163,411 Sq ft
FP 2017 Total Revenue	RM6.7 million
FP 2017 Net Property Income	RM5.1 million
Appraised Value	RM150 million
Occupancy Rate as at 30 June 2017	97.77%

PORTFOLIO PERFORMANCE (Cont'd)

TOP TEN TENANTS

Name	Trade Sector	Percentage of Occupied NLA (%)	% of Gross Rental Income
Pasaraya Hwa Thai	Supermarket	15.2%	4.8%
Courts	IT/ Electrical/ Digital	10.3%	2.9%
Mr. DIY	Home Decor, Gifts, Souvenirs and Stationery	6.7%	1.3%
JH	Fashion Apparel	5.3%	2.1%
Lionmas	IT/ Electrical/ Digital	3.8%	1.4%
Pustaka Azhar	Home Decor, Gifts, Souvenirs and Stationery	3.3%	1.4%
Your One-Stop Household Center	Home Decor, Gifts, Souvenirs and Stationery	2.9%	1.9%
Classics Living Furniture	Furniture/ Show Gallery	2.0%	0.7%
Darson	IT/ Electrical/ Digital	1.4%	0.8%
Kedai Elektrik Yes	IT/ Electrical/ Digital	1.1%	1.0%
SubTotal		52.0%	18.3%
Others		48.0%	81.7%
Total		100.0%	100.0%

TRADE SECTOR ANALYSIS

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	14.1%	22.9%
Food & Beverages	4.3%	10.3%
Supermarket	15.2%	4.8%
Fashion Apparel	18.7%	24.2%
Entertainment & Leisure	1.5%	2.7%
Beauty, Health and Wellness	2.6%	5.8%
Timepieces and Jewellery	0.3%	1.0%
Home Decor, Gifts, Souvenirs and Stationery	17.0%	10.0%
IT/ Electronic/ Digital	18.6%	11.3%
Furniture/ Show Gallery	6.4%	4.9%
Sundry and Services	1.3%	2.1%
Total	100.0%	100.0%

TENANCY EXPIRY PROFILE

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	6	3.6%	2.2%
FY 2018	144	46.8%	51.5%
FY 2019	112	41.4%	43.9%
FY 2020	3	7.8%	2.2%
FY 2021	1	0.4%	0.2%
	266	100.0%	100.0%

PORTFOLIO PERFORMANCE (Cont'd)



KiP MART KOTA TINGGI

KiP Mart Kota Tinggi is a single-storey retail centre with a mezzanine floor which commenced operations since 7 November 2008. The layout area for KiP Mart Kota Tinggi is divided into several areas for, amongst others, a fresh market, dry retail lots, a food court and various promotion areas with an NLA of 72,031sq ft as at 30 June 2017. KiP Mart Kota Tinggi is located on 168,111 sq ft of land located along Jalan Maju, Kota Tinggi. KiP Mart Kota Tinggi has 152 tenancies as at 30 June 2017.

Address	No. 1, Jalan Maju, 81900 Kota Tinggi, Johor Darul Takzim
Description of Property	Single-storey retail centre with a mezzanine floor which commenced operations since 7 November 2008
Date of Acquisition	6 February 2017
Acquisition Price	RM55 million
Age of Buiding	9 years
Title Information	GRN 353762, Lot 28861, Mukim of Kota Tinggi, District of Kota Tinggi, Johor Darul Takzim
Tenure	Freehold
Gross Floor Area	113,958 Sq ft
Number of car park bays	196
Number of Motorcycle bays	112
Net Lettable Area	72,031 Sq ft
FP 2017 Total Revenue	RM2.6 million
FP 2017 Net Property Income	RM1.6 million
Appraised Value	RM55 million
Occupancy Rate as at 30 June 2017	94.36%

PORTFOLIO PERFORMANCE (Cont'd)

TOP TEN TENANTS

Name	Trade Sector	Percentage of Occupied NLA (%)	% of Gross Rental Income
Pasaraya Songmart (Kota Tinggi) Sdn Bhd	Supermarket	26.5%	7.4%
Lionmas	IT/ Electrical/ Digital	11.2%	2.7%
Linkme LM Trading Sdn.Bhd	Home Decor, Gifts, Souvenirs and Stationery	6.4%	3.5%
Siang Heng Marketing Sdn.Bhd	Wet Market	2.9%	3.5%
Marrybrown	Food & Beverages	2.4%	1.3%
KVNP Enterprise	Wet Market	2.2%	2.2%
Kedai Kasut Angel Girl	Fashion Apparel	1.8%	2.2%
KT Frozen Food Sdn.Bhd	Wet Market	1.6%	1.9%
DOM	Fashion Apparel	1.4%	1.7%
Hup Heng	Wet Market	1.0%	1.3%
SubTotal		57.4%	27.7%
Others		42.6%	72.3%
Total		100.0%	100.0%

TRADE SECTOR ANALYSIS

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	20.5%	26.8%
Food & Beverages	7.0%	11.7%
Supermarket	26.5%	7.4%
Fashion Apparel	14.2%	23.0%
Entertainment & Leisure	1.5%	2.9%
Beauty, Health and Wellness	2.5%	4.8%
Timepieces and Jewellery	1.2%	2.2%
Home Decor, Gifts, Souvenirs and Stationery	7.8%	6.3%
IT/ Electronic/ Digital	14.9%	9.3%
Furniture/ Show Gallery	2.7%	3.2%
Sundry and Services	1.2%	2.4%
Total	100.0%	100.0%

TENANCY EXPIRY PROFILE

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	22	3.4%	6.6%
FY 2018	29	40.5%	24.7%
FY 2019	98	55.0%	66.4%
FY 2020	3	1.1%	2.3%
FY 2021	-	0.0%	0.0%
	152	100.0%	100.0%

PORTFOLIO PERFORMANCE (Cont'd)



KiP MART MASAI

KiP Mart Masai is a single-storey retail centre with a mezzanine floor which commenced operations since 25 January 2011. A solar photovoltaic system has been installed on the rooftop of KiP Mart Masai on December 2015. The layout area for KiP Mart Masai is divided into several areas for, amongst others, a fresh market, dry retail lots, a food court and various promotion areas with an NLA of 143,064 sq ft as at 30 June 2017. KiP Mart Masai is located on 472,757 sq ft of land located in Taman Bukit Dahlia, Pasir Gudang. KiP Mart Masai has 262 tenancies as at 30 June 2017.

Address	KiP Mart Masai, Jalan Persiaran Dahlia 2, Taman Bukit Dahlia, 81700 Pasir Gudang, Johor Darul Takzim
Description of Property	Single-storey retail centre with a mezzanine floor which commenced operations since 25 January 2011
Date of Acquisition	6 February 2017
Acquisition Price	RM157 million
Age of Building	6 years
Title Information	PN 70766, Lot 198634, Mukim of Plentong, District of Johor Bahru, Johor Darul Takzim
Tenure	99 years, expiring on 28 December 2108
Gross Floor Area	247,990 Sq ft
Number of car park bays	628
Number of Motorcycle bays	214
Net Lettable Area	143,064 Sq ft
FP 2017 Total Revenue	RM7.0 million
FP 2017 Net Property Income	RM5.4 million
Appraised Value	RM157 million
Occupancy Rate as at 30 June 2017	95.67%

PORTFOLIO PERFORMANCE (Cont'd)

TOP TEN TENANTS

Name	Trade Sector	Percentage of Occupied NLA (%)	% of Gross Rental Income
Pemborong & Pembekal Barangan Runcit Pasaraya Hwathai	Supermarket	16.3%	3.7%
Mr. DIY	Home Decor, Gifts, Souvenirs and Stationery	8.7%	2.0%
Linkme LM	IT/ Electrical/ Digital	4.9%	1.8%
Pusat Perabot Classics Living Furniture	Furniture/ Show Gallery	3.4%	1.4%
Kedai Buah-Buahan Liew Peng Trading Sdn Bhd	Wet Market	1.9%	1.7%
Pembekal Buah-Buahan Siang Heng Marketing Sdn Bhd	Wet Market	1.8%	1.7%
YYU Fashion	Fashion Apparel	1.8%	1.7%
Butik Fesyen Factory Outlet	Fashion Apparel	1.8%	0.7%
Kedai Elektrik Yes	IT/ Electrical/ Digital	1.5%	1.3%
Wanita Anggun Collection	Fashion Apparel	1.4%	1.0%
SubTotal		43.5%	17.0%
Others		56.5%	83.0%
Total		100.0%	100.0%

TRADE SECTOR ANALYSIS

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	18.4%	24.2%
Food & Beverages	4.8%	9.3%
Supermarket	16.3%	3.7%
Fashion Apparel	20.0%	25.1%
Entertainment & Leisure	1.6%	2.7%
Beauty, Health and Wellness	4.0%	6.9%
Timepieces and Jewellery	1.8%	3.3%
Home Decor, Gifts, Souvenirs and Stationery	16.3%	7.2%
IT/ Electronic/ Digital	7.7%	10.3%
Furniture/ Show Gallery	7.0%	4.1%
Sundry and Services	2.1%	3.2%
Total	100.0%	100.0%

TENANCY EXPIRY PROFILE

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	3	0.3%	0.6%
FY 2018	8	2.4%	1.6%
FY 2019	248	72.2%	91.7%
FY 2020	3	25.1%	6.1%
FY 2021	-	0.0%	0.0%
	262	100.0%	100.0%

PORTFOLIO PERFORMANCE (Cont'd)



KiP MART LAVENDER SENAWANG

KiP Mart Lavender Senawang is a single-storey retail centre with a mezzanine floor which commenced operations since 18 December 2012. The layout area for KiP Mart Lavender Senawang is divided into several areas for, amongst others, a fresh market, dry retail lots and various promotion areas with an NLA of 114,473 sq ft as at 30 June 2017. KiP Mart Lavender Senawang is located on 438,414 sq ft of land located within the Lavender Heights township area in Seremban. KiP Mart Lavender Senawang has 74 tenancies as at 30 June 2017.

Address	No. 1, Jalan KLS 1, Lavender Heights, 70450 Seremban, Negeri Sembilan Darul Khusus
Description of Property	Single-storey retail centre with a mezzanine floor which commenced operations since 18 December 2012
Date of Acquisition	6 February 2017
Acquisition Price	RM38 million
Age of Building	4 years
Title Information	GRN 262080, Lot 61344, Pekan Senawang, District of Seremban, Negeri Sembilan Darul Khusus
Tenure	Freehold
Gross Floor Area	175,095 Sq ft
Number of car park bays	584
Number of Motorcycle bays	85
Net Lettable Area	114,473 Sq ft
FP 2017 Total Revenue	RM1.4 million
FP 2017 Net Property Income	RM0.3 million
Appraised Value	RM38 million
Occupancy Rate as at 30 June 2017	80.32%

PORTFOLIO PERFORMANCE (Cont'd)

TOP TEN TENANTS

Name	Trade Sector	Percentage of Occupied NLA (%)	% of Gross Rental Income
Pasaraya Syed	Supermarket	36.7%	24.5%
Mr. DIY	Home Decor, Gifts, Souvenirs and Stationery	12.2%	5.0%
Tewah	Home Decor, Gifts, Souvenirs and Stationery	5.0%	6.0%
Y Pay More	Home Decor, Gifts, Souvenirs and Stationery	5.0%	3.5%
Toy World	Home Decor, Gifts, Souvenirs and Stationery	4.3%	1.7%
Seremban Best Autohaus	Sundry and Services	3.0%	1.5%
TNL Trading Sdn Bhd	Wet Market	2.7%	2.4%
LionMas	IT/ Electrical/ Digital	2.6%	2.9%
Restoran Abc Senawang	Food & Beverages	1.4%	1.8%
HY Fruits Trading	Wet Market	1.1%	2.2%
SubTotal		74.0%	51.5%
Others		26.0%	48.5%
Total		100.0%	100.0%

TRADE SECTOR ANALYSIS

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	7.7%	14.9%
Food & Beverages	7.9%	7.7%
Supermarket	36.7%	24.5%
Fashion Apparel	5.4%	12.3%
Entertainment & Leisure	0.4%	0.2%
Beauty, Health and Wellness	4.0%	9.3%
Timepieces and Jewellery	0.2%	1.0%
Home Decor, Gifts, Souvenirs and Stationery	27.8%	17.6%
IT/ Electronic/ Digital	4.9%	7.9%
Furniture/ Show Gallery	0.6%	1.0%
Sundry and Services	4.4%	3.6%
Total	100.0%	100.0%

TENANCY EXPIRY PROFILE

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	12	6.5%	14.4%
FY 2018	53	31.7%	43.4%
FY 2019	8	43.3%	37.2%
FY 2020	1	18.5%	5.0%
FY 2021	-	0.0%	0.0%
	74	100.0%	100.0%

PORTFOLIO PERFORMANCE (Cont'd)



KiP MART MELAKA

KiP Mart Melaka is a two-storey retail centre which commenced operations since 26 March 2014. The layout area for KiP Mart Melaka is divided into several areas for, amongst others, dry retail lots, a supermarket, an amusement centre, car promotion areas, a food court, a fast food restaurant and various promotion areas with an NLA of 182,327 sq ft as at 30 June 2017. KiP Mart Melaka is located on 380,310 sq ft of land located in the Batu Berendam industrial area in Melaka. KiP Mart Melaka has 65 tenancies as at 30 June 2017.

Address	No. 8999, Jalan Tun Fatimah, Batu Berendam, 75350 Melaka
Description of Property	Two-storey retail centre which commenced operations since 26 March 2014
Date of Acquisition	6 February 2017
Acquisition Price	RM50 million
Age of Buiding	3 years
Title Information	HSD 76142, PT 6786, Mukim of Bachang, District of Melaka Tengah, Melaka
Tenure	99 years, expiring on 17 November 2112
Gross Floor Area	276,987 Sq ft
Number of car park bays	520
Number of Motorcycle bays	140
Net Lettable Area	182,327 Sq ft
FP 2017 Total Revenue	RM2.4 million
FP 2017 Net Property Income	RM0.7 million
Appraised Value	RM50 million
Occupancy Rate as at 30 June 2017	67.32%

PORTFOLIO PERFORMANCE (Cont'd)

TOP TEN TENANTS

Name	Trade Sector	Percentage of Occupied NLA (%)	% of Gross Rental Income
Pasaraya Family Store	Supermarket	37.0%	11.7%
Mr. DIY	Home Decor, Gifts, Souvenirs and Stationery	13.2%	6.7%
Toy World	Home Decor, Gifts, Souvenirs and Stationery	9.2%	2.0%
Lionmas	IT/ Electrical/ Digital	4.5%	6.5%
Soon Siang Stationery	Home Decor, Gifts, Souvenirs and Stationery	4.1%	1.9%
Shila & Family Enterprise	Food & Beverages	1.7%	1.3%
Abiha Enterprise	Home Decor, Gifts, Souvenirs and Stationery	1.5%	1.3%
MB Culinary	Food & Beverages	1.4%	2.1%
Old Town Kopitiam	Food & Beverages	1.4%	1.6%
HY Fruits Trading	Wet Market	1.3%	2.2%
SubTotal		75.3%	37.3%
Others		24.7%	62.7%
Total		100.0%	100.0%

TRADE SECTOR ANALYSIS

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	1.3%	2.2%
Food & Beverages	6.9%	12.1%
Supermarket	40.4%	15.4%
Fashion Apparel	10.7%	29.3%
Entertainment & Leisure	1.3%	3.3%
Beauty, Health and Wellness	2.2%	7.9%
Timepieces and Jewellery	0.3%	1.4%
Home Decor, Gifts, Souvenirs and Stationery	28.5%	13.5%
IT/ Electronic/ Digital	7.2%	13.6%
Furniture/ Show Gallery	0.9%	1.1%
Sundry and Services	0.3%	0.2%
Total	100.0%	100.0%

TENANCY EXPIRY PROFILE

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	4	1.2%	3.4%
FY 2018	50	70.8%	77.8%
FY 2019	6	11.2%	7.3%
FY 2020	5	16.8%	11.5%
FY 2021	-	0.0%	0.0%
	65	100.0%	100.0%

PORTFOLIO PERFORMANCE (Cont'd)



KiP MALL BANGI

KiP Mall Bangi is a five-storey shopping centre with one level of mezzanine floor and two levels of basement car park which was acquired on 26 March 2015 by the Sponsors. The layout area for KiP Mall Bangi is divided into several areas for, amongst others, dry retail lots, a supermarket, an entertainment area, a food court, a fast food area, restaurants, a bowling alley and various promotion areas with an NLA of 260,429 sq ft as at 30 June 2017. KiP Mall Bangi is located on 92,817 sq ft of land located along Jalan Medan Bangi, Bandar Baru Bangi. KiP Mall Bangi has 156 tenancies as at 30 June 2017.

Address	No. 1, Jalan Medan Bangi, 43650 Bandar Baru Bangi, Selangor Darul Ehsan
Description of Property	Five-storey shopping centre with one level of mezzanine floor and two levels of basement car park
Date of Acquisition	6 February 2017
Acquisition Price	RM130 million
Age of Building	17 years
Title Information	HSD 36945, PT 29330, Mukim of Kajang, District of Ulu Langat, Selangor Darul Ehsan
Tenure	99 years, expiring on 14 July 2093
Gross Floor Area	348,203 Sq ft
Number of car park bays	475
Number of Motorcycle bays	65
Net Lettable Area	260,429 Sq ft
FP 2017 Total Revenue	RM6.3 million
FP 2017 Net Property Income	RM4.3 million
Appraised Value	RM130 million
Occupancy Rate as at 30 June 2017	82.32%

PORTFOLIO PERFORMANCE (Cont'd)

TOP TEN TENANTS

Name	Trade Sector	Percentage of Occupied NLA (%)	% of Gross Rental Income
Giant Hypermarket	Supermarket	38.9%	18.8%
Pusat Kain Silk House	Home Decor, Gifts, Souvenirs and Stationery	5.7%	1.2%
Mr. DIY	Home Decor, Gifts, Souvenirs and Stationery	5.5%	2.0%
Sport Planet	Fashion Apparel	4.2%	1.1%
Toy World	Home Decor, Gifts, Souvenirs and Stationery	2.4%	0.5%
MG Concept Store	Fashion Apparel	2.2%	1.6%
Kedai Buku Smart	Home Decor, Gifts, Souvenirs and Stationery	2.2%	1.1%
Central Market Fish Head Curry Sdn. Bhd.	Food & Beverages	1.6%	3.1%
Super Ninety Nine Sdn Bhd	Home Decor, Gifts, Souvenirs and Stationery	1.6%	0.9%
Nac Global Trading	Home Decor, Gifts, Souvenirs and Stationery	1.6%	0.2%
SubTotal		65.9%	30.5%
Others		34.1%	69.5%
Total		100.0%	100.0%

TRADE SECTOR ANALYSIS

Trade Sector	% of Occupied NLA	% of Gross Rental Income
Wet Market	0.0%	0.0%
Food & Beverages	5.4%	11.8%
Supermarket	38.9%	18.8%
Fashion Apparel	20.5%	26.0%
Entertainment & Leisure	0.7%	1.6%
Beauty, Health and Wellness	2.5%	7.0%
Timepieces and Jewellery	1.1%	2.8%
Home Decor, Gifts, Souvenirs and Stationery	22.2%	13.9%
IT/ Electronic/ Digital	7.7%	14.1%
Furniture/ Show Gallery	0.2%	0.8%
Sundry and Services	0.8%	3.2%
Total	100.0%	100.0%

TENANCY EXPIRY PROFILE

Period	Number of Tenancies Expiring	Percentage of Occupied NLA Expiring (%)	Percentage of Gross Rental Income Expiring (%)
FY 2017	82	30.4%	36.6%
FY 2018	44	16.8%	24.0%
FY 2019	26	46.2%	33.8%
FY 2020	4	6.6%	5.6%
FY 2021	-	0.0%	0.0%
	156	100.0%	100.0%

CORPORATE SOCIAL RESPONSIBILITY

KIP REIT takes Corporate Social Responsibilities (“CSR”) seriously; the believe that giving back to the community has always been a way to express appreciation towards the society. In light with fulfilling its CSR obligation for 2017, KIP REIT Management Sdn Bhd (Manager for KIP REIT) together with Pacific Trustees Berhad, (Trustee for KIP REIT) recently pledged a sum of money to Badan Kebajikan Thalaesmia Malaysia (BERKAT).

The donation to BERKAT, an organisation supporting individuals who are suffering from Thalassaemia, a genetic blood disorder whereby the red blood cells are unable to carry a sufficient supply of oxygen for the body, was carried out in a closed-door ceremony at Menara KIP, Kuala Lumpur. A mock cheque from KIP REIT amounting to RM20,000 was presented to BERKAT Vice President, En. Shahrul Anwar, led by En. Mohd Nizam B. A. Hamid (Assistant General Manager, Advertising, Promotion, Leasing & Marketing) and Mr Chan Heng Wah (Chief Financial Officer) from KIP REIT Management Sdn. Bhd. and a mock cheque of RM10,000 was presented by Tan Sri Datuk Amar Steve Shim Lip Kiong (Chairman) and Mr. Paul Cheah Boon Hoe (Group Managing Director) from Pacific Trustees Berhad.



“We are very grateful for this generous donation. This will help us build and fund in-depth research on Thalassaemia as well as increasing the socio-economics of patients and their families. The general public is still largely ignorant of Thalassaemia, and one of the objective of BERKAT is to spread information of this potentially fatal blood disorder” expressed En. Shahrul Anwar bin Hassan.

En. Mohd Nizam B. A. Hamid said, “Through a thorough understanding and relationship that was long built with the community by offering year round value-for-money products and services especially in the current economic climate, we understand our social responsibility and we want it to be a core value that we practice moving forward”.

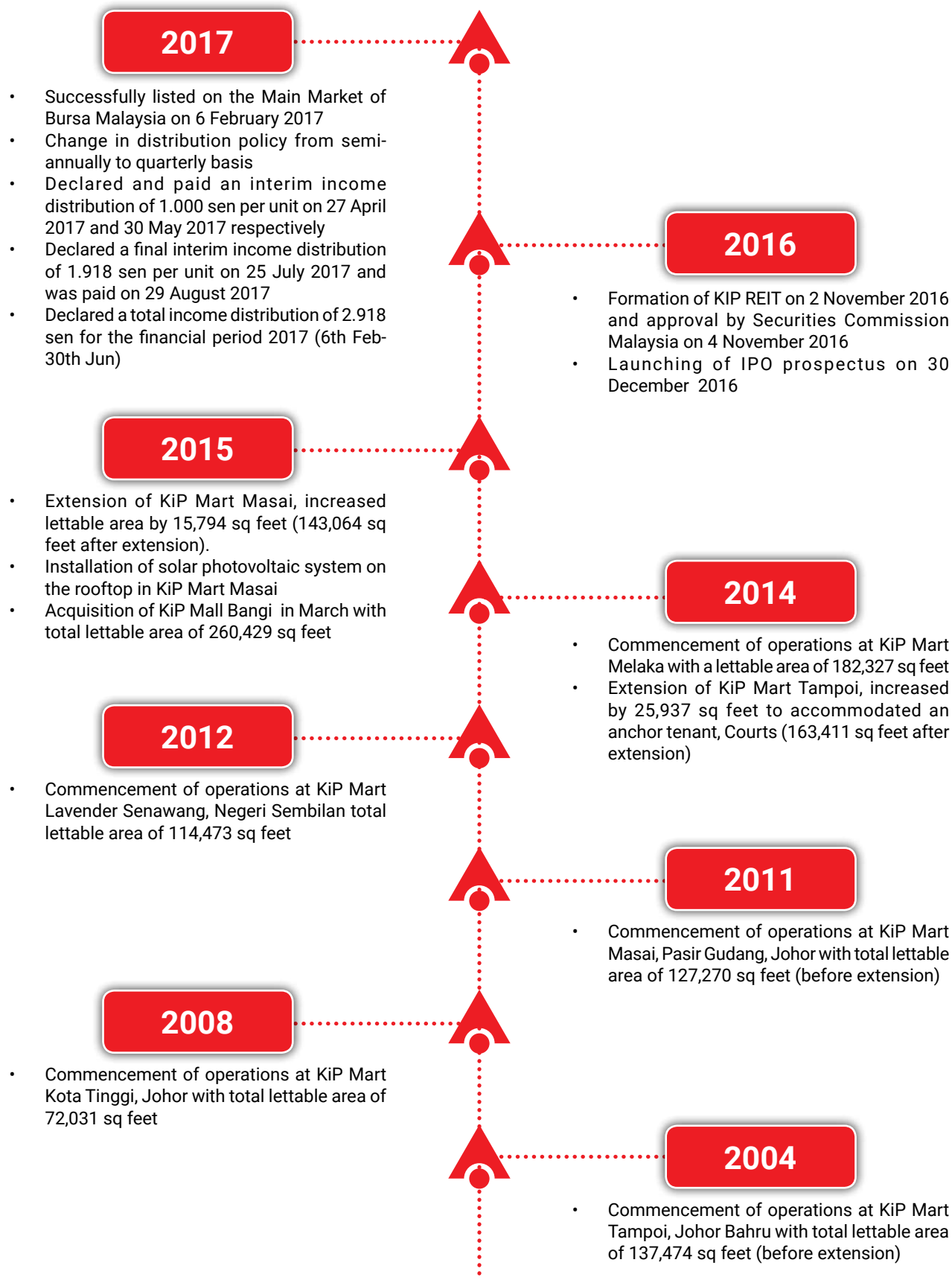
Tan Sri Datuk Amar Steve Shim Lip Kiong further added, “Pacific Trustees Berhad believes that being a great company is being a responsible corporate citizen. We are dedicated not only in meeting the needs of our clients by providing excellent trust service, but giving back to the community we service. Pacific Trustees Charitable Trust was created to benefit the community with the purpose of relief of poverty, education, religion, and the like – all of these comprise our corporate social responsibility.”



EVENTS IN KIP MARTS / KIP MALL

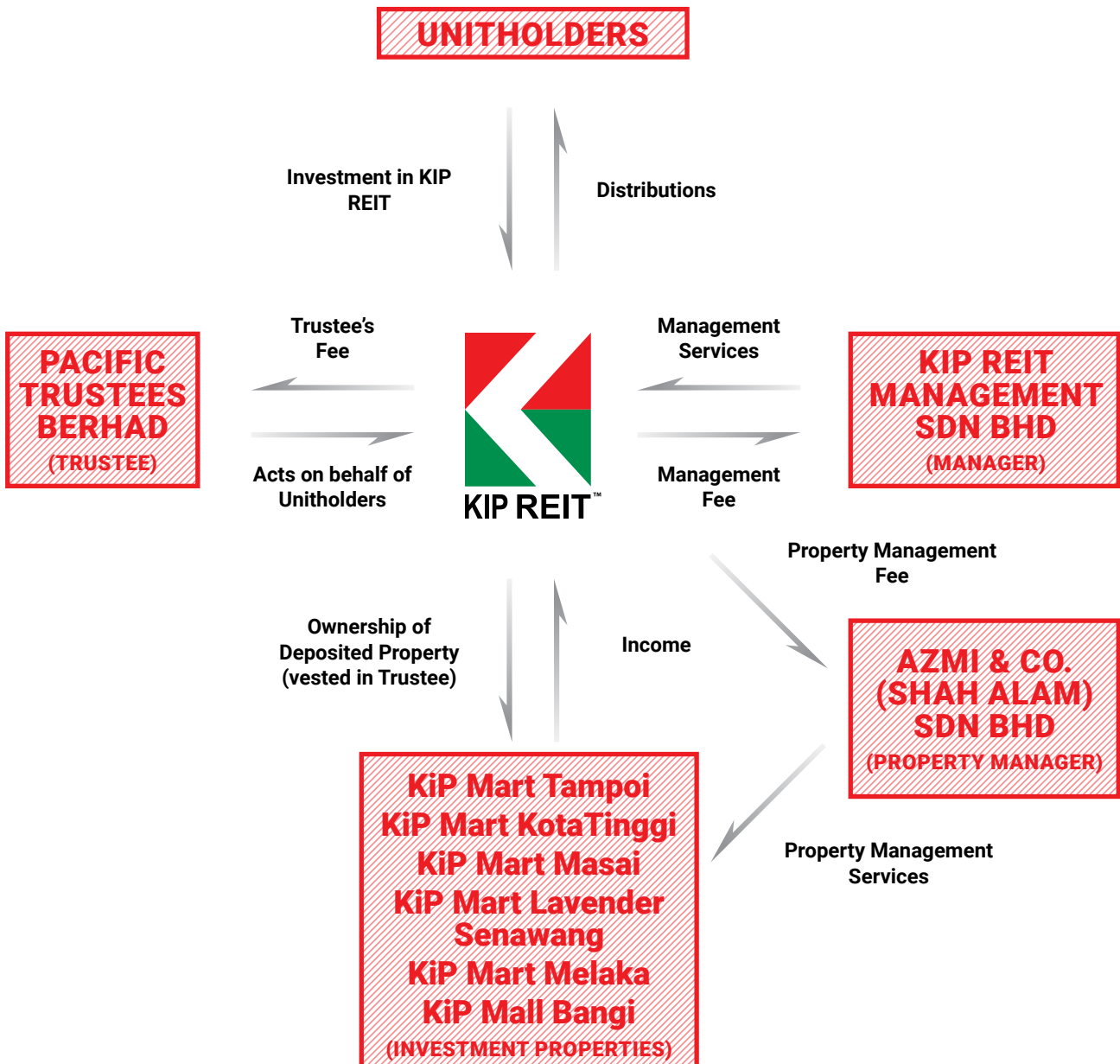


CORPORATE MILESTONES



CORPORATE ORGANISATION

KIP REIT is a REIT constituted by the Deed, as entered into between the Trustee and the Manager on 2 November 2016 and registered with the Securities Commission Malaysia on 4 November 2016. KIP REIT was listed on the Main Market of Bursa Malaysia Securities Berhad on 6 February 2017.



MISSION STATEMENT

OUR MISSION



As Manager for KIP REIT, we focus on delivering sustainable long-term income distributions and investment performance from the investment properties portfolio by embracing the following attributes and deliverables to meet our missions:-

- a) To Provide a Conducive Business Platform for Local Small & Medium Enterprises to Carry Out and grow their Businesses.
- b) To Engage with the Surrounding Communities Residents, providing a Retail Centre with Variety, Fresh and Affordable Daily, Household and Small Businesses' Needs.
- c) To Provide Unitholders with a Long Term and Stable Income Investment.
- d) To Adopt a Prudent Capital and Financial Management and constantly Enhancing Assets Value.
- e) To Achieve the above with a Team of Competent, Efficient and Effective Management Team.

FUND INFORMATION

ITEM	DESCRIPTION
Name of REIT	KIP REIT
REIT type	Income stability and growth
Deed	Deed dated 2 November 2016
The Manager	KIP REIT Management Sdn Bhd (1169638-M)
The Trustee	Pacific Trustees Berhad (317001-A)
Investment Objective	The key objective is to provide unitholders with regular and stable distributions, sustainable long term unit price, distributable Income and capital growth, while maintaining an appropriate capital structure.
Investment Strategies	The Manager intends to increase the income and consequently, the value of the Investment Properties by implementing the following strategies, including: (i) Active asset management and enhancement strategy – The Manager will seek to optimise the rental rates, occupancy rates and NLA of the Investment Properties in order to improve the returns from KIP REIT's investment property portfolio; (ii) Acquisition growth strategy – The Manager will source for and acquire properties that fit within KIP REIT's investment strategy to enhance returns to Unitholders and capitalise on opportunities for future income and NAV growth. To support this acquisition strategy, the Manager expects to benefit from the ROFR provided by the Promoters over the Promoters' existing and future retail properties in Malaysia; (iii) Capital and risk management strategy – The Manager will endeavour to employ an appropriate mix of debt and equity in financing acquisitions and will seek to manage financing and refinancing risks with the intention of maximising returns to Unitholders.
Authorised Investments	Real estate, special purpose vehicles, real-estate related assets, non-real estate-related assets, cash, deposits, money market instruments and any other investments not specified above but specified as a permissible investment in the REIT Guidelines or as otherwise permitted by the Securities Commission Malaysia.
Authorised Investments limits	The investments of KIP REIT are subject to the following investment limits imposed by the REIT Guidelines: (i) at least 50.0% of KIP REIT's Total Asset Value must be invested in Real Estate and/or SPVs at all times; and (ii) not more than 25.0% of KIP REIT's Total Asset Value may be invested in Non-Real Estate-Related Assets and/or cash, deposits and money market instruments. provided that investments in both Real Estate-Related Assets and Non-Real Estate-Related Assets are limited as follows: (i) the value of KIP REIT's investments in securities issued by any single issuer must not exceed 5.0% of KIP REIT's Total Asset Value; (ii) the value of KIP REIT's investments in securities issued by any group of companies must not exceed 10.0% of KIP REIT's Total Asset Value; and (iii) KIP REIT's investments in any class of securities must not exceed 10.0% of the securities issued by any single issuer; or such other limits and investments as may be permitted by the SC or the REIT Guidelines.

FUND INFORMATION (Cont'd)

ITEM	DESCRIPTION
Borrowing Limits	Up to 50% of the total asset value of KIP REIT at the time the borrowings are incurred.
Investors' Profile	KIP REIT may appeal to an investor with long-term investment objectives who seeks regular income distribution and long-term capital appreciation, and who understands the risks related to the real estate industry and REITs.
Distribution Policy	KIP REIT shall distribute up to 100.0% of KIP REIT's Distributable Income on a half-yearly basis for the Financial Period Ended 30 June 2017 and Financial Year Ending 30 June 2018 and thereafter at least 90% of KIP REIT's Distributable Income. The income distribution policy for KIP REIT has changed from half-yearly basis to quarterly basis with effect from 31 March 2017 onward, and has been approved by the Trustee and the Manager on 27 April 2017.
Revaluation Policy	The investment properties will be revalued annually pursuant to Malaysian Financial Reporting Standard ("MFRS") 140 and at least once every three (3) years from the date of last revaluation pursuant to Clause 10.03 of the Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts.

CORPORATE DIRECTORY

MANAGER : KIP REIT Management Sdn Bhd (Company Number:1169638-M)

Registered Office : Level 33A, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur, Malaysia
Telephone No.: +603 6203 5322 / +603 6203 5828
Facsimile No.: +603 6203 2788

Business Office : Unit B-6, Blok B, Tingkat 6, Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur, Malaysia
Telephone No.: +603 6259 1133 ; +603 6259 6633
Facsimile No.: +603 6259 1212
E-mail: kipreit@kip.com.my
Website: www.kipreit.com.my

DIRECTORS OF THE MANAGER

Dato' Dr Syed Hussain Bin Syed Husman

Chairman and Senior Independent Non-Executive Director

Dato' Chew Lak Seong

Managing Director and Non-Independent Executive Director

Dato' Ong Kook Liong

Non-Independent Executive Director

Datuk Mohamed Arsad Bin Sehan

Independent Non-Executive Director

Mr Foo Lee Khean

Independent Non-Executive Director

AUDIT AND RISK MANAGEMENT COMMITTEE

Mr Foo Lee Khean (*Chairman*)

Datuk Mohamed Arsad Bin Sehan

Dato' Dr Syed Hussain Bin Syed Husman

NOMINATION COMMITTEE

Datuk Mohamed Arsad Bin Sehan (*Chairman*)

Dato' Dr Syed Hussain Bin Syed Husman

Mr Foo Lee Khean

REMUNERATION COMMITTEE

Dato' Dr Syed Hussain Bin Syed Husman (*Chairman*)

Dato' Chew Lak Seong

Datuk Mohamed Arsad Bin Sehan

CORPORATE DIRECTORY (Cont'd)

COMPANY SECRETARY OF THE MANAGER

Foo Siew Loon (MAICSA 7006874)
Level 33A, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur, Malaysia
Telephone No.: +603 6203 5322 /
+603 6203 5828
Facsimile No.: +603-6203 2788

TRUSTEE

Pacific Trustees Berhad
(Company Number: 317001-A)
A-9-8, 9th Floor Megan Avenue 1
No. 189, Jalan Tun Razak
Off Persiaran Hampshire
50400 Kuala Lumpur, Malaysia
Telephone No.: +603 2166 8830
Facsimile No.: +603 2166 3830

PROPERTY MANAGER

Azmi & Co (Shah Alam) Sdn Bhd
(Company Number: 524945-H)
No. 8, 3rd Floor,
Jalan Tengku Ampuan Zabedah D9/D
40100 Shah Alam
Selangor, Malaysia
Telephone No.: +603 5510 1900
Website: www.azmigroup.com.my

EXTERNAL AUDITORS

PricewaterhouseCoopers
(Firm Number: AF 1146)
Level 10, 1 Sentral
Jalan Rakyat
Kuala Lumpur Sentral
50470 Kuala Lumpur, Malaysia
Telephone No.: +603 2173 1188
Website: www.pwc.com/my/en

TAX CONSULTANT

Deloitte Touche Tohmatsu Tax Services
Sdn Bhd (Company Number: 151497-P)
Level 16, Menara LGB
1, Jalan Wan Kadir, Taman Tun Dr Ismail
60000, Kuala Lumpur, Malaysia
Telephone No.: +603 7610 8888
Website: www.deloitte.com/my

PRINCIPAL BANKER OF THE FUND

OCBC Bank (Malaysia) Berhad
(Company Number: 295400-W)
18th Floor, Menara OCBC
18, Jalan Tun Razak
50050 Kuala Lumpur, Malaysia
Telephone No.: +603 2004 5034
Website: www.ocbc.com.my

INDEPENDENT PROPERTY VALUER

CBRE|WTW
C H Williams Talhar & Wong Sdn Bhd
(Company Number: 18149-U)
30-01, 30th Floor
Menara Multi-Purpose @ CapSquare
8 Jalan Munshi Abdullah, P.O. Box 12157
50100 Kuala Lumpur, Malaysia
Telephone No.: +603 2616 8888
Website: www.cbre-wtw.com.my

REGISTRAR

Symphony Share Registrars Sdn Bhd
(Company Number: 378993-D)
Level 6, Symphony House
Pusat Dagangan Dana 1
Jalan PJU 1A/46
47301 Petaling Jaya
Selangor, Malaysia
Telephone No.: +603 784 0777
Facsimile No.: +603 7841 8151
Website: www.symphony.com.my

INTERNAL AUDITOR

Axcelasia Columbus Sdn Bhd
(Company Number: 730660-W)
1-23-7 Level 23 Menara Bangkok Bank
Laman Sentral Berjaya,
No.105, Jalan Ampang, 50450
Kuala Lumpur, Malaysia
Telephone No.: +603 2181 8865
Website: www.axcelasia.com.my

STOCK EXCHANGE LISTING

Bursa Malaysia Securities Berhad
(Company Number: 635998-W)
Main Market
Stock Short Name : KIPREIT
Stock Code : 5280



BOARD OF DIRECTORS

No.	Name	Designation
1	Dato' Dr Syed Hussain Bin Syed Husman	Chairman and Senior Independent Non-Executive Director
2	Dato' Chew Lak Seong	Managing Director and Non-Independent Executive Director
3	Dato' Ong Kook Liong	Non-Independent Executive Director
4	Datuk Mohamed Arsad Bin Sehan	Independent Non-Executive Director
5	Mr Foo Lee Khean	Independent Non-Executive Director

THE BOARD OF DIRECTORS (Cont'd)



DATO' DR SYED HUSSAIN BIN SYED HUSMAN

*Chairman and Senior Independent
Non-Executive Director*

Dato' Dr Syed Hussain Bin Syed Husman, aged 60, a Malaysian male, was appointed to the Board of KIP REIT Management Sdn. Bhd., the Manager for KIP Real Estate Investment Trust ("KIP REIT") on 20 April 2016. He is also the Chairman of the Manager's Remuneration Committee, a member of Nomination Committee and Audit and Risk Management Committee.

Dato' Dr Syed Hussain is currently an Executive Director and the Chief Executive Officer of SVTT Resources Sdn Bhd (formerly known as SVT Resources Sdn Bhd), a position he has held since 2011. He is also currently an Independent Non-Executive Director and Chairman of Remuneration Committee of Kian Joo Can Factory Berhad since 2015.

Dato' Dr Syed Hussain also sits on the board of Universiti Putra Malaysia and is the Chairman of Putra Business School.

Dato' Dr Syed Hussain began his career in 1987 with Imperial Chemical International / Chemical Company Malaysia Berhad as a Human Resources Officer and was promoted to Human Resources Manager of the group in 1990. He was with Procter & Gamble, Malaysia/Singapore as Human Resources and External Affairs Director (1992 to 1997) and Rothmans of Pall Mall (Malaysia) Berhad (1997 to 2000). He was appointed to the board of directors of Rothmans in 1998 and served in British American Tobacco (Malaysia) Berhad (2000 to 2004) as Director, Human Resources – Public Relations and Security Affairs. He joined Ramunia Holdings Bhd in 2006 and left as Group Director, Human Resources, Communications and Information Technology in 2008.

Dato' Dr Syed Hussain was the Group Director of Human Resource & Corporate Affairs at Petrofield (M) Sdn Bhd between 2008 and 2010.

Dato' Dr Syed Hussain was awarded "HR Manager of the Year Award 1999" by the Malaysian Institute of Human Resource Management and Ministry of Human Resource Malaysia and "Justice of Peace" by His Highness Sultan of Negeri Sembilan in July 2000, appointed a Fellow of the Malaysian Institute of Human Resources Management in 2000, a Justice of Peace in July 2000, an Associate member of the Commonwealth Magistrates and Judges Association, CMJA. He is also a Council Member of the Malaysian Employers Federation, member of the National Skills Council and National Labour Advisor Council. He was also granted the title, "Accredited Public Relation Practitioner" (APR) by the Institute of Public Relations Malaysia in August 2005.

Dato' Dr Syed Hussain holds a Bachelor in Business Studies degree and a Masters in Business Administration (MBA) from Western Illinois University, Illinois, USA. He also attended the Senior Management Development Program at Harvard Business School, USA in 2002.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

Dato' Dr Syed Hussain has attended two (2) Board Meetings held in the financial period.

THE BOARD OF DIRECTORS (Cont'd)

DATO' CHEW LAK SEONG

*Managing Director and
Non-Independent Executive Director*



Dato' Chew Lak Seong, aged 62, a Malaysian male, was appointed to the Board of KIP REIT Management Sdn. Bhd., the Manager for KIP Real Estate Investment Trust ("KIP REIT") on 18 December 2015. He is also a member of the Manager's Remuneration Committee.

Dato' Chew currently holds the Capital Markets Services Representative's License ("CMSL") under the Capital Markets and Securities Act 2007.

Dato' Chew is the co-founder of the KIP group of companies and has been the Managing Director of KIP group of companies since 1997.

Dato' Chew has over 35 years of experience in property development and investment, hospitality, retail design and development, project management and corporate management. He was instrumental in the completion of Kipark Puchong, Kipark Selayang, Harmoni Park, Taman Tampoi Indah in Johor and Taman Perindustrian KIP in Kuala Lumpur, a mixed development comprising of high-rise medium-cost apartments, shop houses and factories.

Under his leadership, KIP group of companies has successfully revived an abandoned mixed development project located in Sri Utara, Kuala Lumpur, namely Kipark Sri Utara, consisting of residences (Taman Seri Utara), offices (Menara KIP) and hotel (KIP Hotel), with a combined gross development value of more than RM500.0 million.

Dato' Chew began his career in 1980 as a project manager in MBf Property Services Sdn Bhd, where he was involved in projects in Penang,

namely, 1 Persiaran Gurney condominium, Midland Park condominium, and Boundary Court apartments. In 1988, he joined Rawang Industrials & Property Sdn Bhd as General Manager of property development where he was involved in Rawang Jaya mixed development, Kepong Sentral shop apartments and Desa Jaya mixed development in Johor Bahru.

Dato' Chew subsequently joined Tanco Properties Sdn Bhd as General Manager of property development from 1990 to 1993. At Tanco Properties Sdn Bhd, he was involved in a development known as Rawang Country Homes, a 200-acre mixed development of retail and residential properties and the Duta Vista apartments in Kuala Lumpur.

From 1993 to 1997, he was Managing Director of property development in Meda group of companies. He contributed towards the success in the completion of the Summit Square, Summit Parade, Summit City and Plaza Bukit Mertajam.

Dato' Chew holds a B.Sc (Hons) Degree majoring in Housing, Building and Planning from University Sains Malaysia.

He has no conflict of interest and does not have family relationship with any director. He is a major unitholder of Landasan Primamaju Sdn. Bhd. and Adamin Corporation Sdn. Bhd., which are major unitholder of KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

Dato' Chew has attended all the three (3) Board Meetings held in the financial period.

THE BOARD OF DIRECTORS (Cont'd)



DATO' ONG KOOK LIONG

Non-Independent Executive Director

Dato' Ong Kook Liong, aged 57, a Malaysian male, was appointed to the Board of KIP REIT Management Sdn. Bhd., the Manager for KIP REIT Estate Investment Trust ("KIP REIT") on 18 December 2015.

Dato' Ong currently holds the Capital Markets Services Representative's License ("CMSL") under the Capital Markets and Securities Act 2007.

Dato' Ong is the co-founder of the KIP group of companies and is an Executive Director of KIP group of companies. He is responsible for spearheading leasing, retail development conceptualisation and tenant mix strategy for all projects including the KIP Mart portfolio.

Dato' Ong has over 27 years of experience in sales and marketing of properties, property investment and hospitality. He was instrumental in the planning, design, marketing and completion of Kipark Puchong, Kipark Selayang, Harmoni Park, Taman Tampoi Indah in Johor and Taman Perindustrian KIP in Kuala Lumpur, a mixed development comprising of high-rise apartments, shop houses, factories and landed properties.

Under his leadership, KIP group of companies has successfully revived an abandoned mixed development project located in Sri Utara, Kuala Lumpur, namely Kipark Sri Utara, consisting of residences (Taman Seri

Utara), offices (Menara KIP) and hotel (KIP Hotel), with a combined gross development value of more than RM500.0 million.

Dato' Ong began his career in 1989 as a sales executive in MBf Property Services Sdn Bhd where he was involved in the Kepong Sentral project and Rawang Industrial Park development. He joined Tanco Properties Sdn Bhd in 1991 as a sales manager, where he was involved in the sales and marketing of a development known as Rawang Country Homes, a 200-acre mixed development of retail and residential properties.

From 1993 to 1997, he was Executive Director of property development in Meda group of companies. He contributed towards the success in the completion of the Summit Square, Summit Parade, Summit City and Plaza Bukit Mertajam.

He has no conflict of interest and does not have family relationship with any director. He is a major unitholders of Landasan Primamaju Sdn. Bhd. and Adamin Corporation Sdn. Bhd., which are major unitholder of KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

Dato' Ong has attended all the three (3) Board Meetings held in the financial period.

THE BOARD OF DIRECTORS (Cont'd)

DATUK MOHAMED ARSAD BIN SEHAN

Independent Non-Executive Director



Datuk Mohamed Arsad Bin Sehan, aged 64, a Malaysian male, was appointed to the Board of KIP REIT Management Sdn. Bhd., the Manager for KIP Real Estate Investment Trust ("KIP REIT") on 20 April 2016. He is also the Chairman of the Manager's Remuneration Committee, a member of Nomination Committee and Audit and Risk Management Committee.

Currently, Datuk Mohamed Arsad is the Executive Director of PureCircle Sdn Bhd, a member of the PureCircle Limited Group, which is a producer and supplier of high purity intensity natural sweeteners and flavours made from the stevia plant. He holds various directorships in other companies namely as Independent Non-Executive Director of SYF Resources Berhad since 2011 where he sits on the Audit Committee and Nomination Committee. He is also a Senior Independent Non-Executive Director of Bertam Alliance Berhad since 2014 and serves as the Chairman of the Nomination Committee.

Datuk Mohamed Arsad has more than 30 years of working experience in banking and finance institutions. Datuk Mohamed Arsad bin Sehan

began his career with Bank Kerjasama Rakyat Malaysia Berhad in 1978 as a bank officer. In Bank Kerjasama Rakyat Malaysia Berhad, he held senior management positions, including General Financing and Division Head of Planning and Corporate Services.

Datuk Mohamed Arsad spent seven years as Managing Director and Chief Executive Officer in a private limited company dealing in the manufacture and supply of standby power systems, whilst on secondment from Bank Kerjasama Rakyat Malaysia Berhad.

Datuk Mohamed Arsad holds a Bachelor of Economics (Statistics) degree from the University of Malaya.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

Datuk Arsad has attended all the three (3) Board Meetings held in the financial period.

THE BOARD OF DIRECTORS (Cont'd)



MR. FOO LEE KHEAN

Independent Non-Executive Director

Mr. Foo Lee Khean, aged 54, a Malaysian male, was appointed to the Board of KIP REIT Management Sdn. Bhd., the Manager for KIP Real Estate Investment Trust ("KIP REIT") on 18 May 2016. He is also the Chairman of the Manager's Audit and Risk Management Committee and a member of Nomination Committee

Mr. Foo is a SC licensed Investment Representative and a Director of Strategic Capital Advisory Sdn Bhd., a company specialising in corporate finance.

Mr. Foo holds various directorships in other companies namely as Non-Independent Non-Executive Chairman of Systech Berhad since 2011, Independent Non-Executive Director of Kumpulan Jetson Berhad since 2010 and Senior Independent Non-Executive Director of Kumpulan Jetson Berhad since 2013. He also serves as an Independent Non-Executive Director where he is a member of the Audit Committee, Nomination Committee, Remuneration Committee and the Employees Share Option Scheme Committee of SYF Resources Berhad.

Mr. Foo is an Independent Non-Executive Director of SMIS Corporation Berhad since 2007 and serves as the Chairman of the Audit and Risk Committee and Nomination Committee. He is also a member of the Remuneration Committee.

Mr. Foo has 29 years of working experience in the accounting and finance sector, starting

with Coopers & Lybrand Malaysia in 1987 under the restructuring and recovery department, before leaving as Senior Associate in 1989 to join PricewaterhouseCoopers ("PwC"), Singapore, also in the restructuring and recovery department. He left PwC in 1990 to join Arthur Andersen, Singapore before being transferred to Arthur Andersen, Malaysia in 1991 in the corporate recovery and corporate finance division.

Whilst in Arthur Andersen, Malaysia, his responsibilities include handling forensic audit, general receivership, mergers and acquisitions as well as corporate finance activities such as initial public offerings, fund-raising exercises and debt restructuring. Upon Arthur Andersen's merger with Ernst & Young in 2002, he was appointed as the Director of Corporate Finance before leaving in 2005 to join Strategic Capital Advisory Sdn. Bhd.

Mr. Foo is a fellow member of the Malaysia Institute of Accountants as well as the Chartered Institute of Management Accountants, United Kingdom.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

Mr Foo has attended two (2) Board Meetings held in the financial period.

THE MANAGEMENT TEAM



THE MANAGEMENT TEAM (Cont'd)

1 Lim Han Gie

CHIEF EXECUTIVE OFFICER

Mr Lim Han Gie, aged 58, a Malaysian male, was appointed as Chief Executive Officer of KIP REIT Management Sdn. Bhd., the Manager for KIP Real Estate Investment Trust ("KIP REIT") on 1 June 2016 and has no directorship in other public companies and listed issuers. He is responsible to lead the team of managers to plan and set a clear strategic direction to ensure the effective execution to achieve the mission of the Manager.

He currently holds the Capital Markets Services Representative's License ("CMSL") under the Capital Markets and Securities Act 2007.

Mr Lim has 30 years of working experience in the field of architecture, project management, property development, and retail leasing management.

Mr Lim began his career as an assistant architect in 1985 in an architecture firm based in Penang and Singapore. He joined MBf Property Services Sdn Bhd, as Project Manager in 1989, before leaving as Executive Vice President in 1999. He oversaw feasibility studies and project management of mixed housing, shopping centre, hotels, apartments and office building in various locations in Johor, Penang and Kuala Lumpur.

Prior to joining the KIP group of companies, he joined Macquarie (HK) Property Services Ltd from 1999 to 2000 as General Manager, overseeing housing developments in Shanghai.

In 2001, he joined the KIP group of companies as the general manager overseeing the property development projects and the operations of KIP Marts in Malaysia's southern region. He is also actively involved in project management and development, with an emphasis on community-centric and neighbourhood shopping centres. He was involved in the implementation of the KIP Mart business model and has led the introduction of three KIP Marts which are located in Tampoi, Kota Tinggi and Masai, all located in Johor. He was also involved in the formation of KIP REIT.

Mr Lim holds a Bachelors Degree in Architecture and a Master of Business Administration (MBA) degree, both from the National University of Singapore.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

2 Chan Heng Wah

CHIEF FINANCIAL OFFICER

Mr Chan Heng Wah, aged 61, a Malaysian male, was appointed as Chief Financial Officer of KIP REIT Management Sdn. Bhd., the Manager for KIP Real Estate Investment Trust ("KIP REIT") on 1 June 2016 and has no directorship in other public companies and listed issuer. He is responsible for the full spectrum of financial management functions including financial and management reporting, capital management, treasury and taxation of KIP REIT. He also develops and ensure the effective implementation of capital and cost structure of KIP REIT in accordance with the capital management strategy.

Mr Chan has more than 30 years of financial exposure in corporate planning, taxation, treasury, finance, accounting, stand-alone credit card operations, timesharing, resort management, business operations management and property development.

Mr Chan started his career with BATA (Malaysia) Bhd in 1975 as an Accounts Executive and moved to Tan & Tan Development Sdn. Bhd. in 1980 as an Accounts Executive. He joined MBf Card Services Sdn. Bhd. in 1987 as an Assistant Accountant and was subsequently promoted to Senior Manager. He was seconded to Hong Kong in 1995 as a Senior Manager- Finance and was eventually promoted to Assistant Vice President for overseas operation finance. His responsibilities include overseeing the financial management of credit card operations and property investment.

Mr Chan returned to Malaysia in 2003 to join Leisure Holidays Bhd, a subsidiary of MBf Corporation Bhd as the Chief Operating Officer and was transferred to MBf Corporation Bhd later as the Group Financial Controller from 2004 until 2007.

Mr Chan was the Group Financial Controller of the KIP group of companies since 2007, overseeing the group's treasury and financial management, IT, human resources and administration divisions. He was involved in the finance, operations and property investment functions for the KIP group of companies. He was also involved in the formation of KIP REIT.

THE MANAGEMENT TEAM (Cont'd)

Mr Chan holds a Master of Business Administration (MBA) in Finance and Accountancy from Newport University specialising in Total Quality Management, and is an associate member of the Canadian Chartered Institute of Finance & Accountancy.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

3 Mohd Nizam Bin Hj. Abd. Hamid

ASSISTANT GENERAL MANAGER, ADVERTISING, PROMOTION, LEASING AND MARKETING

En. Mohd Nizam Bin Hj. Abd. Hamid, aged 37, a Malaysian male, joined KIP REIT Management Sdn. Bhd., the Manager for KIP REIT as the Assistant General Manager, advertising, promotion, leasing and marketing on 1 February 2017 and has no directorship in other public companies and listed issuer. He is responsible to develop and implementing the effective marketing communications and consumer experience.

En. Mohd Nizam started his career as an Advertising Executive with Cerah Ilham Advertising Sdn Bhd from 2000 to 2001. He then moved to GIANT Cash & Carry hypermarket from 2001 until 2003 as an Advertising and Promotions Assistant. He joined the KIP group of companies in 2003 as a Marketing and Advertising Executive, and was promoted to Senior Marketing Executive in 2005.

En. Mohd Nizam was the Assistant General Manager of advertising, promotion, leasing and marketing of the KIP group of companies, where he was responsible for, amongst others, sourcing for prospective tenants for the KIP Marts, introducing policies and procedures to increase, improve, and maximise tenant occupancy of the KIP Marts and overseeing all advertising and promotion planning, budgeting, leasing and marketing activities of the KIP Marts.

En. Mohd Nizam holds a Diploma in Architecture from Petaling Jaya Community College.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

4 Yee Sieow Teng

SENIOR MANAGER, CORPORATE FINANCE

Ms. Yee Sieow Teng, aged 35, a Malaysian female, joined KIP REIT Management Sdn. Bhd., the Manager for KIP REIT as the Senior Manager, Corporate Finance on 1 February 2017 and has no directorship in other public companies and listed issuer. She is in charge of the key functions of the finance team include reporting financial performance of KIP REIT on all applicable approved accounting standards and relevant provisions of laws and regulations have been compiled with.

Ms. Yee is a Chartered Accountant and has 12 years of experience in accounts, finance and audit in various industries, including property development, trading, manufacturing, construction, hotel, and travel and tour services.

Ms. Yee started her career with an audit and accounting firm, Messrs. Yuen Tang & Co in 2003 as Audit Assistant and was promoted to Senior Audit Supervisor. She moved to Messrs. SJ Grant Thornton as Audit Senior in 2008 and Leslie Yap & Co as Audit Manager in 2009.

Ms. Yee joined the KIP group of companies in 2012 as Manager-Corporate Finance and Audit Compliance where she is responsible for setting up audit plans and identifying audit objectives for the KIP group of companies, performing internal audit reviews and producing audit reports on KIP Marts, as well as financial review and analysis, budgeting and planning for KIP Marts. She was also involved in the formation of KIP REIT.

Ms. Yee holds a professional qualification from the Association of Chartered Certified Accountants and is a member of the Malaysian Institute of Accountants.

She has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. She has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

THE MANAGEMENT TEAM (Cont'd)

5 Lee Yit Siong

MANAGER, LEGAL AND COMPLIANCE

Mr. Lee Yit Siong, aged 46, a Malaysian male, joined KIP REIT Management Sdn. Bhd., the Manager for KIP REIT as the Manager, legal and compliance on 1 February 2017 and has no directorship in other public companies and listed issuer. He is responsible in ensuring that the Manager is in compliance with the Deed and the relevant guidelines and regulations governing real estate investment trusts in Malaysia.

Mr. Lee was called to the Bar as an Advocate and Solicitor of Malaya in 2001 when he began his career as a Legal Assistant in the Litigation/Conveyancing department of Messrs. J.C. Leong & Saw. In 2004, he joined Messrs. Thomas Philip and practised in the areas of banking litigation, industrial relations and labour office matters.

In 2005, he joined Messrs. Jeff Leong, Poon & Wong as a Legal Assistant and was involved in corporate and legal advisory work. Subsequently, between 2008 and 2009, he joined Messrs. Adnan Sundra & Low as a Senior Legal Assistant. His work scope included representing various banking and financial institutions in legal suits, as well as advising private debt securities holders and bondholders in respect of debt recovery and litigation matters. He subsequently joined The Store as the Head of Legal in 2010 and was responsible for their legal affairs.

Mr. Lee joined the KIP group of companies in 2015 as Legal Manager, where his role included advising on all legal matters, managing the legal department, providing legal advisory services and ensuring effective management of legal and contractual risks.

Mr. Lee holds a law degree from the University of London and a Certificate in Legal Practice (CLP) from the Legal Profession Qualifying Board, Malaysia and is a former member of the Bar Council of Malaysia.

He has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT. He has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

6 Ms Pang Huey Miin

CHIEF EXECUTIVE OFFICER, KIP MART OPERATIONS

Ms Pang Huey Miin, aged 58, a Malaysian female, joined KIP Group since 2 August 2010 as Senior Complex Manager, and now has been appointed to the position of Chief Executive Officer for KIP Mart Operations.

Ms Pang Huey Miin is primarily responsible for the property management, including leasing and asset management and directly overseeing and setting quality services levels for the Property Manager. She also establishes operating procedures and develop programmes for continue improvement in operating strategy to sustain growth.

Ms Pang Huey Miin also leads and formulates effective strategies on retail propositions including tenant-mix, maintain and build good rapport with tenants, retailers, suppliers and etc. She also manages the KIP REIT's assets portfolio by maximising occupancy, employing marketing techniques and promotional incentives to maximise leasing revenue or tenant satisfaction.

Ms Pang Huey Miin has over 25 years of related working experience in managing malls with strong communication skills and leadership to drive the team to a greater height.

She has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT and has no directorship in other public companies and listed issuer. She has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

7 Ms Adeline Lee Soo Fui

GENERAL MANAGER, HUMAN RESOURCES AND ADMINISTRATION

Ms Adeline Lee Soo Fui, aged 48, a Malaysian female, joined KIP Group on 9 March 2015 as General Manager of Human Resource and Administration for KIP Mart/ Mall.

Ms Adeline Lee is responsible to provide overall leadership, and manage entire spectrum of Human Resource and Administrative functions, manpower planning, training and development and employee relations.

Ms Adeline Lee also develops and executes effective Human Resource strategies and implement initiatives to build efficiency and a high performance organization to achieve business goal.

Ms Adeline Lee has more than 15 years of Human Resource working experience.

THE MANAGEMENT TEAM (Cont'd)

She has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT and has no directorship in other public companies and listed issuer. She has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

8 Ms Cynthia Lim Chui Joo

ASSISTANT GENERAL MANAGER, KIP MART OPERATIONS

Ms Cynthia Lim Chui Choo, aged 45, a Malaysian female, joined KIP Group on 1 October 2015 as Complex Manager and currently held the position as Assistant General Manager, KiP Mart/ Mall in Southern Region.

Ms Cynthia Lim is responsible to ensure optimal operational, standards and assessing assets enhancements growth opportunity for all KIP REIT's assets portfolio in Southern Region. She also ensures the assets are properly upkeep and maintained.

Ms Cynthia Lim has over 10 years of related working experience in related real estate management.

She has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT and has no directorship in other public companies and listed issuer. She has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

9 Ms Cecilia Chin Feet Ying

GENERAL MANAGER, KIP MALL OPERATIONS

Ms Cecilia Chin Feet Ying, aged 35, a Malaysian female, joined KIP Group on 1 April 2015 as General Manager of KiP Mart/ Mall in Central Region.

Ms Cecilia Chin is responsible for the marketing and leasing of space as well as negotiating with new and existing tenants and property management of the KIP REIT's portfolio in Central Region.

Ms Cecilia Chin also oversees the property management aspects and is responsible to maximise tenant retention, loyalty and delivery of tenant care and services.

Ms Cecilia Chin has more than 12 years of extensive real estate experience in various aspect of real estate management, ranging from sales and marketing to managing retail outlets.

She has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT and has no directorship in other public companies and listed issuer. She has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

10 Ms Anita Lim Siew Yin

SENIOR MANAGER, MARKETING

Ms Anita Lim Siew Yin, aged 34, a Malaysian female, joined KIP Group on 1 July 2015 as Senior Marketing Manager, Advertisement and Promotion of KiP Mart/ Mall in Central Region.

Ms Anita is responsible for the overall marketing and leasing strategies, all operational matters related to KIP REIT's assets portfolio in Central Region.

Ms Anita also ensures the overall leasing performance, leads and drives the marketing plan and formulates short and long term marketing strategies to sustain growth and tenant retention.

Ms Anita has more than 10 years of extensive marketing and advertisement and promotion experience.

She has no conflict of interest and does not have family relationship with any director and/or major unitholder with KIP REIT and has no directorship in other public companies and listed issuer. She has not been convicted of any offences during the past ten (10) years other than traffic offences (if any).

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS

At KIP REIT, investor relations activities are focused on increasing awareness in the investment community via an open dialogue with all stakeholders, namely unitholders, analysts, media, potential investor and the general public. Our aim is to enable market participants to form a realistic opinion of KIP REIT's profitability, strategic positioning and the associated opportunities and risks.

Establishment of KIP REIT

KIP REIT is a REIT constituted by the Deed, as entered into between the Trustee and the Manager on 2 November 2016. The Deed came into effect on 2 November 2016 when it was registered with the Securities Commission Malaysia.

Lauching of Initial Public Offering ("IPO") Prospectus

The IPO Prospectus of KIP REIT was successfully launched on 30 December 2016. The initial public offering of 234,150,000 Offer Units comprising the Institutional Offering and the Retail Offering.



Listing of KIP REIT on the Main Market of Bursa Malaysia

KIP REIT was established on 2 November 2016. The acquisition of the investment properties by KIP REIT were completed on 6 February 2017 and KIP REIT was listed on the Main Board of Bursa Malaysia Securities Berhad on the same day.

KIP REIT, the first REIT to be listed on Bursa's main market this year, raised RM234.2 million during its IPO for the acquisitions of six investment properties in Johor, Melaka, Negeri Sembilan and Selangor. The REIT's IPO exercise saw the 10.2 million units offered to the Malaysian public oversubscribed by more than five times.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS (Cont'd)



Stakeholders Engagement

During the financial period, the management team have reached out to stakeholders through various communication channels in order to enable them to keep abreast of KIP REIT's performance and outlook, Fund's Manager and media briefing.

Bursa Securities

The Manager makes disclosures on an immediate basis pursuant to the Main Market Listing Requirements of Bursa Securities. This includes quarterly financial results and other material announcements.

Annual General Meeting

The first Annual General Meeting is scheduled on Thursday, 28 September 2017 at 11.00am at KIP Hotel, Kuala Lumpur.

Financial Results

KIP REIT publishes quarterly corporate presentation in an investor-friendly manner to provide more clarity on KIP REIT's financial and operational performance. The corporate presentation are available on the corporate website following the disclosure made to Bursa Securities.

INVESTOR RELATIONS AND CORPORATE COMMUNICATIONS (Cont'd)

Website

Comprehensive information and updates relating the KIP REIT are also made accessible to the public on KIP REIT's corporate website at www.kipreit.com.my. Information such as announcement to Bursa Securities, share price performance, media releases, corporate presentation, annual reports and other developments are archived on KIP REIT's corporate website. The website is regularly updated to ensure that the latest information is readily available to our stakeholders.

For new and prospective investors, a brief guide, fact sheet and detailed Frequently Asked Questions are available on the website. For more information, please visit the website at www.kipreit.com.my or contact:

The Manager

Investor Relations & Corporate Communications
KIP REIT Management Sdn Bhd (1169638-M)
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MANAGER'S REPORT

The Manager of KIP Real Estate Investment Trust ("KIP REIT"), KIP REIT Management Sdn Bhd ("Manager"), is pleased to submit their report and audited financial statements to unitholders of KIP REIT for the financial period ended from its date of establishment 2 November 2016 to 30 June 2017.

PRINCIPAL ACTIVITY

KIP REIT is a Malaysia-domiciled real estate investment trust ("REIT") established on 2 November 2016 pursuant to the deed of trust dated 2 November 2016 ("Deed") between the Manager and Pacific Trustees Berhad ("Trustee"), listed on Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities") on 6 February 2017 and regulated by the Securities Commission Act 1993, the Securities Commission's Guidelines on Real Estate Investment Trusts ("REIT Guidelines"), the Main Market Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing real estate used primarily for retail purposes as well as real estate-related assets. The nature of KIP REIT's investment shall be long-term, with a period of at least five years, with a focus towards community-centric retail centres.

DISTRIBUTION OF INCOME

KIP REIT had declared a distributions in the financial period as follows:-

- 1.000 sen per unit (1.000 sen taxable in the hands of unitholders) for the period from 6 February 2017 to 31 March 2017, which was paid on 30 May 2017.
- 1.918 sen per unit (1.838 sen is subject to withholding tax and 0.080 sen is non-taxable) for the period from 1 April 2017 to 30 June 2017, which is payable on 29 August 2017.

RESERVES AND PROVISIONS

All material transfers to or from reserves and provisions during the financial period are shown in the financial statements.

DIRECTORS

The Directors who have served on the Board of the Manager, since the date of establishment of KIP REIT are as follows:-

Dato' Dr Syed Hussain Bin Syed Husman
Dato' Chew Lak Seong
Dato' Ong Kook Liong
Datuk Mohamed Arsad Bin Sehan
Mr Foo Lee Khean

DIRECTORS' BENEFITS

During and at the end of the financial period, no arrangement subsisted to which the Manager is a party, with the object or objects of enabling the Directors of the Manager to acquire benefits by means of the acquisition of units in or debentures of KIP REIT or any other body corporate, other than as disclosed in Directors' interest.

For the financial period ended 30 June 2017, no Director has received or become entitled to receive a benefit (other than certain directors receive remuneration as a result of their employment with the Manager or related corporations).

MANAGER'S REPORT (Cont'd)

DIRECTORS' INTEREST

The following Directors of the Manager who held office at the end of the financial period had, according to the register of unitholdings in KIP REIT, interests in the units of KIP REIT as follows:-

	Balance at 2.11.2016 (date of establishment)	Number of units		Balance at 30.06.2017
		Addition	Disposal /Transferred	
Dato' Dr Syed Hussain Bin Syed Husman Direct	–	60,000	–	60,000
Dato' Chew Lak Seong Direct	–	17,292,902	–	17,292,902
Indirect	–	229,344,179	–	229,344,179
Dato' Ong Kook Liong Direct	–	17,320,403	–	17,320,403
Indirect	–	229,344,178	–	229,344,178
Datuk Mohamed Arsad Bin Sehan Direct	–	60,000	–	60,000
Mr Foo Lee Khean Direct	–	60,000	–	60,000

OTHER INFORMATION ON THE FINANCIAL STATEMENTS

Before the financial statements of KIP REIT were prepared, the Manager took reasonable steps:-

- to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate allowance had been made for doubtful debts; and
- to ensure that any current assets, other than debts, which were unlikely to realise in the ordinary course of business including the value of current assets as shown in the accounting records of KIP REIT had been written down to an amount which the current assets they might be expected so to realise.

At the date of this report, the Manager is not aware of any circumstances:-

- which would render the amounts written off for bad debts or the amount of the allowance for doubtful debts in the financial statements of KIP REIT inadequate to any substantial extent;
- which would render the values attributed to current assets in the financial statements of KIP REIT misleading; or
- which have arisen which render adherence to the existing method of valuation of assets or liabilities of KIP REIT misleading or inappropriate.

MANAGER'S REPORT (Cont'd)

OTHER INFORMATION ON THE FINANCIAL STATEMENTS (CONTINUED)

No contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve (12) months after the end of the financial period which, in the opinion of the Manager, will or may affect the ability of KIP REIT to meet its obligations when they fall due.

At the date of this report, there does not exist:-

- (a) any charge on the assets of KIP REIT which has arisen since the end of the financial period which secures the liability of any other person; or
- (b) any contingent liability of KIP REIT which has arisen since the end of the financial period.

At the date of this report, the Manager is not aware of any circumstances not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading.

In the opinion of the Manager:-

- (a) the results of KIP REIT's operations during the financial period were not substantially affected by any item, transaction or event of a material and unusual nature; and
- (b) there has not arisen in the interval between the end of the financial period and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of KIP REIT for the financial period in which this report is made.

MATERIAL LITIGATION

The Manager is not aware of any material litigation since the date of establishment of KIP REIT up to the date of this report.

CIRCUMSTANCES THAT MATERIALLY AFFECT THE INTERESTS OF UNITHOLDERS

There are no circumstances which materially affect the interests of the unitholders.

AUDITORS

The auditors, PricewaterhouseCoopers, have expressed their willingness to continue in office.

Signed on behalf of the Board of the Manager in accordance with a resolution of the Directors of the Manager dated 16 August 2017.



DATO' CHEW LAK SEONG
MANAGING DIRECTOR



DATO' ONG KOOK LIONG
EXECUTIVE DIRECTOR

STATEMENT OF CORPORATE GOVERNANCE

The Board of Directors of KIP REIT Management Sdn. Bhd. ("the Company" or "the Manager") recognises the value of good corporate governance and prioritises in ensuring that high standards of corporate governance is upheld and practised with the ultimate objective of protecting and enhancing unitholders' value and protecting the interests of all stakeholders. The Board is committed to ensure the continuity of good corporate governance practice that will add value to the business and affairs of the Manager.

The Manager has been guided by the measures set out in the Guidelines on Real Estate Investment Trusts issued by the Securities Commission (REIT Guidelines), the Main Market Listing Requirements of Bursa Malaysia (Listing Requirements) and the principles and recommendations of the Malaysian Code on Corporate Governance 2017 ("MCCG 2017").

THE MANAGER'S ROLE

In accordance with the Trust Deed dated 2 November 2016, the Manager is appointed to manage the assets and administer the funds of KIP REIT. Its primary objective is to provide the unitholders with regular and stable distributions, sustainable long term Unit price and distributable income as well as capital growth of KIP REIT.

The Manager has been issued a Capital Markets Services License (CMSL) by the Securities Commission (SC) on 27 October 2016 as required under the new requirement in Capital Markets Services Act (CMSA) for REIT Managers. Its 3 licensed representatives, namely Dato' Chew Lak Seong, Dato' Ong Kook Liong and Mr Lim Han Gie have respectively been issued with a Capital Markets Services Representatives License (CMSRL).

KIP REIT is externally managed by the Manager and as such, it has no employees. The Manager has appointed experienced and qualified personnel to handle its day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not by KIP REIT.

The Manager is required to ensure that the business and operations of KIP REIT are carried out and conducted in a proper, diligent and efficient manner, and in accordance with the acceptable business practices in the real estate investment trust industry in Malaysia. Subject to the provisions of the Deed, the Manager has full and complete control in managing the Fund (including all assets and liabilities of KIP REIT) for the benefits of the Unitholders.

The Manager's main functions, amongst others, are as follows:

- **Investment Strategy**

Formulate and implement KIP REIT's investment strategy.

- **Acquisition and Divestment**

Make recommendations and coordinate with the Trustee and implement the acquisition of new assets and divestment of KIP REIT's existing investments.

- **Asset Management**

Supervise and oversee the management of KIP REIT's properties including procurement of service providers to carry out specified activities, including but not limited to onsite property management, property maintenance, rent collection and arrear control. The Manager is also responsible for developing a business plan in the short, medium and long term with a view to maximise the income of KIP REIT.

- **Risk Management**

Identify principal risks of KIP REIT and ensuring the implementation of appropriate systems to mitigate and manage these risks.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

- **Financing**

Formulate plans for equity and debt financing for KIP REIT's funding requirements with the objective of optimising the capital structure and cost of capital.

- **Accounting Records**

Keep books and prepare or cause to be prepared accounts and annual reports, including annual budget for KIP REIT.

- **Investor Relations**

Develop and maintain investor relations including information coordination and distribution as well as customer service to investors.

- **Compliance Management**

Supervise all regulatory filings on behalf of KIP REIT, and ensure that KIP REIT is in compliance with the applicable provisions of the Securities Commission Act, SC's REIT Guidelines, Bursa Securities Main Market Listing Requirements, Trust Deed and all relevant contracts.

PRINCIPLES OF THE CORPORATE GOVERNANCE CODE

1. ESTABLISH CLEAR ROLES & RESPONSIBILITIES AND STRENGTHENING COMPOSITION

Board Structure, Composition and Balance

The composition of the Board of Directors is as follows:

- 1 Chairman and Senior Independent Non-Executive Director
- 1 Managing Director and Non-Independent Executive Director
- 1 Non-Independent Executive Director
- 2 Independent Non-Executive Directors

Board Duties and Responsibilities

In discharging their duties and responsibilities, the Board ensures that all decisions made are in the best interests of the Fund and Stakeholders. As prescribed by the MCCG 2017, the Board assumes the following responsibilities:

- **Reviewing and adopting a strategic plan for the Fund**

The strategic and business plan must be discussed and approved by the Board at its meeting. The Board will assess whether strategic consideration being proposed at Board meetings during the year are in line with the objectives and broad outline of the adopted strategic plans.

- **Overseeing the conduct and overall management of the Manager and management of the assets of KIP REIT**

The Board is responsible to oversee and review the Fund's annual budget, operational and financial performance on a periodic basis against the budget. At Board meetings, all operational matters will be discussed and appropriate consultation will be sought if necessary. Where and when available, the performance of the Fund will be benchmarked and compared against the performance of its competitors.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

- **Identifying principal risks and ensuring the implementation of appropriate internal controls and mitigation measures**

The Risk Management Report will be tabled on a periodic basis in the Board meeting to review the Fund's risks.

- **Succession planning**

The Board will deliberate on the latest plans and actions taken in respect of the succession planning to ensure that all candidates appointed to senior management positions are of sufficient calibre.

- **Overseeing the development and implementation of a Unitholder communications policy for the Fund**

The Manager has introduced many activities with regards to engagement and communication with investors to ensure that they are well informed on the Fund affairs and developments.

- **Reviewing the adequacy and the integrity of the management information and internal controls system of the Fund**

The Board's function as regard to fulfilling these responsibilities effectively are supported and reinforced through the various Committees established at both the Board and Manager's level. The active functioning of these Committees through their regular meetings and discussions would provide a strong check and balance and reasonable assurance on the adequacy of the Fund's internal controls.

Committees

In carrying its functions, the Board is supported by the Audit and Risk Management Committee, Nomination Committee and Remuneration Committee, all of which operate within defined terms of reference. The following committees provide the appropriate checks and balances:-

- **Audit and Risk Management Committee**

The Audit and Risk Management Committee is chaired by Mr Foo Lee Khean and comprises of 2 other members, Dato' Dr Syed Hussain Bin Syed Husman and Datuk Mohamed Arshad Bin Sehan. The Committee meets on a scheduled basis at least 4 times a year. The composition of the Audit and Risk Management Committee, its terms of reference, attendance of meetings and duties and responsibilities are set out on page 66 of the Annual Report. The minutes of the Audit and Risk Management Committee meetings are tabled to the Board for noting and for action by the Board, where necessary.

- **Nomination Committee**

The Nomination Committee is chaired by Datuk Mohamed Arshad Bin Sehan and comprises of 2 other members, Dato' Dr Syed Hussain Bin Syed Husman and Mr Foo Lee Khean. The main responsibilities for the Nomination Committee function is to ensure that the Board comprises Directors with appropriate skills, knowledge, expertise and experience, as well as to ensure a proper balance of Executive Directors and Independent Non-Executive Directors.

- **Remuneration Committee**

The Remuneration Committee is chaired by Dato' Dr Syed Hussain Bin Syed Husman and comprises of 2 other members, Datuk Mohamed Arshad Bin Sehan and Dato' Chew Lak Seong. The main responsibilities for the Remuneration Committee function is establishing, reviewing and recommending to the Board, the remuneration packages of Managing Director, Executive Director and Chief Executive Officer and reviewing their performance against the goals and objectives set.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

Access to Information and Advice

Prior to each board meeting, the Board Report will be circulated to all Directors so that each Director has ample time to peruse and review it for further deliberation at the Board meeting. The Board Report includes among others, the following details:

- Minutes of meeting of all Committees of the Board
- Any matters arising from previous meetings
- Business strategies and corporate proposals
- Review of operational matters and financial report
- Progress report on the Audit and Risk Management Committee report

The Board is fully aware of its duties and responsibilities with regards to the above and decisions and deliberation at the Board meetings are recorded and minuted by Company Secretary. All minutes will be sent for confirmation prior to the meetings.

Company Secretary

The Company Secretary and/or her assistants attend all Board meetings and, together with the Directors are responsible for the proper conduct of the meetings according to applicable rules and regulations. The Company Secretary regularly updates the Board on new regulations and directives issued by regulatory authorities.

Compliance Officer

The Manager has a designated compliance officer working towards ensuring the compliance with the Trust Deed and all legislation, rules and guidelines particularly the SC's REIT Guidelines and Bursa Malaysia Main Market Listing Requirements which are applicable to KIP REIT.

2. REINFORCING INDEPENDENCE

The Manager is led and overseen by experienced Board of Directors with a wide and varied range of expertise. This broad spectrum of skills and experience gives added strength to the leadership, thus ensuring that the Manager is under the guidance of an accountable and competent Board. The Board currently has 5 Directors comprising of 3 independent members, 1 non-independent member and 1 Managing Director. This is in compliance with the requirements of Clause 3.06 of REIT Guidelines which states that at least one-third of the Board to be independent.

There is a clear segregation of roles and responsibilities between the Chairman and the Managing Director to ensure a balance of power and authority. This also provides a healthy professional relationship between the Board and management with clarity of roles and robust deliberation on the business activities of KIP REIT.

The Chairman ensures that members of the Board work together with the Management in a constructive manner to address strategies, business operations, financial performance and risk management issues. The Managing Director has full executive responsibilities over the execution of the agreed business policies and directions set by the Board and of all operational decisions in managing KIP REIT.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

3. FOSTERING COMMITMENT

Meeting and Supply of Information

The Board meets regularly at least once every quarter to discuss and approve the release of the quarterly and annual financial results, annual budget, capital expenditure requirements, property reports, investor relations reports, performance of the Manager and KIP REIT against the approved budget. When necessary, the Board meets to review and approve acquisitions or disposals for recommendation to the trustee of KIP REIT ("Trustee") or any other issues requiring the immediate attention of the Board.

Notices and agenda of meetings duly endorsed by the Chairman together with the relevant board papers are normally given at least one (1) week prior to the meetings for the Board to study and evaluate the matters to be discussed.

The board papers provided include inter alia, the financial results, business plan and budget, progress report on the properties' developments, regulatory/statutory updates and other operational and financial issues for the Board's information and/ or approval.

Directors Training

In addition to the Mandatory Accreditation Programme ("MAP") as required by Bursa Malaysia, Board members are also encouraged to attend seminars and training programmes organised by the relevant regulatory authorities and professional bodies to broaden their knowledge and to keep abreast with the relevant changes in laws, regulations and the business environment. The Board will assess the training needs of the Directors and disclose in the Annual Report the trainings attended by the Directors.

The Board is also constantly updated by the Company Secretary on changes to the relevant guidelines on the regulatory and statutory requirements.

During the financial period ended 30 June 2017, the Board convened three meetings and all Directors have complied with the minimum 50 % attendances as required by Para15.05 of the Listing Requirements. Record of their attendances at Board meetings for the period ended 30 June 2017 are sets out below:

	1st BOD Meeting (23 February 2017)	2nd BOD Meeting (27 April 2017)	3rd BOD Meeting (29 June 2017)
Dato' Dr Syed Hussain Bin Syed Husman	x	x	–
Dato' Chew Lak Seong	x	x	x
Dato' Ong Kook Liong	x	x	x
Datuk Mohamed Arshad Bin Sehan	x	x	x
Mr Foo Lee Khean	–	x	x

4. UPHOLD INTEGRITY IN FINANCIAL REPORTING

Compliance with Applicable Financial Reporting Standards

In presenting the annual financial statements, annual report and quarterly announcements to Unitholders, the Board aims to present a balanced and understandable assessment of KIP REIT's financial position, performance and prospects.

The Directors have taken the necessary steps to ensure that KIP REIT has complied with all applicable Financial Reporting Standards and that the policies are supported by reasonable and prudent judgement and estimates.

The Audit and Risk Management Committee assists the Board in ensuring both annual financial statements and quarterly announcements are accurate and the preparation is consistent with the accounting policies adopted by KIP REIT.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

Relationship with the External Auditors

The Board has established formal and transparent arrangements for considering how financial reporting and internal control principles will be applied and for maintaining an appropriate relationship with the External Auditors through its Audit and Risk Management Committee.

The Audit and Risk Management Committee also keeps under review the scope and results of the audit and its cost effectiveness as well as the independence and objectivity of the External Auditors. The Board ensures that the External Auditors do not supply a substantial volume of non-audit services.

The appointment of External Auditors, who may be nominated by the Manager, must be approved by the Trustee. The External Auditors appointed must be independent of the Manager and the Trustee. The remuneration of the External Auditors must be approved by the Trustee.

5. RECOGNISE AND MANAGE RISKS

Internal Control

The Board is responsible for maintaining a system of internal control that covers financial and operational controls and risk management. The system provides reasonable but not absolute assurance against material misstatement of management and financial information or against financial losses and fraud.

Conflict of Interest

The Manager has established the following procedures to deal with potential conflicts of interest and related party transactions which it (including its Directors, executive officers and employees) may encounter in managing KIP REIT:-

- a) Any related party transaction must be duly disclosed by the related parties to the Audit and Risk Management Committee and the Board;
- b) The Audit Committee shall review the terms of the related party transaction before recommending to the Board;
- c) The Board shall ensure one-third of its Directors are Independent Directors; and
- d) In circumstances where any Director or officer of the Manager may have a direct or indirect interest in any related party transaction, they will abstain from deliberation and voting at any Board meeting and will require the Trustee's approval prior to entering into any transaction/agreement.

The Manager shall avoid instances of conflict of interest in any transaction and shall ensure that KIP REIT is not disadvantaged by the transaction concerned. In addition, the Manager shall ensure that such transactions are undertaken in full compliance with the SC's REIT Guidelines, the Trust Deed and the Listing Requirements.

Related Party Transactions

In dealing with any related party transaction, all related party transactions carried out by or on behalf of KIP REIT should be conducted as follows:-

- a) Carried out in full compliance with the SC's REIT Guidelines and the Trust Deed;
- b) Carried out at arm's length basis;
- c) In the best interest of Unitholders;
- d) Adequately disclosed to Unitholders;
- e) Consented by the Trustee; and
- f) Consistent with the investment objectives and strategies of KIP REIT.

All related party transactions are subject to review by the Audit and Risk Management Committee prior to recommendation to the Board. If a member of the Audit and Risk Management Committee has an interest in a transaction, he is to abstain from participating in the review and recommendation process in relation to that transaction.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

Material Contracts

There were no material contracts entered by KIP REIT that involved the Directors of the Manager or substantial Unitholders of KIP REIT during the financial period under review.

Internal Audit

The Internal Audit function is outsourced and the primary obligation, accountability and responsibility with regards to the scope of internal audit services shall remain with the Board and the Manager at all times.

6. ENSURE TIMELY AND HIGH QUALITY DISCLOSURE

Corporate Disclosure Policy

KIP REIT has in place procedures for compliance with the Main Market Listing Requirements of Bursa Securities and ensures that all material information must be announced immediately to Bursa Securities.

Leverage on Information Technology

KIP REIT has established a website at www.kipreit.com.my to create greater awareness of KIP REIT activities, performance and other relevant information among the stakeholders and general public. The website has all information with reference to material information of quarterly and annual result announcements, changes to shareholding and press releases are published concurrently with Bursa Malaysia website.

7. STRENGTHEN RELATIONSHIP WITH THE UNITHOLDERS

Investor Relations and Corporate Communications

The Board values constant dialogue and is committed to clear communication with Unitholders and Investors. In this respect, as part of KIP REIT's active investor relations programme, discussions and dialogues are held with fund managers, financial analysts, unitholders and the media to convey information about KIP REIT's performance, corporate strategy and other matters affecting unitholders' interests.

The Manager communicates information on KIP REIT to Unitholders and the investing community through announcements that are released to Bursa Securities via Bursa LINK. Such announcements include the quarterly results, material transactions and other developments relating to KIP REIT requiring disclosure under the Main Market Listing Requirements of Bursa Securities. Communication channels with unitholders are also made accessible via:-

- Press and analysts' briefings
- One-on-one/group meetings, conference calls, investor luncheons, domestic/ overseas roadshows and conferences
- Annual Reports
- Press releases on major developments of KIP REIT
- KIP REIT's website at www.kipreit.com.my

With approximately about 24% of the units in KIP REIT are held by institutional investors, the Manager considers meetings with local fund managers an integral part of investor relations. These meetings and roadshows with investors enabled the Manager to update potential and current unitholders on KIP REIT's significant developments and its medium to long term strategies. KIP REIT also participates in various local conferences as part of its efforts to build interest in the Malaysia's real estate investment trust market.

In addition to ensuring that the published Annual Report is available to all unitholders and quarterly results announced to Bursa Securities. These information can also be viewed at KIP REIT's website.

STATEMENT OF CORPORATE GOVERNANCE (Cont'd)

While the Manager endeavours to provide as much information as possible to Unitholders and Stakeholders, it is mindful of the legal and regulatory framework governing the release of material and price-sensitive information.

Annual General Meeting ("AGM")

The AGM is an important event in the corporate calendar where all unitholders, directors and key personnel should attend and this forum for dialogue will aims to provides an opportunity to communicate with and receive constructive feedback from the unitholders.

During the AGM, the Chairman encourages active participation by the unitholders and where appropriate, the Chief Executive Officer will respond to unitholders' queries.

DIRECTORS' RESPONSIBILITY STATEMENT ON AUDITED FINANCIAL STATEMENTS

The Board is responsible in the preparation of the Audited Financial Statements to give a true and fair view of the state of affairs, results and cash flows of the Manager and KIP REIT at the end of each financial year. In preparing the financial statements, the Board will ensure that suitable accounting policies have been applied consistently, and that reasonable and prudent judgments and estimates have been made. All applicable approved accounting standards and relevant provisions of laws and regulations have been complied with. The Board is also responsible for ensuring that proper accounting and other records are kept which disclose with reasonable accuracy, the financial position of the Manager and KIP REIT and to ensure that the financial statements comply with the relevant statutory requirements. The Board has the overall responsibility for taking such steps that are reasonably open to them to safeguard the assets of KIP REIT to prevent and detect fraud and other irregularities.

STATEMENT OF RISK MANAGEMENT AND INTERNAL CONTROL

The Board is committed to nurture and preserve a sound system of risk management and internal controls and good corporate governance practices as set out in the Board's Statement on Risk Management and Internal Control made in compliance with Chapter 15, Paragraph 15.26 of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad and guided by the Statement on Risk Management & Internal Control: Guidelines for Directors of Listed Issuers.

BOARD'S RESPONSIBILITY

The Board acknowledges its responsibility for maintaining a sound system of risk management and internal control to safeguard the unitholders' interests and the Fund's assets, as well as to discharge its responsibility in identifying principal risks and ensuring the implementation of an appropriate risk management and internal control system to manage those risks in accordance with Principle 6 of the Malaysian Code on Corporate Governance. The Board continually reviews the adequacy and effectiveness of the Manager's risk management and internal control system which has been embedded in all aspects of the Manager's activities and reviews the processes, responsibilities and assesses for reasonable assurance that risks have been managed within the Manager's risk appetite. It is to be noted that the Manager's risk management system by its nature can only reduce rather than eliminate the risk of failure to achieve the business objectives. As such, the systems can only provide a reasonable but not absolute assurance against material misstatement, loss or fraud.

The Board has received assurance from the Chief Executive Officer that the Manager's risk management and internal control system is operating adequately and effectively, in all material aspects, based on the risk management and internal control framework of the Manager.

THE MANAGER'S RISK MANAGEMENT AND INTERNAL CONTROL SYSTEM

The periodic meetings of the Board, Board Committees and management are the main platform by which the Manager's performance and conduct are monitored. The day-to-day operations of the business are entrusted to the CEO and the management teams. The CEO continuously communicates the Board's expectations and directions to the management at the management meetings where all risks relating to strategy, operational and financial are discussed and dealt with action plans.

The Board is responsible for setting the business direction and strategies as well as overseeing the conduct of the Manager's operations through its Board Committees and management reporting mechanisms. Through these mechanisms, the Board is informed of all major issues pertaining to risks, governance, internal controls and compliance with regulatory requirements.

RISK MANAGEMENT

This is an ongoing process of identifying, evaluating, managing and responding to risks to achieve the objectives of KIP REIT for the financial period under review. The Board reviews the process as and when emerging risks are identified as risk management forms an integral part of KIP REIT's business operations and is embedded in the various work processes and procedures of the respective operational functions and management team. Any significant issues and controls implemented were discussed at the operations and monthly management meetings for further evaluation and strategic decision making.

STATEMENT OF RISK MANAGEMENT AND INTERNAL CONTROL (Cont'd)

INTERNAL CONTROL

The following key elements embody the current internal control system adopted by the Manager:-

- The Board has in place its own management reporting mechanisms which enable the Board to review the performance of the Manager and the Fund.
- The Board approved annual budgets and business plans prepared for each property.
- Investment strategies and criteria are formulated by the CEO and Management Team and recommendation on any acquisition or divestment would be presented to the Board for approval before forwarding to the Trustee for final approval.
- Comprehensive policies and procedures manual that provide guidelines on, and authority limits over various operating, financial and human resources matters.
- Regular management meetings involving the review of the operations and financial performance of each property.
- The Audit and Risk Management Committee with formal terms of reference clearly outlining its functions and duties delegated by the Board.
- The Audit and Risk Management Committee had on 25 July 2017 approved the appointment of an outsourced internal auditor to carry out the internal audit function from the first quarter of the financial year ending 2018.
- A systematic performance appraisal system for all levels of staff.
- Relevant training provided to staff across all functions to maintain a high level of competency and capability.

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT

COMPOSITION AND ATTENDANCE

For the financial period ended 30 June 2017, the Audit and Risk Management Committee comprised of 3 Directors, all of whom are also members of the Board of the Manager.

The composition of the Audit and Risk Management Committee is as follows:

Members/ Directorship	No. of meeting attended
Mr Foo Lee Khean (Chairman/ Independent Non-Executive Director)	2 out of 3
Dato' Dr Syed Hussain Bin Syed Husman (Member/ Senior-Independent Non-Executive Director)	2 out of 3
Datuk Mohamed Arshad Bin Sehan (Member/ Independent Non-Executive Director)	3 out of 3

DISCHARGING OF FUNCTIONS & DUTIES

During the financial period ended 30 June 2017, the Audit and Risk Management Committee met its responsibilities in discharging its functions and duties in accordance with its terms of reference as follows :-

1. Overseeing Financial Reporting

- (a) Reviewed and discussed with Management the quarterly management accounts, taking into consideration that the necessary processes and controls are in place in the preparation of the financial reports.
- (b) Reviewed and discussed the quarterly results with Management. The Committee also reviewed and discussed the annual financial statements and the External Auditors' audit report with the External Auditors, Internal Auditors as well as Management. Having satisfied itself that the financial results and reports complied with relevant accounting standards & legal requirement, the Audit and Risk Management Committee duly recommended the same for the Board's approval.
- (c) Minutes of previous Committee meetings were tabled at the subsequent Board meetings by the Audit and Risk Management Committee Chairman. Significant issues were highlighted together with followed up actions to rectify them were reported to the Board.
- (d) The Committee took note of significant changes and amendments to the regulations, accounting standards and other regulatory requirements that could affect the financial reporting of KIP REIT.

2. Assessing Risks and Control Environment

- a) The Committee oversee the management's activities in managing the Fund's critical risks related to strategic, financial, operational, legal and other risks.
- b) The Management reported to the Committee on a quarterly basis on all identified risks. The Committee reviewed and recommended risk management strategies, policies and risk appetite/tolerance for the Board's approval.
- c) The Committee also reviewed and deliberated on matters relating to internal control highlighted by the External Auditors in the course of their statutory audit of the financial statements.

AUDIT AND RISK MANAGEMENT COMMITTEE REPORT (Cont'd)

3. Evaluate the Audit Process

(i) Internal Audit

Upon the appointment of an outsourced Internal Auditor by the first quarter of financial year ending 2018, the below function and processes will be implemented:-

- (a) Review the annual internal audit plan with Management to ensure adequate audit coverage of the key risk areas and processes of the business operations activities of KIP REIT.
- (b) Review the adequacy and relevance of the scope, functions, resources, risk based internal audit plan and results of the internal audit processes.
- (c) Review the audit activities carry out by the Management and discussed the audit reports, their major findings and recommendations to ensure corrective actions are taken in addressing the risk issues reported.
- (d) Monitor and review the progress of follow-ups on audit findings to ensure remedial / corrective actions are taken by Management on a timely basis.
- (e) Evaluate the adequacy and effectiveness of internal audit function as well as the performance of the Internal Auditors against the audit plan.

(ii) External Audit

On 26 June 2017, the Audit and Risk Management Committee had reviewed and discussed with the Management and the External Auditors, PricewaterhouseCoopers, the Audit Planning Memorandum for 2017. At the aforesaid meeting, the External Auditors explained their audit approach and system of evaluation inclusive of the areas of audit emphasis and scope for the year and their audit strategies as well as the audit procedures prior to the commencement of annual audit.

4. Reviewing Related Party Transaction & Conflict of Interest Situations

- (a) The Audit and Risk Management Committee reviewed the potential conflict of interest, related party transactions and recurring related party transactions based on its existing framework which requires that such potential conflict of interest, related party transaction and recurring related party transaction situations be:
 - Carried out in compliance with the REIT Guidelines and the Deed;
 - Carried out on an arms' length basis and under normal commercial terms;
 - Carried out in the best interest of the unitholders;
 - Abstention from voting at Board Meetings for interested parties;
 - Adequately disclosed to the unitholders via Bursa Announcements, Quarterly Reports and Annual Report; and
 - Approved by the Trustee.
- (b) The Committee took note that there was no management conflict of interest situation for operational matters (including any transaction, procedure or course of conduct) as reported by the Chief Executive Officer at the board meetings.

DIRECTORS' RESPONSIBILITY STATEMENTS

The Board is responsible to ensure that the financial statements for the financial period ended 30 June 2017 have been prepared and drawn out in accordance with the Malaysian Financial Reporting Standards in Malaysia, International Financial Reporting Standards, applicable provisions of the Trust Deed of KIP REIT and the SC's REIT Guidelines, so as to give a true and fair view of the financial position of KIP REIT as at 30 June 2017 and of its financial performance and cash flows for the period from the date of establishment on 2 November 2016 to 30 June 2017.

In preparing the financial statements for the financial period ended 30 June 2017, the Directors have:-

- Adopted appropriate accounting policies and applied them accordingly;
- Made judgements and estimates that are reasonable and prudent;
- Ensured that the financial statements have been prepared in accordance with the Malaysian Financial Reporting Standards and International Financial Reporting Standards; and
- Prepared the financial statements on the going concern basis as the Directors have a reasonable expectation, having made enquiries, that the Trust have adequate resources to continue in operational existence for the foreseeable future.

The Directors of the Manager are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of KIP REIT. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Fund and to prevent and detect fraud and other irregularities.

STATEMENT BY THE MANAGER

In the opinion of the Directors of the Manager, the financial statements are drawn up in accordance with the provisions of the Deed, the REIT Guidelines, applicable securities laws, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of KIP REIT as at 30 June 2017 and of its financial performance and cash flows for the period from the date of establishment on 2 November 2016 to 30 June 2017.

Signed on behalf of the Board of the Manager in accordance with a resolution of the Directors of the Manager dated 16 August 2017.



DATO' CHEW LAK SEONG
MANAGING DIRECTOR



DATO' ONG KOOK LIONG
EXECUTIVE DIRECTOR

STATUTORY DECLARATION

I, CHAN HENG WAH, the Chief Financial Officer of the Manager primarily responsible for the financial management of KIP REIT, do solemnly and sincerely declare that the financial statements are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.



CHAN HENG WAH

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur on 16 August 2017.

Before me:


COMMISSIONER FOR OATHS



5B, JALAN RAKYAT
(JALAN TRAVERS)
BRICKFIELDS
50470 KUALA LUMPUR

TRUSTEE'S REPORT

TO THE UNITHOLDERS OF KIP REIT (ESTABLISHED IN MALAYSIA)

We have acted as Trustee of KIP REIT for the financial period ended 30 June 2017. In our opinion and to the best of our knowledge, the Manager has managed KIP REIT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed, the Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, the Capital Markets and Services Act 2007, applicable securities laws and other applicable laws during the financial period then ended.

We have ensured the procedures and processes employed by the Manager to value and price the units of KIP REIT are adequate and that such valuation/pricing is carried out in accordance with the Deed and other regulatory requirements.

We also confirm the income distributions declared during the financial period ended 30 June 2017 are in line with and are reflective of the objectives of KIP REIT. Income distributions have been declared for the financial period ended 30 June 2017 as follows:

- 1.000 sen per unit (1.000 sen taxable in the hands of unitholders) for the period from 6 February 2017 to 31 March 2017, which was paid on 30 May 2017.
- 1.918 sen per unit (1.838 sen is subject to withholding tax and 0.080 sen is non-taxable) for the period from 1 April 2017 to 30 June 2017, which is payable on 29 August 2017.

For and on behalf of the Trustee,
PACIFIC TRUSTEES BERHAD



RICHARD CHOW KAH WAI
GENERAL MANAGER

Kuala Lumpur,
Date: 16 August 2017

INDEPENDENT AUDITORS' REPORT

TO THE UNITHOLDERS OF KIP REIT (ESTABLISHED IN MALAYSIA)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Our opinion

In our opinion, the financial statements of KIP Real Estate Investment Trust ("KIP REIT") give a true and fair view of the financial position of KIP REIT as at 30 June 2017, and of its financial performance and its cash flows for the period from the date of establishment on 2 November 2016 to 30 June 2017 in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

What we have audited

We have audited the financial statements of KIP REIT, which comprise the statement of financial position as at 30 June 2017, and the statement of comprehensive income, statement of changes in net asset value and statement of cash flows for the period then ended, and notes to the financial statements, including a summary of significant accounting policies, as set out in pages 75 to 112.

Basis for opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the "Auditors' responsibilities for the audit of the financial statements" section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and other ethical responsibilities

We are independent of KIP REIT in accordance with the By-Laws (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our audit approach

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements of KIP REIT. In particular, we considered where the Directors of the Manager made subjective judgements; for example, in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. As in all of our audits, we also addressed the risk of management override of internal controls, including among other matters, consideration of whether there was evidence of bias that represented a risk of material misstatement due to fraud.

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the financial statements as a whole, taking into account the structure of KIP REIT, the accounting processes and controls, and the industry in which KIP REIT operates.

INDEPENDENT AUDITORS' REPORT (Cont'd)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONTINUED)

Key audit matter

Key audit matter is the matter that, in our professional judgement, was of most significance in our audit of the financial statements of KIP REIT for the current period. This matter was addressed in the context of our audit of the financial statements of KIP REIT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter.

Key audit matters	How our audit addressed the key audit matters
Fair value of investment properties As at 30 June 2017, KIP REIT's investment properties, carried at fair value, amounted to RM580 million. The fair value of KIP REIT's investment properties is performed by an external valuer engaged by management. We focused on this area due to the magnitude of the balance and the complexities in determining the fair value of the investment properties, which involves significant judgement and estimation of the underlying assumptions that could result in material misstatement. <i>Refer to Note 3(b) (Summary of Significant Accounting Policies), Note 4 (Critical Accounting Estimates and Judgements) and Note 6 (Investment Properties).</i>	We evaluated the competence, qualification and experience as well as the independence of the external valuer engaged by the management. We discussed with the external valuer independent of management about the methodology and assumptions used in the valuation. We agreed, on a sample basis, the rental income used in the valuation to underlying lease agreements, to satisfy ourselves of the accuracy of the data provided to the external valuer by management. We considered the valuation methodologies used against those applied by other valuers for similar property types. We compared the capitalisation rates used in the valuation against available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussion with the valuers. We assessed the adequacy of the disclosures on the relationship between the key assumptions used and the fair valuation of the investment properties in the financial statement. Based on the above procedures performed, we did not identify any material exceptions.

Information other than the financial statements and auditors' report thereon

The Directors of the Manager are responsible for the other information. The other information comprises the Financial and Portfolio Highlights, Letter to Unitholders, Management Discussion and Analysis, Portfolio Performance, Corporate Social Responsibility, Corporate Milestones, Investor Relations and Corporate Communications, Fund Information, Statement of Corporate Governance, Statement of Risk Management & Internal Control, Audit and Risk Management Committee Report, Directors' Responsibility Statements and Statistic of Unitholders, which is expected to be made available to us after that date. Other information does not include the financial statements of KIP REIT and our auditors' report thereon.

Our opinion on the financial statements of KIP REIT does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of KIP REIT, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of KIP REIT or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditors' report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

INDEPENDENT AUDITORS' REPORT (Cont'd)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONTINUED)

Responsibilities of the Directors of the Manager for the financial statements of KIP REIT

The Directors of the Manager are responsible for the preparation of the financial statements of KIP REIT that give a true and fair view in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors of the Manager are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements of KIP REIT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of KIP REIT, the Directors of the Manager are responsible for assessing the ability of KIP REIT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors of the Manager either intend to liquidate KIP REIT or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements of KIP REIT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of KIP REIT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of KIP REIT.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors of the Manager.
- Conclude on the appropriateness of the Directors of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on KIP REIT's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of KIP REIT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause KIP REIT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of KIP REIT, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

INDEPENDENT AUDITORS' REPORT (Cont'd)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS (CONTINUED)

Auditors' responsibilities for the audit of the financial statements (continued)

We communicate with the Directors of the Manager, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Directors of the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Directors of the Manager, we determine those matters that were of most significance in the audit of the financial statements of KIP REIT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER REPORTING RESPONSIBILITIES

The supplementary information set out in Note 25 is disclosed to meet the requirement of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Directors of the Manager are responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No. 1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants ("MIA Guidance") and the directive of Bursa Malaysia Securities Berhad. In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

OTHER MATTERS

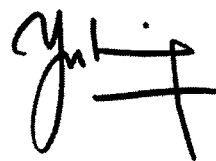
This report is made solely to the unitholders of KIP REIT and for no other purpose. We do not assume responsibility to any other person for the content of this report.



PRICEWATERHOUSECOOPERS

No. AF: 1146

Chartered Accountants



NG YEE LING

03032/01/2019 J

Chartered Accountant

Kuala Lumpur
16 August 2017

STATEMENT OF FINANCIAL POSITION

AS AT 30 JUNE 2017

	Note	2017 RM'000
Non-current assets		
Plant and equipment	5	323
Investment properties	6	580,000
Total non-current assets		580,323
Current assets		
Trade and other receivables	7	7,618
Deposits with licensed banks		11,277
Cash and bank balances	8	13,695
Total current assets		32,590
Total assets		612,913
Financed by:		
Unitholders' fund		
Unitholders' capital	9	492,264
Retained earnings		12,134
Total unitholders' fund		504,398
Non-current liabilities		
Borrowings	10	86,170
Payables and accruals	11	10,096
Total non-current liabilities		96,266
Current liabilities		
Borrowings	10	616
Payables and accruals	11	11,633
Total current liabilities		12,249
Total liabilities		108,515
Total unitholders' fund and liabilities		612,913
Net asset value ("NAV")		
- before income distribution		509,451
- after income distribution		504,398
Number of units in circulation ('000 units)	9	505,300
NAV per unit (RM)		
- before income distribution		1.0082
- after income distribution		0.9982

The accompanying notes form an integral part of the financial statements.

STATEMENT OF COMPREHENSIVE INCOME

FOR THE FINANCIAL PERIOD FROM DATE OF ESTABLISHMENT OF 2 NOVEMBER 2016 TO 30 JUNE 2017

	Note	2017 RM'000
Gross rental income		21,979
Other income	12	4,371
Gross revenue		26,350
Utilities expenses		(4,143)
Maintenance and housekeeping expenses		(1,154)
Marketing expenses		(341)
Quit rent and assessment		(533)
Reimbursement costs	13	(1,881)
Property manager fee		(58)
Other operating expenses		(715)
Property operating expenses		(8,825)
Net property income		17,525
Interest income		402
Other investment income		533
Net investment income		18,460
Manager's management fee	14	(896)
Trustees' fee		(80)
Auditors' remuneration		(95)
Valuers' fee		(150)
Other trust expenses		(754)
Borrowing costs	15	(1,825)
Profit before taxation		14,660
Taxation	16	-
Profit after taxation		14,660
Other comprehensive income, net of tax		-
Total comprehensive income attributable to unitholders		14,660
Profit after taxation is made up as follows:		
Realised		14,660
Unrealised		-
		14,660
Basic earnings per unit (sen)	17	2.9013
Diluted earnings per unit (sen)	17	2.9013
Total comprehensive income		14,660
Distribution adjustments	18	99
Distributable income		14,759
Distribution per unit (sen)		2.9208

The accompanying notes form an integral part of the financial statements.

STATEMENT OF CHANGES IN NET ASSET VALUE

FOR THE FINANCIAL PERIOD FROM DATE OF ESTABLISHMENT OF 2 NOVEMBER 2016 TO 30 JUNE 2017

	Note	Unitholders' capital RM'000	Retained earnings RM'000	Total funds RM'000
As at 2 November 2016		–	–	–
Profit of the period		–	14,660	14,660
Other comprehensive income		–	–	–
Total comprehensive income for the period attributable to unit holders		–	14,660	14,660
Unitholders' transactions				
Issue of new units at fair value		502,773	–	502,773
Difference between consideration given and the aggregate carrying amounts of the assets and liabilities of acquired business		–	2,527	2,527
Distribution to unitholders	18	–	(5,053)	(5,053)
Listing expenses		(10,509)	–	(10,509)
Increase in net assets resulting from unitholders' transactions		492,264	(2,526)	489,738
As at 30 June 2017		492,264	12,134	504,398

The accompanying notes form an integral part of the financial statements.

STATEMENT OF CASH FLOWS

FOR THE FINANCIAL PERIOD FROM DATE OF ESTABLISHMENT OF 2 NOVEMBER 2016 TO 30 JUNE 2017

		2 November 2016 (date of establishment) to 30 June 2017
	Note	RM'000
Cash flows from operating activities		
Profit before taxation		14,660
<i>Adjustments for:</i>		
Interest expense		1,746
Interest income		(403)
Depreciation of plant and equipment		20
Operating income before changes in working capital		16,023
Net change in trade and other receivables		(7,618)
Net change in payables and accruals		21,729
Net cash generated from operating activities		30,134
Cash flows from investing activities		
Purchase of plant and equipment		(343)
Acquisition of investment properties (Note 1)		(308,850)
Placement of deposits with licensed banks		(12,492)
Interest received		403
Net cash used in investing activities		(321,282)
Cash flows from financing activities		
Interest paid		(1,096)
Income distribution paid to unitholders		(5,053)
Proceeds from issue of new units		234,150
Payment of direct issuance cost		(10,509)
Proceeds from drawdown of long term financing		86,136
Net cash generated from financing activities		303,628
Net increase in cash and cash equivalents		12,480
Cash and cash equivalents at beginning of the period		–
Cash and cash equivalents at end of the period	8	12,480
 Note 1:		
Acquisition of investment properties:		
Cash consideration		308,850
Issuance of new units		271,150
		580,000

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1 GENERAL

(A) Background

KIP Real Estate Investment Trust ("KIP REIT") is a Malaysia-domiciled real estate investment trust established on 2 November 2016 pursuant to the Deed between KIP REIT Management Sdn Bhd ("Manager") and Pacific Trustees Berhad ("Trustee"), listed on Main Market of Bursa Securities on 6 February 2017 and is regulated by the Securities Commission, the Securities Commission's Guidelines on Real Estate Investment Trusts ("REIT Guidelines"), the Listing Requirements of Bursa Securities, the Rules of Bursa Malaysia Depository ("Depository") and taxation laws and rulings. The addresses of the Manager's registered office and principal place of business are as follows:-

Registered office

Level 33A, Menara 1MK
Kompleks 1 Mont Kiara
No. 1 Jalan Kiara, Mont Kiara
50480 Kuala Lumpur, Malaysia

Principal place of business

Unit B-6, Blok B, Tingkat 6, Menara KIP
No. 1, Jalan Seri Utara 1
Sri Utara Off Jalan Ipoh
68100 Kuala Lumpur, Malaysia

The principal investment policy of KIP REIT is to invest, directly and indirectly, in a portfolio of income producing Real Estate used primarily for retail purposes as well as real estate related assets. The nature of KIP REIT's investment shall be long-term, with a period of at least five years, with a focus towards community-centric retail centres.

The Manager's key objective is to provide unitholders with regular and stable distributions, sustainable long term Unit price and distributable income and capital growth, while maintaining an appropriate capital structure.

The financial statements for the financial period ended 30 June 2017 were authorised for issue in accordance with a resolution by the Directors of the Manager on 16 August 2017.

(B) Fee Structure

KIP REIT has entered into service agreements in relation to the management of KIP REIT and its property operations. The fee structures are as follows:-

(a) **Property management fees**

The property manager, Azmi & Co. (Shah Alam) Sdn. Bhd, is entitled to property management fee of RM12,000 per month (excluding goods and services tax). In addition, the property manager is also entitled to full disbursement of costs and expenses properly incurred in the operation, maintenance, management and marketing of the properties held by KIP REIT ("Permitted Expenses") as well as fees and reimbursements for Permitted Expenses payable to its service providers.

(b) **Manager's management fees**

Pursuant to the Deed, the Manager is entitled to receive the following fees from KIP REIT, in the forms of cash, new Units or a combination thereof at the election of the Management Company in its sole discretion:-

(i) **Base Fee**

Up to 1.0% per annum of the Total Asset Value of KIP REIT (excluding cash and bank balances) in the relevant financial year.

The Manager had charged a Base Fee of 0.3% per annum of the Total Asset Value of KIP REIT (excluding cash and bank balances) for the financial period ended 30 June 2017.

NOTES TO THE FINANCIAL STATEMENTS

(Cont'd)

1 GENERAL (CONTINUED)

(B) Fee Structure (continued)

(b) Manager's management fees (continued)

(ii) Performance Fee

Up to 5.0% per annum of the Net Property Income of KIP REIT in the relevant financial year.

The Manager had charged a Performance Fee of 1.0% per annum of the Net Property Income of KIP REIT for the financial period ended 30 June 2017.

(iii) Acquisition Fee

1.0% of each of the following as is applicable (subject to there being no double-counting):

- (a) in relation to an acquisition (whether directly or indirectly through the Trustee or one or more SPV of KIP REIT) of any Real Estate or Real Estate-Related Assets, the transaction value (being the total purchase price) of any Real Estate or any Real Estate-Related Assets purchased by KIP REIT or its SPV (pro-rated, if applicable, to the proportion of KIP REIT's interest); or
- (b) in relation to an acquisition (whether directly or indirectly through one or more SPV of KIP REIT) of any SPV or holding entities which holds Real Estate, the underlying value of any Real Estate (pro-rated, if applicable, to the proportion of KIP REIT's interest).

Any payment to third party agents or brokers in connection with the acquisition of any Real Estate and Real Estate-Related Assets for KIP REIT shall not be paid by the Manager out of the acquisition fee received or to be received by the Manager (but shall be borne by KIP REIT).

The Acquisition Fee is payable with respect to all transactions (which includes related party and non-related party transactions), including acquisitions from the Promoters.

For the avoidance of doubt, no Acquisition Fee is payable with respect to the acquisition of the Subject Properties in connection with the Listing.

(iv) Divestment Fee

0.5% of each of the following as is applicable (subject to there being no double-counting):

- (a) in relation to a disposal (whether directly or indirectly through the Trustee or one or more SPV of KIP REIT) of any Real Estate or Real Estate-Related Assets, the transaction value (being the total sale price) of any Real Estate or Real Estate-Related Assets disposed of by KIP REIT or its SPV (pro-rated, if applicable, to the proportion of KIP REIT's interest); or
- (b) in relation to a disposal (whether directly or indirectly through one or more SPV of KIP REIT) of any SPV or holding entities which holds Real Estate, the underlying value of any Real Estate (pro-rated, if applicable, to the proportion of KIP REIT's interest).

Any payment to third party agents or brokers in connection with the sale or divestment of any Real Estate and Real Estate-Related Assets for KIP REIT shall not be paid by the Manager out of the divestment fee received or to be received by the Manager (but shall be borne by KIP REIT).

The Divestment Fee is payable with respect to all transactions (which includes related party and non-related party transactions), including divestments to the Promoters, as well as for compulsory acquisitions.

NOTES TO THE FINANCIAL STATEMENTS

(Cont'd)

1 GENERAL (CONTINUED)

(B) Fee Structure (continued)

(b) Manager's management fees (continued)

The payment of the Management Company's management fee in the form of new Units will be in accordance with the following formula:

$$\text{New units to be issued as payment of the Management Company's management fee} = \frac{\text{Management Company's management fee payable in Units}}{\text{Market Price}}$$

For this purpose, "Market Price" means the volume weighted average market price of Units for the last 5 Market Days preceding the following events:

- (i) in respect of the Base Fee and Performance Fee, the announcement of the relevant quarterly reports:
or
- (ii) in respect of the Acquisition Fee and Divestment Fee, the completion of the relevant acquisition/
divestment,

(each a "Trigger Event").

With reference to any Book Closing Date, where the Trigger Event is before but the issuance of the new Units relating to such Trigger Event is after the said Books Closing Date, the Market Price will be further adjusted for the entitlement relating to such Books Closing Date.

The management Company will make immediate announcements to Bursa Securities disclosing the number of new Units issued and the Issue Price when new Units are issued as payment for Management Fee. Payment of the Management fees in Units shall be subject to KIP REIT complying with the public spread requirements stated in the Listing Requirements and there being no adverse implications under the Malaysian Code on Take-Overs and Mergers 2010.

(c) Trustee's fees

The Trustee fee payable is RM100,000 per annum payable upon the execution of the Deed for the first three years and thereafter at such rate to be mutually agreed between the Manager and the Trustee. In any case, the annual trustee's fee in aggregate shall be up to the maximum rate of 0.05% per annum of the NAV of KIP REIT. For avoidance of doubt, the annual trustee's fee in aggregate for the first three years upon the execution of the Deed shall not be less than RM100,000 per annum.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

2 BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of KIP REIT have been prepared in accordance with the provisions of the Deed, Malaysian Financial Reporting Standards ("MFRS") and International Financial Reporting Standards.

The financial statements have been prepared under the historical cost convention except as disclosed in the summary of significant accounting policies. The financial statement are drawn up for the financial period 2 November 2016 (date of establishment) to 30 June 2017. As the financial statement are drawn up for the first time, no comparative figures are presented.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reported period. It also requires Directors of the Manager to exercise their judgment in the process of applying KIP REIT's accounting policies. Although these estimates and judgment are based on the Directors of the Manager's best knowledge of current events and actions, actual results could differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

(b) Standards, amendments to published standards and interpretations to existing standards that are applicable to KIP REIT but not yet effective

KIP REIT would apply the new standards, amendments to standards and interpretations to existing standards in the following period:-

- (i) Financial year beginning on/after 1 July 2017
 - Amendments to MFRS 107 'Statement of Cash Flows – Disclosure Initiative' (effective from 1 July 2017) introduce an additional disclosure on changes in liabilities arising from financing activities
- (ii) Financial year beginning on/after 1 July 2018
 - The amendments to MFRS 2 address three main areas:
 - (a) The effects of vesting conditions on the measurement of a cash-settled share-based payment transaction;
 - (b) The classification of a share-based payment transaction with net settlement features for withholding tax obligations; and
 - (c) Accounting where a modification to the terms and conditions of a share-based payment transaction changes its classification from cash settled to equity settled.

On adoption, entities are required to apply the amendments without restating prior periods, but retrospective application is permitted if elected for all three amendments and other criteria are met. The amendments are effective for annual periods beginning on or after 1 July 2018, with early application permitted. These amendments are not expected to have any impact on KIP REIT.

NOTES TO THE FINANCIAL STATEMENTS

(Cont'd)

2 BASIS OF PREPARATION (CONTINUED)

(b) Standards, amendments to published standards and interpretations to existing standards that are applicable to KIP REIT but not yet effective (continued)

KIP REIT would apply the new standards, amendments to standards and interpretations to existing standards in the following period:- (continued)

(ii) Financial year beginning on/after 1 July 2018 (continued)

- MFRS 9 'Financial Instruments' (effective from 1 July 2018) will replace MFRS 139 "Financial Instruments: Recognition and Measurement". The complete version of MFRS 9 was issued in November 2014.

MFRS 9 retains but simplifies the mixed measurement model in MFRS 139 and establishes three primary measurement categories for financial assets: amortised cost, fair value through profit or loss and fair value through other comprehensive income ("OCI"). The basis of classification depends on the entity's business model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are always measured at fair value through profit or loss with a irrevocable option at inception to present changes in fair value in OCI (provided the instrument is not held for trading). A debt instrument is measured at amortised cost only if the entity is holding it to collect contractual cash flows and the cash flows represent principal and interest.

For liabilities, the standard retains most of the MFRS 139 requirements. These include amortised cost accounting for most financial liabilities, with bifurcation of embedded derivatives. The main change is that, in cases where the fair value option is taken for financial liabilities, the part of a fair value change due to an entity's own credit risk is recorded in OCI rather than the statement of comprehensive income, unless this creates an accounting mismatch.

There is an expected credit losses model on impairment for all financial assets that replaces the incurred loss impairment model used in MFRS 139. The expected credit losses model is forward-looking and eliminates the need for a trigger event to have occurred before credit losses are recognised.

- MFRS 15 'Revenue from contracts with customers' (effective from 1 July 2018) replaces MFRS 118 'Revenue' and MFRS 111 'Construction contracts' and related interpretations. The core principle in MFRS 15 is that an entity recognises revenue to depict the transfer of promised goods or services to the customer in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Revenue is recognised when a customer obtains control of goods or services, i.e. when the customer has the ability to direct the use of and obtain the benefits from the goods or services.

A new five-step process is applied before revenue can be recognised:-

- Identify contracts with customers;
- Identify the separate performance obligations;
- Determine the transaction price of the contract;
- Allocate the transaction price to each of the separate performance obligations; and
- Recognise the revenue as each performance obligation is satisfied.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

2 BASIS OF PREPARATION (CONTINUED)

(b) Standards, amendments to published standards and interpretations to existing standards that are applicable to KIP REIT but not yet effective (continued)

KIP REIT would apply the new standards, amendments to standards and interpretations to existing standards in the following period:- (continued)

(ii) Financial year beginning on/after 1 July 2018 (continued)

Key provisions of the new standard are as follows:-

- Any bundled goods or services that are distinct must be separately recognised, and any discounts or rebates on the contract price must generally be allocated to the separate elements.
- If the consideration varies (such as for incentives, rebates, performance fees, royalties, success of an outcome etc), minimum amount of revenue must be recognised if they are not at significant risk of reversal.
- The point at which revenue is able to be recognised may shift: some revenue which is currently recognised at a point in time at the end of a contract may have to be recognised over the contract term and vice versa.
- There are new specific rules on licenses, warranties, non-refundable upfront fees, and consignment arrangements.

(iii) Financial year beginning on/after 1 July 2019

- MFRS 16 'Leases' (effective from 1 July 2019) supersedes MFRS 117 'Leases' and the related interpretations.

Under MFRS 16, a lease is a contract (or part of a contract) that conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

MFRS 16 eliminates the classification of leases by the lessee as either finance leases (on balance sheet) or operating leases (off balance sheet). MFRS 16 requires a lessee to recognise a "right-of-use" of the underlying asset and a lease liability reflecting future lease payments for most leases.

The right-of-use asset is depreciated in accordance with the principle in MFRS 116 'Property, Plant and Equipment' and the lease liability is accreted over time with interest expense recognised in profit or loss.

For lessors, MFRS 16 retains most of the requirements in MFRS 117. Lessors continue to classify all leases as either operating leases or finance leases and account for them differently.

KIP REIT is in the process of assessing the impact of the above MFRSs on the financial statements and expects this process to be completed prior to the effective dates of these standards.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to the period presented in these financial statements by KIP REIT.

(a) Business combination under common control

KIP REIT applies predecessor accounting to account for business combinations under common control i.e. combination involving entities or businesses under common control. Under the predecessor accounting, assets and liabilities acquired are not restated to their respective fair values but at the carrying amounts from the consolidated financial statements of the holding company. The difference between any consideration given and the aggregate carrying amounts of the assets and liabilities (at the date of the transaction) of the acquired business is recorded as an adjustment to retained earnings. No additional goodwill is recognised. Acquisition-related costs are expensed as incurred. The acquired business' results and the related balance sheet items are recognised prospectively from the date on which the business combination between entities under common control occurred.

(b) Investment properties

Investment properties are held for long term rental yields or for capital appreciation or both, and are not substantially occupied by KIP REIT. Investment properties are measured initially at cost, including related transaction costs. After initial recognition, investment properties are carried at fair value.

Fair value is based on income method, where cash flows projections are capitalised using a capitalisation rate, which takes into account the unexpired period, yield, and sinking fund, where applicable. Change in fair values is recognised in profit and loss for the period in which it arises.

The fair value of the investment property reflects the market conditions at the reporting date. It reflects, among others, rental income from current leases and reasonable and supportable assumptions that represent what market participants would assume about rental income from future leases in the light of current conditions. It also reflects, on a similar basis, any cash outflows that could be expected in respect of the property. Some of those outflows are reflected in liability whereas others relate to outflows that are not recognised in the financial statements until a later date.

Valuations are performed as of the financial position date by professional valuers who hold recognised and relevant professional qualifications and have recent experience in the location and category of the investment property being valued.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to KIP REIT and the cost of the item can be measured reliably. All other repairs and maintenance costs are expensed when incurred. When part of an investment property is replaced, the carrying amount of the replaced part is derecognised.

Investment properties are derecognised when they have been disposed. Where KIP REIT disposes of a property at fair value in an arm's length transaction, the carrying value immediately prior to the sale is adjusted to the transaction price, and the adjustment is recorded within net gain from fair value adjustment on investment property.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(c) Plant and equipment

Plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the items and where applicable, borrowing costs (Note 3(j)).

Cost of plant and equipment includes purchase price and any direct attributable costs. Cost includes the cost of replacing part of an existing plant and equipment at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of the plant and equipment.

Plant and equipment are initially stated at cost, net of the amount of goods and services tax ("GST"), except where the amount of GST incurred is not recoverable from the government. When the amount of GST incurred is not recoverable from the government, the GST is recognised as part of the cost of acquisition of the plant and equipment.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to KIP REIT and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the statement of comprehensive income during the period in which they are incurred.

Depreciation on capital work-in-progress commences when the assets are ready for their intended use. Plant and equipment are depreciated on a straight line basis to write-off the cost of the assets to their expected residual values over their estimated useful lives, summarised as follows:-

Equipment and appliance	20%
Fitting and furniture	20%
Signage	30%
Office equipment	20%

Residual values and useful lives of assets are reviewed, and adjusted if appropriate, at each reporting date. The assessment of expected residual values and estimated useful lives of assets is carried out on an annual basis.

At each reporting date, KIP REIT assesses whether there is any indication of impairment. If such indications exist, an analysis is performed to assess whether the carrying amount of the asset is fully recoverable. A write-down is made if the carrying amount exceeds the recoverable amount. Please refer to accounting policy on impairment of non-financial assets (Note 3(f)).

Gains and losses on disposals are determined by comparing net disposal proceeds with carrying amount and are included in net property income in the statement of comprehensive income.

(d) Financial assets

A financial asset is any asset that is cash, a contractual right to receive cash or another financial asset from another enterprise, a contractual right to exchange financial instruments with another enterprise under conditions that are potentially favourable, or an equity instrument of another enterprise.

Financial assets are recognised in the statement of financial position when, and only when, KIP REIT becomes a party to the contractual provisions of the financial instrument.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(d) Financial assets (continued)

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss is initially recognised at fair value, and transaction costs are expensed in statement of comprehensive income.

KIP REIT classifies its financial assets as loans and receivables. The classification depends on the purpose for which the financial assets were acquired. KIP REIT determines the classification of its financial assets at initial recognition.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are included in current assets, except for amounts not expected to be realised within 12 months after the end of the reporting period which shall be classified as non-current assets. KIP REIT's loans and receivables comprise 'trade and other receivables', 'cash and bank balances' and 'deposit with licensed banks' in the statement of financial position (Notes 7 and 8).

Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method.

Loans and receivables are derecognised if KIP REIT's contractual rights to the cash flows from the financial assets expire or if KIP REIT transfers the financial asset to another party without retaining control or transfer substantially all the risks and rewards of the asset.

Gains and losses upon derecognition, impairment losses, and the amortisation of loans and receivables are recognised in statement of comprehensive income.

(e) Impairment of financial assets

KIP REIT assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired.

Assets carried at amortised cost

A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset ("Loss Event") and that Loss Event has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that KIP REIT uses to determine that there is objective evidence of an impairment loss include, amongst others, the following:-

- Significant financial difficulty of the obligor;
- A breach of contract, such as a default or delinquency in payments;
- KIP REIT, for economic or legal reasons relating to the obligor's financial difficulty, granting to the obligor a concession that KIP REIT would not otherwise consider;
- It becomes probable that the obligor will enter bankruptcy or other financial distress;
- Disappearance of an active market for that financial asset because of financial difficulties; or
- Observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:
 - (i) adverse changes in the payment status of obligors in the portfolio; or
 - (ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(e) Impairment of financial assets (continued)

If any such evidence exists, the amount of impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate. The impairment loss is recognised in statement of comprehensive income during the period in which it is incurred.

The carrying amount of the financial assets is reduced by the impairment loss directly for all financial assets with the exception of trade receivables, where the carrying amount is reduced through the use of an allowance account. When a trade receivable becomes uncollectible, it is written off against the allowance account.

In a subsequent period, if the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed to the extent that the carrying amount of the asset does not exceed its amortised cost at the reversal date. The amount of reversal is recognised in statement of comprehensive income during the period in which such reversal is evidenced.

(f) Impairment of non-financial assets

Plant and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the carrying amount of the asset exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

The impairment loss is charged to the statement of comprehensive income during the period in which they are incurred and any subsequent increase in recoverable amount is recognised in the statement of comprehensive income during the period in which they are incurred.

(g) Cash and cash equivalents

For the purpose of the statement of cash flows, cash and cash equivalents consist of cash in hand, deposits held at call with licensed financial institutions, other short term and highly liquid investments with original maturities of three (3) months or less, that are readily convertible to known amounts of cash and which are subject to insignificant risk of changes in value. Bank overdrafts, if any, are included in within borrowings in current liabilities in the statement of financial position.

(h) Trade and other payables

Trade and other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers or vendors. Trade payables are classified as current liabilities if payment is due within one (1) year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables, deposits received from tenants and other payables are recognised initially at fair value, with the amount of goods and services tax ("GST") included, if applicable and subsequently measured at amortised cost using the effective interest method.

(i) Unitholders' capital

An equity instrument is any contract that evidences a residual interest in the assets of KIP REIT after deducting all of its liabilities. Units are equity instruments.

Units are recorded at the proceeds received, net of directly attributable incremental transaction costs. Units are classified as equity. Distributions on units are recognised in equity in the period in which they are declared and authorised by the Trustee.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(j) Borrowings and borrowing costs

Borrowings are recognised initially at fair value, net of transaction costs incurred. In subsequent periods, borrowings are stated at amortised cost using the effective interest method; any difference between proceeds (net of transaction costs) and the redemption value is recognised in the statement of comprehensive income over the period of borrowings. Borrowings are classified as current liabilities unless KIP REIT has an unconditional right to defer settlement of the liability for at least twelve (12) months after the reporting date.

Borrowings costs directly attributable to the acquisition, construction or production of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognised in statement of comprehensive income in the period in which they are incurred.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn-down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn-down, the fee is capitalised as a prepayment for liquidity and amortised over the period of the facility to which it relates.

(k) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the performance of services in the ordinary course of KIP REIT's activities. Revenue is shown net of rebates and discounts.

Revenue is made up of base rent charges from tenants.

Base rent from operating leases is recognised on a straight-line basis over the lease term. Turnover or percentage rent is recognised based on sales reported by tenants. When KIP REIT provides incentives to its tenants, the cost of incentives is recognised over the lease term, on a straight-line basis, as a reduction of rental income.

Revenue from sales of prepaid utilities reimbursement is recognised when services are being rendered. The credits on prepaid utilities reimbursement from tenants can be deferred up to the point of utilisation, which such amounts are recognised as income.

Credits of prepaid utilities are recognised as revenue when services are rendered. Unutilised credits of prepaid utilities reimbursement sold to tenants for which services are yet to be rendered is presented as deferred income in the statement of financial position.

Rental of concession space such as promotional areas and other rent related income are included in other income and are recognised in the accounting period in which the services being rendered.

Interest income is recognised on an effective yield basis.

(l) Manager's management fees

Manager's management fees are recognised in statement of comprehensive income in the period in which they are incurred. If, the payment of the Manager's management fees is in the form of new Units, such payment is determined by reference to the market price of the Units as set out in Note 1(B)(b).

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(m) Income tax

Tax is recognised in statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. Provisions are established where appropriate on the basis of amounts expected to be paid to the tax authorities. This liability is measured using the single best estimate of the most likely outcome.

Where investment properties are carried at their fair value in accordance with the accounting policy set out in Note 3(b), the amount of deferred tax recognised is measured using the tax rates that would apply on the sale of those assets at their carrying value at the reporting date unless the property is depreciable and is held with the objective to consume substantially all of the economic benefits embodied in the property over time, rather than through sale. In all other cases, the amount of deferred tax recognised is measured based on the expected manner of realisation or settlement of the carrying amount of the assets and liabilities, using tax rates enacted or substantively enacted at the reporting date. Deferred tax assets and liabilities are not discounted.

The carrying value of KIP REIT's investment properties is assumed to be realised through continuous use.

(n) Functional and presentation currency

Items included in the financial statements of KIP REIT are measured using the currency of the primary economic environment in which KIP REIT operates ("functional currency"). The financial statements are presented in Ringgit Malaysia, which is KIP REIT's functional and presentation currency.

(o) Earnings per unit

KIP REIT's earnings per Unit ("EPU") are presented on basic and diluted format.

Basic EPU is calculated by dividing the profit or loss attributable to unitholders of KIP REIT by the weighted average number of Units outstanding during the period.

Diluted EPU is determined by adjusting the comprehensive income attributable to unitholders against the weighted average number of units outstanding adjusted for the effects of all dilutive potential units.

(p) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Chief Executive Officer of the Manager, that makes strategic decisions.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

(q) Net asset value ("NAV") disclosed in statement of financial position

In accordance with the REIT Guidelines, NAV is the value of KIP REIT's assets less the value of KIP REIT's liabilities.

(r) Recognition of distribution of income to unitholders

Liability is recognised for the amount of any distribution declared, being appropriately authorised and no longer at the discretion of the KIP REIT, on or before the end of the reporting period but not distributed at the end of the reporting period.

Distribution adjustments made in accordance with the REIT Guidelines are disclosed in Note 18.

(s) Realised and unrealised profit or loss analysis in statement of comprehensive income

In accordance with the REIT Guidelines, a charge or a credit to the statement of comprehensive income is deemed as realised when it is resulted from the consumption of resource of all types and form, regardless of whether it is consumed in the ordinary course of business or otherwise. A resource may be consumed through sale or use.

Where a credit or a charge to the statement of comprehensive income upon initial recognition or subsequent measurement of an asset or a liability is not attributed to consumption of resource, such credit or charge should be deemed as unrealised until the consumption of resource could be demonstrated. Unrealised profit or loss comprises mainly the changes in fair value on investment properties.

4 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated by the Directors of the Manager and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

KIP REIT makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, rarely equal the related actual results. To enhance the information content of the estimates, certain key variables that are anticipated to have material impact to the KIP REIT's results and financial position are tested for sensitivity to changes in the underlying parameters. The estimates and assumptions that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are outlined below.

Principal assumptions for estimation of fair value of investment properties

The principal assumptions underlying estimation of fair value of investment properties are those related to term rental, reversionary rental, other income, outgoings, capitalisation rate and allowance for void.

Investment properties are stated at fair value based on valuations performed by C H Williams Talhar & Wong Sdn Bhd ("CBRE WTW"), an independent professional valuer who holds a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued.

The valuations are compared with actual market yield data, actual transactions and those reported by the market, when available. Assumptions used are mainly based on market conditions existing at each reporting date.

The determined fair value of the investment properties by CBRE WTW is most sensitive to the capitalisation rate and reversion rate. The range of the capitalisation rate and reversion rate used in the valuation is disclosed in Note 6.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

5 PLANT AND EQUIPMENT

	Equipment and appliance RM'000	Furniture and fittings RM'000	Signage RM'000	Office equipment RM'000	Total RM'000
Cost					
As at date of establishment, 2 November 2016	–	–	–	–	–
Additions	292	3	47	1	343
As at 30 June 2017	292	3	47	1	343
Accumulated depreciation					
As at date of establishment, 2 November 2016	–	–	–	–	–
Depreciation charge for the financial period	18	–	2	–	20
As at 30 June 2017	18	–	2	–	20
Carrying amounts					
As at 30 June 2017	274	3	45	1	323

6 INVESTMENT PROPERTIES

	2017 RM'000
As at date of establishment, 2 November 2016	–
Acquisition of investment properties	580,000
As at 30 June 2017	580,000

On 6 February 2017, KIP REIT acquired the investment properties of which the consideration was settled in cash for RM308.85 million and issuance of 271.15 million units in KIP REIT.

Subject Properties	Valuation (RM 000)	Total Purchase consideration (RM 000)	To be satisfied by	
			Consideration Units (000)	Cash consideration (RM 000)
KiP Mart Tampoi	150,000	150,000	70,125	79,875
KiP Mart Kota Tinggi	55,000	55,000	25,712	29,288
KiP Mart Masai	157,000	157,000	73,398	83,602
KiP Mart Lavender Senawang	38,000	38,000	17,765	20,235
KiP Mart Melaka	50,000	50,000	23,375	26,625
KiP Mall Bangi	130,000	130,000	60,775	69,225
TOTAL	580,000	580,000	271,150	308,850

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

6 INVESTMENT PROPERTIES (CONTINUED)

The title deeds to the investment properties' land are currently being held in trust by the trustees.

KiP Mart Tampoi and KiP Mart Masai are charged as a security for bank borrowings as disclosed in Note 10.

Investment properties are stated at fair value based on valuations performed by independent professional valuer, CBRE WTW, who holds a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued. Valuations are performed by CBRE WTW once at every year end and will be reviewed by the Manager.

Based on the valuation reports dated 18 July 2017 issued by CBRE WTW, the fair values of the investment properties as at 30 June 2017 were RM580 million.

Fair value is determined based on income approach method using Level 3 inputs (defined as unobservable inputs for asset or liability) in the fair value hierarchy of MFRS 13 'Fair Value Measurement'. Under the income approach, the fair value of the investment properties is derived from an estimate of the market rental which the investment properties can reasonably be let for. Rental evidence may be obtained from actual passing rents commanded by the investment properties if they are tenanted. Outgoings, such as quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance premium, asset enhancement initiatives as well as management expenses, are then deducted from the rental income. Thereafter, the net annual rental income is capitalised at an appropriate current market yield to arrive at its fair value. Changes in fair value are recognised in the statement of comprehensive income during the period in which they are reviewed.

The Level 3 inputs or unobservable inputs include:-

Term rental	-	the expected rental that the investment properties are expected to achieve and is derived from the current passing rental, (including revision upon renewal of tenancies during the year which is part of passing rental);
Reversionary rental	-	the expected rental that the investment properties are expected to achieve upon expiry of term rental;
Other income	-	comprises percentage rent, advertising income and others;
Outgoings	-	comprises quit rent and assessment, utilities costs, reimbursable manpower costs, repair and maintenance, insurance premium, asset enhancement expense and management expenses;
Capitalisation rate	-	based on actual location, size and condition of the investment properties and taking into account market data at the valuation date based on the valuers' knowledge of the factors specific to the investment properties;
Allowance for void	-	refers to allowance provided for vacancy periods.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

6 INVESTMENT PROPERTIES (CONTINUED)

The fair value measurements using Level 3 inputs as at 30 June 2017 are as follows:-

	Valuation technique	Fair value RM'000	Parameters				Sensitivity analysis on fair value measurements*	
			Capitalisation Rate %	Reversion rate %	Outgoings RM psf	Allowance for void %	Impact of lower rate RM'000	Impact of higher rate RM'000
KiP Mart Tampoi	Investment method	150,000	6.50	7.00	1.68 - 3.36	5.00	11,000	(9,000)
KiP Mart Kota Tinggi	Investment method	55,000	6.25	6.75	1.89 - 3.78	5.00	5,000	(3,000)
KiP Mart Masai	Investment method	157,000	6.50	7.00	1.76 - 3.52	5.00	12,000	(10,000)
KiP Mart Lavender Senawang	Investment method	38,000	6.25	6.75	1.16 - 2.31	10.00	3,000	(3,000)
KiP Mart Melaka	Investment method	50,000	6.50	7.00	1.22 - 2.43	10.00	4,000	(3,000)
KiP Mall Bangi	Investment method	130,000	6.50	7.00	0.50 - 2.50	10.00	9,000	(9,000)
		580,000					44,000	(37,000)

* Changes to capitalisation rates on term and reversion periods by 50 basis points.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

6 INVESTMENT PROPERTIES (CONTINUED)

The investment properties are as follows:-

	Date of acquisition	Date of valuation	Location	Tenure	Expiry date of leasehold land	Occupancy rates as at 30.06.2017 %	Fair value as at 30.06.2017 RM'000	Initial acquisition cost on 06.02.2017 RM'000	Percentage of fair value to NAV*1 as at 30.06.2017 %
KiP Mart Tampoi	6 Feb 2017	30 June 2017	Johor	Leasehold	24 Sept 2092	97.77	150,000	150,000	29.74
KiP Mart Kota Tinggi	6 Feb 2017	30 June 2017	Johor	Freehold	-	94.36	55,000	55,000	10.90
KiP Mart Masai	6 Feb 2017	30 June 2017	Johor	Leasehold	28 Dec 2108	95.67	157,000	157,000	34.70
KiP Mart Lavender Senawang	6 Feb 2017	30 June 2017	Seremban	Freehold	-	80.32	38,000	38,000	7.53
KiP Mart Melaka	6 Feb 2017	30 June 2017	Melaka	Leasehold	17 Nov 2112	67.32	50,000	50,000	9.91
KiP Mall Bangi	6 Feb 2017	30 June 2017	Bangi	Leasehold	14 July 2093	82.32	130,000	130,000	25.77
							580,000	580,000	

Notes:-

*1 Based on NAV after income distribution.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

7 TRADE AND OTHER RECEIVABLES

	2017 RM'000
Trade receivables	2,533
Other receivables	1,602
Amounts due from related companies	2,997
	4,599
Prepayments	486
	5,085
Total trade and other receivables	7,618

The carrying amounts of trade and other receivables as at 30 June 2017 approximated their fair values.

The credit terms of trade receivables were seven (7) days.

The amount due from related companies are unsecured and with credit terms of ninety (90) days.

As at 30 June 2017, trade receivables of RM2.53 million were past due but not impaired.

The ageing analysis of these trade receivables is as follows:-

	2017 RM'000
Not past due:	
- 0 to 7 days	-
Past due but not impaired:	
- 8 to 31 days	1,157
- 32 to 61 days	653
- 62 to 91 days	285
- 92 to 121 days	83
- 122 to 150 days	355
	2,533
Past due and impaired	-
	2,533

The movement of allowance for impairment of trade receivables is as follows:-

	2017 RM'000
As at date of establishment, 2 November 2016 / 30 June 2017	-

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

7 TRADE AND OTHER RECEIVABLES (CONTINUED)

As at 30 June 2017, other receivables of RM1.60 million were past due but not impaired.

The ageing analysis of these other receivables is as follows:-

	2017 RM'000
Not past due:	32
Past due but not impaired:	
- 1 to 31 days	581
- 32 to 61 days	309
- 62 to 91 days	154
- 92 to 121 days	387
- 122 to 150 days	139
	1,570
Past due and impaired	-
	1,602

The movement of allowance for impairment of other receivables is as follows:-

	2017 RM'000
As at date of establishment, 2 November 2016 / 30 June 2017	-

The other classes within trade and other receivables are neither past due nor impaired.

The maximum exposure to credit risk at the reporting date is the carrying value of each class of receivables.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

8 CASH AND CASH EQUIVALENTS

	2017 RM'000
Cash in hand	20
Bank balances	415
Short term deposits placed with licensed banks	13,260
Cash and bank balances	13,695
Less: restricted cash	(1,215)
Cash and cash equivalents	12,480

Bank balances are deposits held at call with banks and earns no interest.

The weighted average effective interest rate of short term deposits placed with licensed banks that was effective at the reporting date was 3.18% per annum.

Short term deposits placed with licensed banks have an average maturity of 16 days.

Included in the short term deposits placed with licensed banks is restricted amount of RM1.2 million which is maintained in a Debt Service Reserve Account to cover a minimum of six (6) months interest for syndicated financing facilities granted to KIP REIT (Note 10).

9 UNITHOLDERS' CAPITAL

	2017 Number of units '000
Approved fund size:	
As at date of establishment, 2 November 2016 / 30 June 2017	505,300

	Number of units '000	Value RM'000
Issued and fully paid up:		
As at date of establishment, 2 November 2016	–	–
Issue of new units at fair value	505,300	502,773
Listing expenses	–	(10,509)
As at 30 June	505,300	492,264

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

10 BORROWINGS

	2017 RM'000
Current (secured):	
Interest payable on fixed rate term loan	650
Unamortised transaction cost	(34)
	616
Non-current (secured):	
Fixed rate term loan	87,000
Unamortised transaction cost	(830)
	86,170
Total borrowings	86,786

The trustee, on behalf of KIP REIT, as borrower, has obtained the credit facilities ("the Facilities") comprising the following:-

- (a) A 5 year Term Loan facility ("TL") of up to RM87 million;
- (b) A revolving credit ("RC") of up to RM7 million; and
- (c) A letter of guarantee ("LG") of up to RM3 million.

The weighted average effective interest rate as at the reporting date was as follows:-

	2017 % per annum
Fixed rate term loan	5.30

Proceeds drawn from the TL were utilised by KIP REIT to part finance the acquisition of KiP Mart Tampoi, KiP Mart Kota Tinggi, KiP Mart Masai, KiP Mart Lavender Senawang, KiP Mart Melaka and KiP Mall Bangi together with related assets ("Acquisition").

The fixed rate TL has a tenure of five (5) years and shall be repaid in one bullet repayment no later than 5 years from the date of first drawdown. The fixed rate TL bears an interest rate of 1.25% per annum above cost of funds (as determined by the Bank at the commencement of each interest period).

The RC bears the interest rate of 1.50% per annum above the cost of funds (as determined by the bank at the commencement of each interest period).

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

10 BORROWINGS (CONTINUED)

The facilities are secured against, among others, the following:-

- (i) Fixed charge over KiP Mart Tampoi and KiP Mart Masai registered in the name of the Trustee for all monies owing or payable under facilities.
- (ii) A charge over a cash deposit of RM1.2 million deposited into the Debt Service Reserve Account.
- (iii) An assignment of the rights, title and interest in and to all monies paid under or proceeds derived from Sale and Purchase Agreements ("SPA") between KIP REIT and the vendors (Landasan Primamaju Sdn Bhd, Genius Chance Sdn Bhd, Projek Impiana Sdn Bhd, Enrich Assets Sdn Bhd, KIPMART Tampoi Sdn Bhd and Setia Wirajaya Sdn Bhd). A first party legal assignment by the Trustee of all the proceeds under the tenancy/lease agreements of KiP Mart Tampoi, KiP Mart Kota Tinggi, KiP Mart Masai, KiP Mart Lavender Senawang, KiP Mart Melaka and KiP Mall Bangi.
- (iv) Debenture incorporating a fixed and floating charge for all monies owing or payable under the facilities over all present and future assets of KIP REIT.
- (v) An undertaking from the Trustee and the Manager:-
 - (a) to deposit all proceeds generated from the properties into the collection account; and
 - (b) that it shall not declare any distributions to the REIT unitholders if an event of default has occurred under the term of the facilities.

11 PAYABLES AND ACCRUALS

	Note	2017 RM'000
Non-current payables		
Tenants' deposits	a	10,096
		10,096
Current payables		
Trade payables	b	535
Tenants' deposits	a	7,207
		7,742
Other payables and accrued expenses		3,079
Net output tax		140
Prepaid rental		104
Amounts due to related companies	c	568
		3,891
Total current payables and accruals		11,633
Total payables and accruals		21,729

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

11 PAYABLES AND ACCRUALS (CONTINUED)

- (a) Tenants' deposits are in respect of refundable deposits received from tenants for tenancy related agreements. Tenancy tenures are generally for a period of one (1) to three (3) years.
- (b) Credit terms for trade payables range from 30 days to 60 days.
- (c) Credit terms for amounts due to related companies are 90 days, unsecured, interest-free and repayable on demand.

12 OTHER INCOME

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Promotion area	2,234
Utilities reimbursement	1,661
Property related and other advertising income	476
	4,371

13 REIMBURSEMENT COSTS

Included in reimbursement costs are the following expenses:-

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Staff salaries	1,373
Contribution to Employee' Provident Fund	196
Bonus	121
Training expenses	9
Others	182
	1,881

The reimbursement cost is in relation to staff cost and expenses incurred by the service provider, KIP Property Services Sdn Bhd for providing services in managing KIP REIT's operation, maintenance, management and marketing of the investment properties.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

14 MANAGER'S MANAGEMENT FEES

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Base fee	725
Performance fee	171
	896

For the financial period ended 30 June 2017, 100% of the total Manager's management fees has been paid in cash.

15 BORROWING COSTS

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Interest expense	1,746
Amortisation of transaction cost	79
	1,825

16 TAXATION

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Reconciliation of tax expense	
Profit before taxation	14,660
Income tax using Malaysian tax rate of 24%	3,518
Non-deductible expenses	1,375
Non-taxable income	(403)
Capital allowances on plant and equipment	(78)
Effect of income exempted from tax	(4,412)
	—

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

16 TAXATION (CONTINUED)

Pursuant to Section 61A of the Malaysian Income Tax Act, 1967 ("Act"), income of KIP REIT will be exempted from tax provided that at least 90% of its total taxable income (as defined in the Act) is distributed to the investors in the basis period of KIP REIT for that year of assessment within two (2) months after the close of the financial year. If the 90% distribution condition is not complied with or the 90% distribution is not made within two (2) months after the close of KIP REIT financial year which forms the basis period for a year of assessment, KIP REIT will be subject to income tax at the prevailing rate on its total taxable income. Income which has been taxed at the KIP REIT level will have tax credits attached when subsequently distributed to unitholders.

As the distributable income to unitholders for the financial period ended 30 June 2017 is 100%, no provision for income taxation has been made for the current period.

17 EARNINGS PER UNIT ("EPU") – BASIC AND DILUTED

The calculation of EPU is based on total comprehensive income attributable to unitholders divided by the weighted average number of Units.

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Total comprehensive income	
- Realised	14,660
Total	14,660
Weighted average number of units ('000)	
Weighted average number of Units in issue	505,300
Weighted average number of Units for diluted EPU	505,300
Basic/Diluted EPU (sen)	
- Realised	2.9013
Total	2.9013

Dilutive earnings per unit equals to basic earnings per unit as there are no potential dilutive units in issue.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

18 DISTRIBUTION TO UNITHOLDERS

	2.11.2016 (date of establishment) to 30.06.17 RM'000
Total comprehensive income	14,660
Distribution adjustments	99
Distributable income	14,759
Distribution per unit (sen)	
- for the period from 6 February 2017 to 31 March 2017 paid on 30 May 2017	1.000
	1.000
<u>Income distribution</u>	
Distributable income	14,759
Income distribution of 1 sen per unit (1 sen taxable in the hands of unitholders) for the period from 6 February 2017 to 31 March 2017, which was paid on 30 May 2017	(5,053)
Income retained	9,706
<u>Note (a):-</u>	
Distribution adjustments comprise:-	
Amortisation of transaction costs	79
Depreciation of plant and equipment	20
	99

The final distributable income for the 3 months ended 30 June 2017 is proposed to be 1.918 sen per unit (1.838 sen is subject to withholding tax and 0.080 is non-taxable) amounting to RM9.69 million, which is payable on 29 August 2017. The financial statements for the current period ended 30 June 2017 do not reflect this final distributable income. This will be accounted in the statement of changes in net asset value as an appropriation of retained earnings in the next financial year ending 30 June 2018.

Withholding tax will be deducted for distributions as follows:-

	Withholding Tax rate 2017
Resident corporate	N/A^
Resident non-corporate	10%
Non-resident individual	10%
Non-resident corporate	25%
Non-resident institutional	10%

^ to tax at prevailing rate

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

19 PORTFOLIO TURNOVER RATIO

2017

Portfolio Turnover Ratio ("PTR") (times)	0.605
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The calculation of PTR is based on the average value of total acquisitions and disposals of investments in KIP REIT for the financial period to the average NAV during the financial period, which is in accordance with the REIT Guidelines.

Since the basis of calculating PTR can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of KIP REIT's PTR against other REITs.

20 MANAGEMENT EXPENSE RATIO

2017

Management expense ratio ("MER") (%)	0.41%
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The calculation of the MER is based on the Fund's total operating expenses (Manager's management fees, trustees' fees and other trust expenses) incurred for the financial period end 30 June 2017 to the average NAV (after income distribution) as at 30 June 2017, which is in accordance with the REIT Guidelines.

Since the basis of calculating MER can vary among REITs, there is no consistent or coherent basis for providing an accurate comparison of KIP REIT's MER against other REITs.

21 SEGMENT REPORTING

The chief operating decision-maker makes the strategic resource allocations on behalf of the Manager. The Manager has determined the operating segments based on the reports reviewed by the chief operating decision-maker that are used to make strategic decisions.

The chief operating decision-maker considers KIP REIT comprising the following two business segments:

- (i) KIP Mart – specialised in community-centric retail centre, targeting low income group
- (ii) KIP Mall – specialised in neighborhood retail centre, targeting middle income group

The Manager assesses the financial performance of the operating segments based on, including but not limited to, net property income ("NPI"). The NPI enables financial performance benchmarking as such basis eliminates the effect of financing and investment decisions which may not be made at operating level.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

21 SEGMENT REPORTING (CONTINUED)

Business segments

The following table provides an analysis of KIP REIT's revenue, results, assets, liabilities and other information by business segments:-

	2.11.2016 (date of establishment) to 30.06.2017		
	KiP Mart RM'000	KiP Mall RM'000	Total RM'000
Revenue			
Rental income	17,455	4,524	21,979
Other income	2,600	1,771	4,371
Gross Revenue	20,055	6,245	26,350
Segmental net property income	13,197	4,328	17,525
Other investment income	503	30	533
Interest income	312	90	402
Borrowing costs	(1,416)	(409)	(1,825)
Trust and other expenses	(1,540)	(435)	(1,975)
Profit before taxation	11,056	3,604	14,660
Taxation	–	–	–
Total comprehensive income attributable to unitholders	11,056	3,604	14,660
Assets			
Segment assets	454,590	132,873	587,463
Unallocated assets			
- Deposits with licensed banks			11,277
- Cash and bank balances			13,260
- Trade and other receivables			913
Total assets			612,913
Liabilities			
Segment liabilities	84,550	23,262	107,812
Unallocated liabilities - payables and accruals			703
Total liabilities			108,515
Other segment information			
Additions to non-current assets:			
- Investment properties	450,000	130,000	580,000
- Plant and equipment	343	–	343
Depreciation	20	–	20

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

22 FINANCIAL INSTRUMENTS BY CATEGORY

	Note	2017 RM'000
<u>Loans and receivables at amortised cost</u>		
Assets as per statement of financial position:		
- Trade and other receivables excluding prepayments	7	7,132
- Deposits with licensed banks		11,277
- Cash and bank balances	8	13,695
Total financial assets		32,104
Other financial liabilities at amortised cost		
Liabilities as per statement of financial position:		
- Borrowings	10	87,650
- Payables and accruals excluding net output tax and prepaid rental	11	21,485
Total financial liabilities		109,135

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

23.1 Financial risk factors

KIP REIT's activities expose it to a variety of financial risks: interest rate risk (including fair value interest rate risk), credit risk, liquidity and cash flow risk. KIP REIT's overall financial risk management objective is to ensure that it creates value for its unitholders. KIP REIT focuses on the unpredictability of financial markets and seeks to mitigate potential adverse effects on the financial performance of KIP REIT. Financial risk management is carried out through risk reviews and internal control systems. The Manager regularly reviews the risk profile and ensure adherence to the KIP REIT's financial risk management policies.

(a) Interest rate risk

Fair value interest rate risk

KIP REIT's income and cash flows are substantially independent of changes in market interest rates as the borrowing is made up of fixed rate term loan which locks in the interest rate against any fluctuation resulting in exposure to fair value interest rate risk. KIP REIT has no significant exposure to cash flow interest rate risk.

Sensitivity analysis for interest rate fluctuation is unrepresentative as KIP REIT does not use variable rates in managing its cash flow interest rate risk.

(b) Credit risk

Credit risk is the risk of a financial loss to KIP REIT if the tenants or counterparty to a financial instrument fails to meet its contractual obligations. At the reporting date, the maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statement of financial position.

KIP REIT is not exposed to significant credit risk. The risk of non-collectability of monthly rentals is also mitigated with rental deposits collected from the tenants.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

23.1 Financial risk factors (continued)

(b) Credit risk (continued)

The ageing analysis of trade receivables as at the reporting date which is trade in nature is as follows:

	Gross RM'000
2017	
Less than 1 month past due	1,157
1 to 3 months past due	938
3 to 6 months past due	438
	2,533

Credit risk with respect to trade receivables and accrued billings is limited due to the nature of business which is mainly rental related and cash-based. Furthermore, the tenants have placed security deposits in the form of cash which act as collateral. In view of the above, no additional credit risk beyond amounts allowed for collection losses is inherent in KIP REIT's trade receivables.

Bank deposits are placed with licensed financial institutions with high credit ratings assigned by credit rating agencies. Hence, the risk of material loss in the event of non-performance by a financial counterparty could be considered to be unlikely.

(c) Liquidity and cash flow risk

The rolling forecasts of liquidity requirements are monitored to ensure there is sufficient cash to meet operational needs while maintaining sufficient headroom on the committed borrowing facilities (Note 10).

Adequate cash, cash equivalents and bank facilities are maintained and monitored to finance the operations, to distribute income to unitholders, and to mitigate the effects of fluctuations in cash flows. In addition, the Manager also monitors and observes the REIT Guidelines concerning limits on total borrowings of the investment trust.

Cash and cash equivalents as at 30 June 2017 of RM12.48 million are expected to assist in the liquidity and cash flow risk management.

The analysis of the non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date are as follows:-

	<1 year RM'000	1 to 2 years RM'000	2 to 3 years RM'000	3 to 5 years RM'000	Total RM'000
At 30 June 2017					
Borrowings	5,031	4,381	4,381	93,937	107,730
Payables and accruals excluding net output tax and prepaid rental	11,389	10,096	–	–	21,485

Note:-

The amounts are contractual and undiscounted cash flows.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

23.2 Capital risk management

Capital is the unitholders' capital and borrowings.

The overall capital management objectives are to safeguard the ability to continue as a going concern in order to provide returns for unitholders and other stakeholders as well as to maintain a more efficient capital structure.

The Manager's on-going capital management strategy involves maintaining an appropriate gearing level and adopting an active interest rate management strategy to manage the risks associated with refinancing and changes in interest rates. The Manager intends to implement this strategy by (i) diversifying sources of debt funding to the extent appropriate, (ii) maintaining a reasonable level of debt service capability, (iii) securing favourable terms of funding, (iv) managing its financial obligations and (v) where appropriate, managing the exposures arising from adverse market interest rates, such as through fixed rate borrowings, to improve the efficiency for the cost of capital.

The total borrowings to total assets ratio is as follows:-

	2017 RM'000
Total borrowings	86,786
Total assets	612,913
Borrowings to total assets ratio (%)	14.16%

The total borrowings should not exceed 50% of the total assets at the time the borrowings are incurred in accordance with the REIT Guidelines. KIP REIT complied with the borrowing limit requirement for the financial period ended 30 June 2017.

The Deed provides that the Manager shall, with the approval of the Trustee, for each distribution period, distribute all (or such other percentage as determined by the Manager at its absolute discretion) of KIP REIT's distributable income. It is the intention of the Manager to distribute at least 90% of KIP REIT's distributable income on a half-yearly basis (or such other interval as determined by the Manager at its absolute discretion).

For the financial period ended 30 June 2017, KIP REIT distributed 100% of its distributable income.

Based on the prospectus in respect of the initial public offer of KIP REIT dated 30 December 2016, the Manager will distribute 100% of KIP REIT's distributable income for the period from date of establishment to 30 June 2018. The actual proportion of distributable income distributed to unitholders beyond 30 June 2018 shall be at the absolute discretion of the Manager, may be at least 90% of KIP REIT's distributable income to the extent that the Manager believes it is appropriate, having regard to KIP REIT's funding requirements, total return, cash flow as well as sustainability and stability of the income. Distribution, if made, will be in Ringgit Malaysia.

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

23 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

23.3 Fair value

The assets and liabilities measured at fair value and classified by level of the fair value measurement hierarchy are as follows:-

- (a) quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1);
- (b) inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly (Level 2); and
- (c) inputs for the asset or liability that are not based on observable market data i.e. unobservable inputs (Level 3).

**Level 3
2017
RM'000**

Recurring fair value measurements:
Investment properties

580,000

Level 3 fair values of the investment properties have been derived from the income approach method based on valuations performed by independent professional valuer, CBRE WTW, who holds a recognised relevant professional qualification and has recent experience in the locations and categories of the investment properties valued. The valuation techniques, significant parameters and movement in fair values are as disclosed in Note 6.

Assets and liabilities not carried at fair value

Save as disclosed below, the carrying amounts of financial assets and liabilities as at reporting date approximated their fair values. The fair value of tenants' deposits received from tenants at the reporting date is not materially different from their carrying value as the impact of discounting is not expected to be significant.

KIP REIT's borrowings are not measured at fair value as at reporting date. The fair value of such borrowings is disclosed within the fair value hierarchy as follows:-

**Level 2
2017**

**Carrying
amount
RM'000** **Fair
value
RM'000**

Borrowings

86,786

87,650

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

24 SIGNIFICANT RELATED PARTY TRANSACTIONS

The significant related party transactions are carried out in the normal course of business on terms and conditions negotiated between the contracting parties.

Related party	Relationship
KIP REIT Management Sdn Bhd	REIT Manager
KIP Property Services Sdn Bhd	Common Shareholders
Adamin Corporation Sdn Bhd	Common Shareholders
Common Shareholders	Common Shareholders
KIP Mart Tampoi Sdn Bhd	Common Shareholders
Enrich Assets Sdn Bhd	Common Shareholders
Genius Chance Sdn Bhd	Common Shareholders
Setia Wirajaya Sdn Bhd	Common Shareholders
Projek Impiana Sdn Bhd	Common Shareholders
Landasan Primamaju Sdn Bhd	Common Shareholders

The above companies are jointly controlled by the Directors, namely Dato' Chew Lak Seong, Dato' Ong Kook Liong and their spouses.

2.11.2016
(date of
establishment)
to 30.06.17
RM'000

Significant related party transactions for the financial period:

Purchases of services

1)	Utilities expenses	
	- KIP Mart Tampoi Sdn Bhd	475
	- Enrich Assets Sdn Bhd	515
	- Genius Chance Sdn Bhd	212
	- Setia Wirajaya Sdn Bhd	290
	- Projek Impiana Sdn Bhd	824
	- Landasan Primamaju Sdn Bhd	924
		3,240
2)	Quit rent and assessment	
	- KIP Mart Tampoi Sdn Bhd	94
	- Enrich Assets Sdn Bhd	99
	- Genius Chance Sdn Bhd	23
	- Setia Wirajaya Sdn Bhd	9
	- Projek Impiana Sdn Bhd	17
		242
3)	Reimbursement cost	
	- KIP Property Services Sdn Bhd	1,982

NOTES TO THE FINANCIAL STATEMENTS (Cont'd)

24 SIGNIFICANT RELATED PARTY TRANSACTIONS (CONTINUED)

2.11.2016
(date of
establishment)
to 30.06.17
RM'000

Significant related party transactions for the financial period: (continued)

Purchases of services (continued)

4)	Other operating expenses	
	- Genius Chance Sdn Bhd	53
	- Setia Wirajaya Sdn Bhd	24
	- Projek Impiana Sdn Bhd	8
		85
5)	Pre-listing expenses	
	- KIP REIT Management Sdn Bhd	4,003
	- Adamin Corporation Sdn Bhd	4,984
		8,987
6)	Management fees	
	- KIP REIT Management Sdn Bhd	896

Significant related party balances as at reporting date:

Amounts due to

KIP REIT Management Sdn Bhd	207
KIP Mart Tampoi Sdn Bhd	45
Enrich Assets Sdn Bhd	169
Landasan Primamaju Sdn Bhd	147
	568

Amounts due from

Genius Chance Sdn Bhd	77
Projek Impiana Sdn Bhd	177
KIP Property Services Sdn Bhd	2,743
	2,997

The amounts due to related parties are mainly due to payment on behalf in relation to utilities expenses, quit rent and assessment, reimbursement cost, pre-listing expense and management fees. The amount due from related parties are mainly due to advance payment in relation to operation, maintenance, management and marketing of investment properties.

SUPPLEMENTARY INFORMATION REQUIRED BY BURSA MALAYSIA SECURITIES BERHAD

25 DETERMINATION OF REALISED AND UNREALISED PROFITS OR LOSSES IN THE CONTEXT OF DISCLOSURE PURSUANT TO LISTING REQUIREMENT OF BURSA MALAYSIA SECURITIES BERHAD

The analysis of the retained earnings of KIP REIT as at 30 June 2017, into realised and unrealised portions, pursuant to Main Market Listing Requirements of Bursa Securities, are as follows:-

	2017 RM'000
Total accumulated income	
- realised	12,134

The disclosure of realised and unrealised profits or losses is based on the Guidance of Special Matter No. 1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosures Pursuant to Listing Requirements of Bursa Securities, issued by the Malaysian Institute of Accountants.

STATISTICS OF UNITHOLDERS

AS AT 31 JULY 2017

ANALYSIS OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Issued Unit Capital
Less than 100	3	0.13	6	0.00
100 - 1,000	275	12.20	193,694	0.04
1,001 - 10,000	1,163	51.57	6,299,900	1.25
10,001 - 100,000	593	26.30	21,955,788	4.34
100,001 to less than 5% of issued shares	219	9.71	403,138,612	79.78
5% and above of issued shares	2	0.09	73,712,000	14.59
Total	2,255	100.00	505,300,000	100.00

DIRECTORS' AND CHIEF EXECUTIVE OFFICER AS AT 31 JULY 2017 UNITHOLDINGS

No.	Name of Directors	No. of Units		No. of Units	
		Direct Interest	%	Deemed Interest	%
1	Dato' Dr Syed Hussain Bin Syed Husman	60,000	0.01	–	–
2	Dato' Chew Lak Seong	29,291,093	5.80	194,156,208	38.42
3	Dato' Ong Kook Liong	29,318,594	5.80	194,156,208	38.42
4	Datuk Mohamed Arsad Bin Sehan	60,000	0.01	–	–
5	Mr Foo Lee Khean	60,000	0.01	–	–
6	Mr Lim Han Gie	200,000	0.04	–	–

STATISTICS OF UNITHOLDERS (Cont'd)

SUBSTANTIAL UNITHOLDERS (5% AND ABOVE) AS AT 31 JULY 2017

No.	Name of Unitholders	No. of Units		Deemed Interest	No. of Units	
		Direct Interest	%			%
1.	Dato' Chew Lak Seong	29,291,093	5.80	194,156,208 ^{a)}		38.42
2.	Dato' Ong Kook Liong	29,318,594	5.80	194,156,207 ^{a)}		38.42
3.	Landasan Primamaju Sdn Bhd	68,842,947	13.62	–		–
4.	KIP Development Sdn Bhd	–	–	87,420,102 ^{b)}		17.30
5.	Scotsville Sdn Bhd	–	–	87,420,102 ^{b)}		17.30
6.	Forum Technics Sdn Bhd	–	–	87,420,102 ^{b)}		17.30
7.	Adamin Corporation Sdn Bhd	25,712,000	5.09	66,140,000 ^{b)}		13.09
8.	Taksim Warni Sdn Bhd	–	–	91,852,000 ^{b)}		18.18
9.	Oversea-Chinese Banking Corporation Limited	–	–	33,991,400 ^{b)}		6.73
10.	Great Eastern Holdings Limited	–	–	33,991,400 ^{b)}		6.73

Notes:

- a) Deemed interest by virtue of his interest pursuant to Section 8(4) of the Companies Act 2016 and by virtue of his interest held through spouse and child pursuant to Section 59(11)(c) of the Companies Act 2016.
- b) Deemed interest by virtue of its interest pursuant to Section 8(4) of the Companies Act 2016.

STATISTICS OF UNITHOLDERS (Cont'd)

30 LARGEST UNITHOLDERS

No.	Name of Unitholders	No. of Units	%
1	CIMSEC NOMINEES (TEMPATAN) SDN BHD <i>CIMB BANK FOR LANDASAN PRIMAMAJU SDN BHD (PBCL-0G0475)</i>	48,000,000	9.50
2	M & A NOMINEE (TEMPATAN) SDN BHD <i>FOR ADAMIN CORPORATION SDN BHD</i>	25,712,000	5.09
3	MAYBANK NOMINEES (TEMPATAN) SDN BHD <i>PLEDGED SECURITIES ACCOUNT FOR ENRICH ASSETS SDN BHD</i>	25,000,000	4.95
4	M & A NOMINEE (TEMPATAN) SDN BHD <i>FOR PROJEK IMPIANA SDN BHD</i>	23,375,000	4.63
5	M & A NOMINEE (TEMPATAN) SDN BHD <i>FOR KIPMART TAMPOI SDN BHD</i>	18,577,155	3.68
6	M & A NOMINEE (TEMPATAN) SDN BHD <i>FOR LANDASAN PRIMAMAJU SDN BHD</i>	18,067,947	3.58
7	SETIA WIRAJAYA SDN. BHD.	17,765,000	3.52
8	CITIGROUP NOMINEES (TEMPATAN) SDN BHD <i>EMPLOYEES PROVIDENT FUND BOARD (CIMB PRIN)</i>	14,298,000	2.83
9	CARTABAN NOMINEES (ASING) SDN BHD <i>EXEMPT AN FOR CREDIT INDUSTRIEL ET COMMERCIAL (AC CLIENT)</i>	12,500,000	2.47
10	DB (MALAYSIA) NOMINEE (ASING) SDN BHD <i>EXEMPT AN FOR EFG BANK AG (A/C CLIENT)</i>	12,500,000	2.47
11	TEOH SIEW CHIN	12,155,160	2.41
12	SIEW KUI TAW	12,155,159	2.41
13	ONG KOOK LIONG	12,072,594	2.39
14	CHEW LAK SEONG	12,072,593	2.39
15	USAINS HOLDING SDN BHD	10,000,000	1.98
16	DB (MALAYSIA) NOMINEE (TEMPATAN) SENDIRIAN BERHAD <i>DEUTSCHE TRUSTEES MALAYSIA BERHAD FOR EASTSPRING INVESTMENTSMALL-CAP FUND</i>	9,669,900	1.91
17	MAYBANK NOMINEES (TEMPATAN) SDN BHD <i>PLEDGED SECURITIES ACCOUNT FOR ONG KOOK LIONG</i>	9,000,000	1.78
18	MAYBANK NOMINEES (TEMPATAN) SDN BHD <i>PLEDGED SECURITIES ACCOUNT FOR CHEW LAK SEONG</i>	9,000,000	1.78

STATISTICS OF UNITHOLDERS (Cont'd)

30 LARGEST UNITHOLDERS (CONTINUED)

No.	Name of Unitholders	No. of Units	%
19	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (KENANGA)	7,237,300	1.43
20	ALLIANCEGROUP NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR CHEW LAK SEONG (7003606)	7,000,000	1.39
21	ALLIANCEGROUP NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR ONG KOOK LIONG (7003599)	7,000,000	1.39
22	KOK PICK TONG	6,049,507	1.20
23	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	5,950,000	1.18
24	MAYBANK NOMINEES (TEMPATAN) SDN BHD ETIQA INSURANCE BERHAD (LIFE PAR FUND)	5,439,200	1.08
25	AMSEC NOMINEES (TEMPATAN) SDN BHD MTRUSTEE BERHAD FOR PACIFIC PEARL FUND (UT-PM-PPF)	5,266,000	1.04
26	MALAYSIA NOMINEES (TEMPATAN) SENDIRIAN BERHAD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (NON PAR 1)	5,235,000	1.04
27	YAYASAN GURU TUN HUSSEIN ONN	5,000,000	0.99
28	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (CIMB EQUITIES)	4,256,900	0.84
29	DB (MALAYSIA) NOMINEE (TEMPATAN) SENDIRIAN BERHAD DEUTSCHE TRUSTEES MALAYSIA BERHAD FOR EASTSPRING INVESTMENTSEQUITY INCOME FUND	4,193,400	0.83
30	AMSEC NOMINEES (TEMPATAN) SDN BHD MTRUSTEE BERHAD FOR PACIFIC DIVIDEND FUND (UT-PM-DIV)	3,724,000	0.74
TOTAL		368,271,815	72.88

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the First Annual General Meeting of KIP Real Estate Investment Trust ("KIP REIT") will be held at KIP Hotel, No. 77, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur on Thursday, 28 September 2017 at 11.00 a.m. to transact the following businesses:-

ORDINARY BUSINESS

1. To lay the Audited Financial Statements of KIP REIT for the period ended 30 June 2017 together with the Trustee's Report to the Unitholders issued by Pacific Trustees Berhad, as trustee of KIP REIT and the Report and Statement by the Manager issued by KIP REIT Management Sdn Bhd, as the manager for KIP REIT and the Auditors' Report thereon.

*(Please refer to
Explanatory Note I)*

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following Resolution:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO CLAUSE 14.03 OF THE SECURITIES COMMISSION MALAYSIA'S GUIDELINES ON REAL ESTATE INVESTMENT TRUSTS (REITS GUIDELINES) (PROPOSED AUTHORITY)**

Ordinary Resolution

"THAT pursuant to the REITs Guidelines, Main Market Listing Requirements of Bursa Malaysia Securities Berhad and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to KIP REIT Management Sdn Bhd ("the Manager") to allot and issue new units in KIP REIT ("New Units") from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of KIP REIT, provided that the aggregate number of New Units issued pursuant to this resolution, when aggregated with the number of units in KIP REIT issued during the preceding 12 months, must not exceed 20% of the approved fund size of KIP REIT of 505,300,000 units;

AND THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next annual general meeting ("AGM") of the Unitholders, at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting;

whichever occurs first ("Validity Period");

AND THAT the New Units to be issued pursuant to the Proposed Authority shall, upon allotment and issuance, rank *pari passu* in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of KIP REIT, to give effect to the aforesaid Proposed Authority with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of KIP REIT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

NOTICE OF ANNUAL GENERAL MEETING (Cont'd)

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of KIP REIT, to take all such steps and do all acts, deeds and things in any manner (including the execution of such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority."

BY ORDER OF THE BOARD

KIP REIT Management Sdn Bhd (1169638-M)
(the Manager for KIP REIT)

Foo Siew Loon (MAICSA7006874)
Company Secretary

Kuala Lumpur
30 August 2017

Notes :

1. A unitholder who is entitled to attend the meeting is entitled to appoint not more than 2 proxies to attend instead of him. A proxy need not be a unitholder. Where a unitholder appoints 2 proxies, the appointments shall be invalid unless he specifies the proportions of his holding (expressed as a percentage of the whole) to be represented by each proxy.
2. Where a unitholder is a corporation, its duly authorised representative shall be entitled to attend the meeting and shall be entitled to appoint another person (whether a unitholder or not) as its proxy to attend and vote.
3. Where a unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint not more than 2 proxies in respect of each securities account it holds in units standing to the credit of the said securities account. Where a unitholder appoints 2 proxies, the appointments shall be invalid unless it specifies the proportions of its holdings (expressed as a percentage of the whole) to be represented by each proxy.
4. The instrument appointing a proxy shall be in writing under the hand of the appointor or of its attorney duly authorised in writing or if such appointor is a corporation either under its common seal or under the hand of an officer or attorney so authorised.
5. The instrument appointing a proxy and the power of attorney or other authority (if any) under which it is signed or a notarial certified copy of such power or authority shall be deposited at the Registered Office of KIP REIT Management Sdn Bhd at Level 33A, Menara 1MK, Kompleks 1 Mont' Kiara, No. 1, Jalan Kiara, Mont' Kiara, 50480 Kuala Lumpur no later than 26 September 2017 at 11.00 a.m. being 48 hours before the time appointed for holding the meeting or any adjournment thereof.
6. Only unitholders registered in the Record of Depositors as at 22 September 2017 shall be entitled to attend and speak at the meeting or appoint proxy(ies) to attend on his behalf.
7. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, the Proposed Ordinary Resolution set out in the Notice of Annual General Meeting will be put to vote by way of poll.

NOTICE OF ANNUAL GENERAL MEETING (Cont'd)

Explanatory Notes on:

(I) **Ordinary Business**

This Agenda is meant for discussion only as under the provision of the REITs Guidelines, audited financial statements do not require formal approval of the unitholders. Hence, this matter will not be put forward for voting.

(II) **Special Business**

The Proposed Ordinary Resolution, if passed, would enable the Manager to allot and issue New Units from time to time provided that the aggregate number of the New Units to be issued during the Validity Period, when aggregated with the number of units issued during the preceding 12 months must not exceed 20% of the approved fund size of KIP REIT of 505,300,000 units.

The Proposed Authority will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and/or capital expenditure to enhance the value of KIP REIT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

The Manager may, subject to relevant laws and regulations, use the net proceeds from the issuance of New Units under the Proposed Authority as its absolute discretion for other purposes as permitted for under the REITs Guidelines.

Any allotment and issuance of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of Securities Commission Malaysia and Bursa Malaysia Securities Berhad.

KIP REAL ESTATE INVESTMENT TRUST

(Established in Malaysia under the Deed of Trust dated 2 November 2016 entered into between KIP REIT Management Sdn Bhd and Pacific Trustees Berhad, constituting KIP REIT and registered with the Securities Commission on 4 November 2016)

PROXY FORM

No. of Units Held	CDS Account No.

I/We _____ (name of Unitholder as per NRIC, in capital letters)

NRIC No./Passport No./Company No. _____ Tel./Mobile No. _____

of _____

(full address) being a Unitholder/Unitholders of KIP REAL ESTATE INVESTMENT TRUST ("KIP REIT") and entitled to vote hereby appoint:-

FIRST PROXY 'A'

Full name:		Proportion of unitholdings represented	
		No. of units	%
Address:	NRIC No./Passport No./ Company No.:		

and/or failing *him/her

SECOND PROXY 'B'

Full name:		Proportion of unitholdings represented	
		No. of units	%
Address:	NRIC No./Passport No./ Company No.:		

or failing *him/her, the Chairman of the Meeting to vote for *me/us on *my/our behalf at the First Annual General Meeting of KIP REIT to be held at KIP Hotel, No. 77, Jalan Seri Utara 1, Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur on Thursday, 28 September 2017 at 11.00 a.m. and at any adjournment thereof.

* Strike out whichever not applicable

Please indicate with an "X" in the space below on how you wish to direct your proxy to cast his/her votes. If you do not do so, the proxy/proxies will vote or abstain from voting at his/her/their discretion.

Ordinary Resolution – Special Business	For	Against
Proposed Authority to Allot and Issue New Units		

Dated this _____ day _____ 2017

Signature of Unitholder/Common Seal

Notes :

1. A unitholder who is entitled to attend the meeting is entitled to appoint not more than 2 proxies to attend instead of him. A proxy need not be a unitholder. Where a unitholder appoints 2 proxies, the appointments shall be invalid unless he specifies the proportions of his holding (expressed as a percentage of the whole) to be represented by each proxy.
2. Where a unitholder is a corporation, its duly authorised representative shall be entitled to attend the meeting and shall be entitled to appoint another person (whether a unitholder or not) as its proxy to attend and vote.
3. Where a unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint not more than 2 proxies in respect of each securities account it holds in units standing to the credit of the said securities account. Where a unitholder appoints 2 proxies, the appointments shall be invalid unless it specifies the proportions of its holdings (expressed as a percentage of the whole) to be represented by each proxy.
4. The instrument appointing a proxy shall be in writing under the hand of the appointor or of its attorney duly authorised in writing or if such appointor is a corporation either under its common seal or under the hand of an officer or attorney so authorised.
5. The instrument appointing a proxy and the power of attorney or other authority (if any) under which it is signed or a notarial certified copy of such power or authority shall be deposited at the Registered Office of KIP REIT Management Sdn Bhd at Level 33A, Menara 1MK, Kompleks 1 Mont' Kiara, No. 1, Jalan Kiara, Mont' Kiara, 50480 Kuala Lumpur no later than 26 September 2017 at 11.00 a.m. being 48 hours before the time appointed for holding the meeting or any adjournment thereof.
6. Only unitholders registered in the Record of Depositors as at 22 September 2017 shall be entitled to attend and speak at the meeting or appoint proxy(ies) to attend on his behalf.
7. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, the Proposed Ordinary Resolution set out in the Notice of Annual General Meeting will be put to vote by way of poll.



Fold this flap for sealing

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AFFIX
POSTAGE
STAMP

The Company Secretary
KIP REIT MANAGEMENT SDN BHD (1169638-M)
(The Manager For KIP Real Estate Investment Trust)
Level 33A, Menara 1MK, Kompleks 1 Mont' Kiara,
No. 1, Jalan Kiara, Mont' Kiara,
50480 Kuala Lumpur

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KIP REIT MANAGEMENT SDN BHD (1169638-M)
(The Manager for KIP REIT)

Unit B-6, Blok B Tingkat 6, Menara KIP, No.1 Jalan Seri Utara 1,
Sri Utara Off Jalan Ipoh, 68100 Kuala Lumpur
Tel : +603 6259 1133 / +603 6259 6633
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www.kipreit.com.my